# PART II - OBSERVATIONS AND RECOMMENDATIONS

## A. FINANCIAL AUDIT

***Cash and cash equivalents - Various discrepancies/errors noted, P1,431,489,766.90***

**1. Cash and cash equivalents totaling P1,431,489,766.90 were noted with various discrepancies/ errors due to lapses in the cash management control procedures thereby affecting the fair presentation of the balances in the financial statements at year end.**

International Public-Sector Accounting Standards (IPSAS) dictates:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs

As of December 31, 2023, the total balance of Cash and Cash Equivalents of the City Government of Panabo amounted to **P1,431,489,766.90**. The account is composed of the following:

| Account Name | Amount |
|---|---|
| Cash Local Treasury | P3,355,781.78 |
| Cash in Bank – Local, Currency Current Account | 1,428,133,985.12 |
| **TOTAL** | **P1,431,489,766.90** |

We have verified the Bank Reconciliation Statement (BRS) as of December 31, 2023, submitted to the Audit Team as of February 16, 2024. However, the BRS of Trust Fund for MRDP, Professional Fee, HCI Charges and Mindanao Railway has not yet been submitted to date, hence, not included in the verification. Likewise, we examined accounting and treasury reports relative to the proper recording of the Cash and cash equivalents accounts. The results of our verification are as follows:

***A. Omission in recording stale checks amounting to P73,094.38 resulted in the understatement of Cash in Bank -Local Currency, Current Account.***

A review of the bank reconciliation statements prepared by the City Accountant revealed that twenty-eight (28) checks totalling **P73,094.38** were continuously presented in the list of outstanding checks in the BRS even though it has become stale or of which were already over six (6) months from the date of issuance. Summary of staled checks are presented in the table below.

| Bank Account | Date of Check | Check No. | Amount |
|---|---|---|---|
| **General Fund** 1742-1006-90 | March 15, 2022 | 1561758 | P1,699.41 |
| | March 23, 2022 | 1562003 | 1,331.10 |
| | April 07, 2022 | 1562236 | 2,803.20 |
| | May 24, 2022 | 1563324 | 2,061.56 |
| | February 10, 2022 | 1542410 | 1,636.70 |
| | February 22, 2022 | 1542786 | 1,844.32 |
| | July 15, 2022 | 1564758 | 2,061.56 |
| | June 09, 2022 | 1594426 | 1,652.00 |
| | September 09, 2022 | 1594578 | 1,652.00 |
| | September 09, 2022 | 1594579 | 539.55 |
| | October 04, 2022 | 1595213 | 832.64 |
| | October 04, 2022 | 1595214 | 832.64 |
| | October 04, 2022 | 1595217 | 832.64 |
| | October 04, 2022 | 1595226 | 832.64 |
| | October 18, 2022 | 1595685 | 2,507.55 |
| | October 21, 2022 | 1595797 | 1,499.07 |
| | December 07, 2022 | 1596871 | 713.96 |
| | December 16, 2022 | 1597149 | 2,199.00 |
| | February 03, 2023 | 1623648 | 1,706.62 |
| | February 03, 2023 | 1623647 | 1,874.06 |
| | February 16, 2023 | 1624101 | 10,000.00 |
| | March 10, 2023 | 1624739 | 10,000.00 |
| | February 13, 2023 | 1623958 | 4,450.00 |
| | April 14, 2023 | 1625423 | 4,048.78 |
| | April 28, 2023 | 1625551 | 4,450.00 |
| | May 12, 2023 | 1626243 | 2,334.38 |
| **Market Operation** 1742-1008-35 | September 07, 2022 | 1546883 | 2,199.00 |
| | December 14, 2022 | 1609653 | 4,500.00 |
| | | **TOTAL** | **P73,094.38** |

***B. Book reconciling items in the BRS remained unadjusted in the books as at December 31, 2023 resulting to a misstatement in the Cash in Bank -Local Currency, Current Account (LCCA) by P17,089,763.04.***

It was also observed that book reconciling items remained unadjusted in the books as at year end. Summary of Bank Accounts with unadjusted reconciling items are presented in the table below while the details thereof are presented in *Annex D.*

| Bank Account | Ending Balance per Subsidiary Ledger, as at December 31, 2023 | Reconciling Items (Additions) | Reconciling Items (Deductions) | Adjusted Balance per BRS, as at December 31, 2023 |
|---|---|---|---|---|
| **GF-Proper** LBP 1742-1006-90 | P795,383,272.08 | P1,365,956.11 | (P1,399,014.08) | **P795,350,214.11** |
| **GF-Cemetery** LBP 1742-1037-10 | 37,193,359.19 | 0.00 | (34,449.50) | **37,158,909.69** |
| **GF-Terminal** LBP 1742-1033-46 | 20,742,492.16 | 193,000.00 | (11,614.00) | **20,923,878.16** |
| **GF-Slaughter** LBP 1742-1037-29 | 12,007,570.12 | 750.00 | (137,582.15) | **11,870,737.97** |
| **GF-Market Operations** LBP 1742-1008-35 | 81,991,379.32 | 159,909.65 | (3,000.00) | **82,148,288.97** |
| **SEF-Special Educational Fund** LBP 1742-1006-81 | 65,984,048.02 | 827,309.06 | (5,698,998.50) | **61,112,358.58** |
| **TF-Safe Birthing Facility** LBP 1742-1046-10 | 846,991.79 | 110.00 | 0.00 | **847,101.79** |
| **TF-DSWD Programs and Services** LBP 1742-1043-50 | 32,860,124.15 | 50,000.00 | 0.00 | **32,910,124.15** |
| **TF-Trust Fund Proper** LBP 1742-1007-03 | 79,500,266.74 | 4,661,595.37 | (569,278.05) | **83,592,584.06** |
| **20% Development Fund** LBP 1742-1037-96 | 287,316,573.75 | 1,258,090.68 | (719,105.89) | **287,855,558.54** |
| **TOTAL** | **P 1,413,826,077.32** | **P8,516,720.87** | **(P8,573,042.17)** | **P1,413,769,756.02** |

This audit observation has been included in the Annual Audit Report for CY2022, however, similar conditions has still been observed, thus, this restatement.

As for the unadjusted stale checks, the City Accounting Office (CAO) explained that the adjusting entries were not drawn because the Schedule of Staled Checks from the City Treasurer's Office (CTO), the basis in the preparation of the reversal entry, was not forwarded to them. As to the debit and credit memoranda (DMs/CMs) reconciling items, they explained that no adjustments were drawn because the CTO did not also submit any supporting documents as basis for the recording. On the other hand, The CTO explained that they have already formally requested copies of the DMs/CMs and a follow-up letter was sent to LBP on January 24, 2024 regarding this matter; however, the bank have not yet responded to their request.

Bank Reconciliation Statements are prepared every month to detect any discrepancies and errors between the accounting records and the bank, aside from those normal

reconciling items due to timing differences. All valid reconciling items that require adjustments and corrections in the General Ledger must be recorded by the accountant through the preparation of Journal Entry Vouchers as stated under Section 3.3 of COA Circular 96-011 dated October 2, 1996. Items for reconciliation noted in the preparation of the monthly Bank Reconciliation Statements without effecting the adjustments in the books defeated its purpose.

The non-adjustment of stale checks and book reconciling items at year end resulted to a misstatement in the ending balance of Cash in Bank – LCCA totalling **P17,162,857.42** [P73,094.38, P8,516,720.87 and (P8,573,042.17)]. Summary of the unadjusted reconciling items and its corresponding effect to Cash in Bank – LCCA and other affected accounts is presented in the next table. Details thereof are presented in *Annex E*.

| Particulars | Total Unadjusted Reconciling Items, as at December 31, 2023 | | CIB-LCCA Understatement (Overstatement) | Other Accounts Affected |
|---|---|---|---|---|
| | CY 2023 | CY 2022 and earlier | | |
| Staled Checks | P27,531.54 | P45,562.84 | **P73,094.38** | Accounts Payable |
| Various Credit Memo (Addition) | 5,944,693.05 | 1,433,302.50 | **7,377,995.55** | Receivables<br>Interest Income<br>Other Income |
| Various Debit Memo (Deduction) | (6,604,332.61) | (1,316,504.05) | **(7,920,836.66)** | Expenses |
| Various Book Adjustments (Addition) | 579,279.81 | 559,445.51 | **1,138,725.32** | Cash Local Treasury |
| Various Book Adjustments (Deduction) | (94,000.00) | (558,205.51) | **(652,205.51)** | Expenses |
| **TOTAL** | **P (146,828.21)** | **P163,601.29** | **P16,773.08** | |

Consequently, the ending balance of Cash in Bank – LCCA as presented in the Statement of Financial Position is understated by **P16,773.08**. Although the net effect of the reconciling items is immaterial, the huge amount of reconciling items totalling **P17,089,763.04** which is the absolute value, raises concern about the accuracy and reliability of the bank reconciliation process.

**Recommendations:**

We restated our prior year's recommendations to the City Mayor:

a. The City Treasurer's Office (CTO) to ensure timely submission of the Schedule of Staled Checks and the Bank Credit/Debit Memoranda to the City Accounting Office for its proper recording in the books of accounts; and,

b. The CTO and City Accounting Office (CAO) to coordinate and ensure that the book reconciling items in CY 2023 and prior years are adjusted in order that balances of Cash in Bank accounts and other affected accounts are corrected.

**Management's Comments:**

The management agrees to the noted audit observations. However the non-implementation of the prior years' audit recommendations was not solely their fault. They explained that adjustments on various reconciling items cannot be done since the Schedule of the Bank Credit/Debit Memoranda for CY 2023 and prior years cannot be submitted because the banks have not yet furnished the CTO with the Bank Credit/Debit Memoranda despite repeated request. Letters were sent to Land Bank of the Philippines – Panabo Branch on March 9, 2023, May 8, 2023 and January 24, 2024 and they are still waiting for the response.

Also, the CTO maintains that it has already submitted the Schedule of Staled Checks in CY2023 to CAO. The latter, on the other hand, explained that in the adjustment of staled checks, the Office is dependent on the submitted stale checks.

**Auditor's rejoinder:**

Since, the CTO and CAO is awaiting of the copies of Bank Credit/Debit Memoranda from the bank, the unadjusted reconciling items, as well as, the reasons for the non-adjustments and the action taken by the management is recommended to be disclosed in the Notes to the Financial to inform users of the Financial Statements of the fact.

***C. Non reconciliation of Cash-local Treasury and Cash in Bank – LCCA account balances between the records of City Accounting Office (CAO) and City Treasurer's Office (CTO) resulted in a variance of P673,099.22 and P4,567,874.42.***

Section 74 of PD No. 1445 provides:

> Monthly reports of depositories to agency head. At the close of each month, depositories shall report to the agency head, in such form as he may direct, the condition of the agency account standing on their books. The head of the agency shall see to it that reconciliation is made between the balance shown in the reports and the balance found in the books of the agency.

A comparison of the balances per General Ledger (GL) and records of the City Treasurer for Cash – Local Treasury Account as at December 31, 2023 are presented in the next table.

| FUNDS | Cash – Local Treasury as at December 31, 2023 | | |
|---|---|---|---|
| | City Accounting Office | City Treasurer's Office | VARIANCE |
| General Fund – Proper | P1,807,063.88 | P1,352,280.23 | P454,783.65 |
| Market Operations | 439,060.36 | 658,182.74 | (219,122.38) |
| Slaughter Operations | 6,046.00 | 0.00 | 6,046.00 |
| Terminal Operations | 251,775.08 | 92,321.99 | 159,453.09 |
| Cemetery Operations | 184,477.57 | 113,330.00 | 71,147.57 |
| Special Educational Fund | 667,358.89 | 466,567.60 | 200,791.29 |
| **TOTAL/NET VARIANCE** | **P3,355,781.78** | **P2,682,682.56** | **P673,099.22** |

A comparison of the balances per General Ledger (GL) and records of the City Treasurer for Cash in Bank – Local Currency, Current Account (LCCA) as at December 31, 2023 are presented in the following table.

| FUNDS | Cash in Bank – LCCA as at December 31, 2023 | | |
|---|---|---|---|
| | City Accounting Office | City Treasurer's Office | VARIANCE |
| General Fund – Proper | P795,393,272.08 | P788,721,587.15 | P6,671,684.93 |
| One Network Bank | 33,180.73 | 0.00 | 33,180.73 |
| Market Operations | 81,991,379.32 | 82,112,797.79 | (121,418.47) |
| Slaughter Operations | 12,007,570.12 | 11,871,779.85 | 135,790.27 |
| Terminal Operations | 20,742,492.16 | 20,897,483.16 | (154,991.00) |
| Cemetery Operations | 37,179,793.19 | 37,183,712.11 | (3,918.92) |
| 20% Development Fund | 286,597,467.86 | 287,855,558.54 | (1,258,090.68) |
| Special Educational Fund | 65,984,048.02 | 63,797,758.47 | 2,186,289.55 |
| MRDP-Local | 30,107.63 | 30,210.39 | (102.76) |
| MRDP-LP | 30,017.85 | 29,017.85 | 1,000.00 |
| Trust Fund -DSWD | 32,860,124.15 | 32,910,124.15 | (50,000.00) |
| Trust Fund -GYM | 134,104.51 | 134,118.21 | (13.70) |
| Trust Fund - City Hall | 759,440.61 | 759,518.23 | (77.62) |
| Trust Fund Proper | 79,500,266.74 | 81,894,973.63 | (2,394,706.89) |
| Trust Fund - PCF | 3,482,320.41 | 3,482,676.35 | (355.94) |
| Trust Fund – Panabo Emergency | 846,991.79 | 847,101.79 | (110.00) |
| Professional Fee | 2,306,588.18 | 2,426,988.18 | (120,400.00) |
| HCI Charges | 5,193,176.72 | 5,546,189.22 | (353,012.50) |
| DBP | 3,034,376.00 | 3,034,376.00 | 0.00 |

| FUNDS | Cash in Bank – LCCA as at December 31, 2023 | | |
|---|---|---|---|
| | **City Accounting Office** | **City Treasurer's Office** | **VARIANCE** |
| Mindanao Railway Project | 27,236.55 | 30,139.63 | (2,903.08) |
| MDG Faces | 30.50 | *Closed Account* | 30.50 |
| **TOTAL/NET VARIANCE** | **P1,428,133,985.12** | **P1,423,566,110.70** | **P4,567,874.42** |

The records of the CAO and CTO have a variance of P673,099.22 which is **20.57%** of the total amount of Cash – Local Treasury and P4,567,874.42, which is **0.32%** of the total amount of Cash in Bank - LCCA. Furthermore, it was observed that the two departments do not regularly reconcile their respective records. Inquiry to the personnel-in-charge in the CAO revealed that the variance was firstly incurred way back 2013 and 2014, and the personnel-in-charge in that particular year did not regularly reconcile with the CTO.

Reconciliation between records is vital and is an internal control procedure which aimed at ascertaining the reliability of the account balances. The absence of reconciliation between the accounting and treasury records resulted to unreliable recorded balance of Cash – Local Treasury and Cash in Bank - LCCA in the Financial Statement of the City as at December 31, 2023.

This audit observation has been included in the Annual Audit Report for CY2022, however, no action was taken by the management as of date, thus, this restatement.

**Recommendations:**

We restated our prior year's recommendation that the City Mayor enjoin the City Accounting and City Treasurer's Office to:

a. Reconcile the discrepancies noted between their records and to regularly reconcile the same so that errors and discrepancies in balances could be traced and accordingly adjusted; and,

b. Draw adjusting entries to correct the balances of affected Cash and cash equivalent accounts and to adjust balances in the Cash Books.

**Management's Comments:**

The management agrees to the noted audit observations. However, the CTO and CAO explained that most of this variance has been carried for a long period which pertains

from prior years transactions which are no longer supported with documents and records thereof can no longer be found. It has been agreed during the exit conference that for these variances, the balance of CAO shall be considered as the correct balance as the recording thereof undergoes review and verification of documents prepared by the CTO. It has also been agreed that based thereon, adjustments in the cashbook balances maintained by the CTO shall be made to reconcile with the accounting balances.

**Auditor's rejoinder:**

The adjustments shall be verified by the Audit Team during the Cash Examination to ensure that it only pertains to variances from prior years transactions which been carried for a long period with no available supporting documents and records thereof can no longer be found.

***D. Cash balances totalling P980,907.15 under Trust Fund bank accounts which the specific purpose has already been implemented and/or has been dormant were not reverted back to General Fund***

Executive Order (EO) No. 431 dated May 30, 2005 directed the reversion of all dormant accounts, unnecessary special and trust funds to the general fund and for other purpose. Pursuant to the said EO, Joint Circular No. 4-2012 of the Permanent Committee of the Department of Finance, Department of Budget and Management, and the Commission on Audit defines "unnecessary special and trust fund" as:

> …xxx…authorized special and trust funds maintained by government agencies with AGDBs but which are no longer necessary for the attainment of the purposes for which said funds were established i.e. specific projects/programs, the implementation of which have been completed or abandoned.

Furthermore, section 99 of PD No. 1445 provides the transfer of unexpended balances to the general fund, to wit:

> The Commission may transfer at any time, from moneys appropriated for a specific purpose, to the unappropriated general fund any surplus balance standing to the credit of any appropriation or fund when the officer having administrative control thereof certifies to the Commission that there is a surplus in excess of the requirements, or that the work or purpose for which the appropriation was made has been completed, indefinitely

postponed or abandoned, and that there is no outstanding obligation to be paid therefrom.

Review of the balances of Cash in Bank - LCCA account of various Trust Fund accounts revealed that as at December 31, 2023, a total of **P980,907.15** remained recorded in the five (5) Trust Fund books of the City which the specific purpose has already been implemented and/or have become dormant. List of Cash in Bank – LCCA with unused balances as at December 31, 2023 are shown in the table below.

| Account Name | Account No. | Book Balance |
|---|---|---|
| MPC | 1742-1035-59 | P134,104.51 |
| City Hall | 1742-1035-67 | 759,440.61 |
| MRDP – Rural Infra (Loan Proceeds) | 1742-1043-85 | 30,017.85 |
| MRDP – Rural Infra (Local Counterpart Fund) | 1742-1044-07 | 30,107.63 |
| Mindanao Railway Project | 1742-1066-55 | 27,236.55 |
| **Total** | | **P980,907.15** |

This audit observation has been included in the Annual Audit Report for CY 2022, however no action was taken by the City Government as of date, thus, this restatement.

Further review of the above-listed bank accounts revealed that most of the transactions pertain to intra-agency and interest income. Inquiry with the personnel-in-charge revealed that these bank accounts pertain to unused funds from the completed/abandoned projects implemented by the City Government. The intra-agency transactions were made in order that bank accounts remain active.

In the previous audit observation, our team requested documentation from the City Treasurer's Office (CTO) to demonstrate the legal basis and purpose behind opening certain bank accounts. However, as of the current date, no information has been provided to the audit team. Furthermore, it was observed that these documents were not properly maintained by the CTO; rather, the Sangguniang Panlungsod (SP) possesses these resolutions and faces difficulties in retrieving them. Absence of these documents cast doubts on legal basis in opening and maintaining these banks accounts.

Consequently, the retention of these funds deprived the government of additional resources that could be used to fund other priority projects for the benefit of the public.

**Recommendations:**

We restated our prior year's recommendations to the City Mayor to direct the City Treasurer to secure authority from Sangguniang Panlungsod to close the dormant bank

accounts and to revert the balances to the general fund or the National Treasury, wherever applicable.

**Management's Comments:**

The management agrees to the noted audit observations. According to the CTO, the City Mayor through the City Legal Office have already sent request to the Sangguniang Panlungsod to close the dormant bank accounts and have been schedule for committee hearing on May 11, 2023 but the hearing did not push through and the SP have subjected it for a re-schedule. As of the first quarter of CY2024, no invitation for the hearing was received from the SP. Nonetheless, the management committed to re-submit the request.

**Auditor's rejoinder:**

The Audit Team maintains the immediate closure of the dormant accounts. Thus, the management should immediately re-submit the request to the SP.

***E. Cancelled checks were not attached to the Reports of Check Issued (RCI) neither submitted to the Commission on Audit***

The New Government Accounting System Manual (NGAS) for LGUs also provides the pertinent cash management controls and procedures:

> Sec. 55. Report of Checks Issued (RCI). – The Report of Checks Issued (Annex 47) shall be prepared by the Cashier/Disbursing Officers daily to report checks issued during the period including cancelled ones." (Chapter 2, Volume II, NGAS)
>
> Sec. 43. Reporting of Checks Issued. – The checks released to claimants shall be reported in the Report of Checks Issued (RCI) which shall be prepared daily by the Treasurer for each fund. It shall be submitted to the Accountant for preparation of Journal of Entry Voucher based on individual checks issued and recording in the Check Disbursements Journal. (Chapter 3, Volume I, NGAS)
>
> Sec. 44. Check Disbursement Process. – The steps in disbursements through issuance of check is shown below:
>
> xxx
>
> k. Forward RCI, DV, supporting documents and JEV to the Office of the Auditor. (Chapter 3, Volume I, NGAS)

Review on the submission of financial reports and supporting documents revealed that there were 39 cancelled checks which were not submitted together with the RCI. The details are shown in *Annex F*.

| Type of Fund | Account no. | Quantity of Cancelled Checks |
|---|---|---|
| General Fund Proper | 1742-1006-90 | 34 |
| 20% Development Fund | 1742-1037-96 | 1 |
| Terminal Operations | 1742-1033-46 | 1 |
| Cemetery Operations | 1742-1037-10 | 1 |
| Special Educational Fund | 1742-1006-81 | 2 |
| **TOTAL** | | **39** |

The validation of the existence of the cancelled checks as reported in the Reports of Checks Issued (RCI) is one of cash management control procedures. Inquiry from the City Treasurer's Office (CTO) disclosed that the 39 checks were already transmitted to the City Accounting Office (CAO) for their verification. However, as of date the COA Office did not receive these cancelled checks.

The non-submission of cancelled checks is inconsistent with Section 44 (k) Vol. 1 of NGAS for LGUs, thus with this foregoing conditions, validation thereof could not be timely made.

**Recommendation:**

We recommended that the City Mayor direct the City Treasurer and City Accountant to submit immediately the remaining 39 checks to COA for validation and to ensure regular submission thereof.

**Management's Comments:**

The CTO commented that have already submitted the Report of Check Issued (RCI) together with the cancelled checks for December 2023. Nonetheless, they re-check their files and records and comply with audit recommendations.

**Auditor's rejoinder:**

The list of unsubmitted cancelled checks were derived after the verification of the submitted RCI and cancelled checks and found that these were not included in the submitted report and documents.

***Property, plant and equipment - Various errors and deficiencies noted***

**2. The accuracy of the reported balance of Property, Plant and Equipment (excluding Construction in Progress account) amounting to P2,797,610,037.27 could not be ascertained due to various errors and deficiencies noted, thus, fair presentation of balances presented in the financial statements at year-end are rendered doubtful.**

Section 27 of the International Public-Sector Accounting Standards (IPSAS) 1 provides that:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs…xxx…

Also, COA Circular No. 2020-006 dated January 31, 2020 prescribes the Guidelines and Procedures in the Conduct of Physical Count of Property, Plant and Equipment (PPE), Recognition of PPE Items Found at Station, and Disposition for Non-existing/Missing PPE Items, for the One-Time Cleansing of PPE Account Balances of Government Agencies for the purpose of the establishment of PPE balances that are verifiable as to existence, condition and accountability.

As at December 31, 2023, the Statement of Financial Position (all funds) of the City Government of Panabo showed a balance of P2,797,610,037.27 for its Property, Plant and Equipment (PPE), net of accumulated depreciation and exclusive of Construction in Progress accounts, with details as follows:

| PPE Account | Acquisition Cost | Accumulated Depreciation | Net Book Value |
|---|---|---|---|
| Land | P134,629,401.44 | | P134,629,401.44 |
| Land Improvements | 63,187,749.88 | P28,755,384.44 | 34,432,365.44 |
| Road Networks | 1,721,851,039.45 | 255,983,011.87 | 1,465,868,027.58 |
| Flood Control Systems | 41,592,972.32 | 3,700,978.85 | 37,891,993.47 |
| Sewer Systems | 14,885,351.55 | 3,030,102.38 | 11,855,249.17 |
| Water Supply Systems | 179,751,224.79 | 8,022,730.95 | 171,728,493.84 |
| Communication Networks | 12,086,551.00 | 757,568.92 | 11,328,982.08 |
| Parks, Plazas and Monuments | 48,106,676.45 | 9,670,494.90 | 38,436,181.55 |
| Other Infrastructure Assets | 105,600,532.73 | 23,651,753.19 | 81,948,779.54 |
| Buildings | 380,811,630.65 | 196,158,996.00 | 184,652,634.65 |
| School Buildings | 31,928,529.84 | 7,953,849.28 | 23,974,680.56 |
| Hospitals and Health Centers | 10,895,655.62 | 7,981,053.98 | 2,914,601.64 |

| PPE Account | Acquisition Cost | Accumulated Depreciation | Net Book Value |
|---|---|---|---|
| Markets | 93,352,803.17 | 55,479,004.78 | 37,873,798.39 |
| Slaughterhouses | 22,447,601.72 | 11,703,796.94 | 10,743,804.78 |
| Other Structures | 394,287,729.85 | 125,452,567.94 | 268,835,161.91 |
| Office Equipment | 20,048,471.52 | 14,494,682.78 | 5,553,788.74 |
| Information and Communication Equipment | 24,023,560.67 | 13,004,364.76 | 11,019,195.91 |
| Agricultural and Forestry Equipment | 6,794,850.00 | 4,220,122.67 | 2,574,727.33 |
| Marine and Fishery Equipment | 67,000.00 | 20,686.38 | 46,313.62 |
| Communication Equipment | 5,346,046.31 | 4,316,869.29 | 1,029,177.02 |
| Construction and Heavy Equipment | 394,831,613.64 | 234,841,980.40 | 159,989,633.24 |
| Disaster Response and Rescue Equipment | 2,487,775.00 | 909,794.56 | 1,577,980.44 |
| Medical Equipment | 14,284,048.81 | 4,487,011.84 | 9,797,036.97 |
| Sports Equipment | 3,161,000.00 | 1,633,031.14 | 1,527,968.86 |
| Technical and Scientific Equipment | 16,017,400.50 | 7,521,053.76 | 8,496,346.74 |
| Other Machinery and Equipment | 17,168,302.35 | 10,640,892.16 | 6,527,410.19 |
| Motor Vehicles | 132,156,142.30 | 85,238,734.46 | 46,917,407.84 |
| Watercrafts | 8,491,853.40 | 2,518,687.45 | 5,973,165.95 |
| Other Transportation Equipment | 1,048,849.01 | 0.00 | 1,048,849.01 |
| Furniture and Fixtures | 15,147,719.30 | 8,608,545.83 | 6,539,173.47 |
| Books | 63,198.60 | 12,007.68 | 51,190.92 |
| Other Property, Plant and Equipment | 44,543,959.65 | 32,717,444.67 | 11,826,514.98 |
| **TOTAL** | **P3,961,097,241.52** | **P1,163,487,204.25** | **P2,797,610,037.27** |

Review of the balances of the PPE account revealed the following deficiencies:

***A. Details of PPE obtained from the City Accounting Office (CAO) and submitted report of physical count from the City General Services Office (CGSO) revealed a total variance of P256,212,807.07 in several PPE accounts***

For CY 2023, the CGSO conducted a physical count of the City's PPE items as at year-end which was reported in the Report of Physical Count of Property, Plant and Equipment (RPCPPE). However, comparison thereof with the PPE Schedules maintained by the CAO revealed discrepancies in the balances of several accounts as shown in the table below.

| PPE Account | Acquisition Cost per CAO | Acquisition Cost per CGSO | Variance |
|---|---|---|---|
| Land | P 134,629,401.44 | P 132,596,244.59 | P 2,033,156.85 |
| Land Improvements | 63,187,749.88 | 57,055,686.44 | 6,132,063.44 |

| PPE Account | Acquisition Cost per CAO | Acquisition Cost per CGSO | Variance |
|---|---|---|---|
| Road Networks | 1,721,851,039.45 | 1,653,629,532.24 | 68,221,507.21 |
| Water Supply Systems | 179,751,224.79 | 95,740,063.51 | 84,011,161.28 |
| Communication Networks | 12,086,551.00 | 2,087,051.00 | 9,999,500.00 |
| Parks, Plazas and Monuments | 48,106,676.45 | 47,610,812.25 | 495,864.20 |
| Other Infrastructure Assets | 105,600,532.73 | 105,117,806.27 | 482,726.46 |
| Buildings | 380,811,630.65 | 379,011,905.96 | 1,799,724.69 |
| School Buildings | 31,928,529.84 | 32,861,283.19 | (932,753.35) |
| Slaughterhouses | 22,447,601.72 | 21,850,796.20 | 596,805.52 |
| Other Structures | 394,287,729.85 | 347,342,981.44 | 46,944,748.41 |
| Office Equipment | 20,048,471.52 | 19,223,511.52 | 824,960.00 |
| Information and Communication Equipment | 24,023,560.67 | 25,340,228.34 | (1,316,667.67) |
| Communication Equipment | 5,346,046.31 | 6,227,560.77 | (881,514.46) |
| Construction and Heavy Equipment | 394,831,613.64 | 388,836,613.64 | 5,995,000.00 |
| Military, Police and Security Equipment | 0.00 | 99,000.00 | (99,000.00) |
| Medical Equipment | 14,284,048.81 | 13,784,048.81 | 500,000.00 |
| Other Machinery and Equipment | 17,168,302.35 | 17,296,302.35 | (128,000.00) |
| Motor Vehicles | 132,156,142.30 | 121,030,894.22 | 11,125,248.08 |
| Watercrafts | 8,491,853.40 | 6,568,853.40 | 1,923,000.00 |
| Other Transportation Equipment | 1,048,849.01 | 1,426,849.01 | (378,000.00) |
| Furniture and Fixtures | 15,147,719.30 | 14,536,303.30 | 611,416.00 |
| Other Property, Plant and Equipment | 44,543,959.65 | 55,323,949.10 | (10,779,989.45) |
| **TOTAL** | **P 3,771,779,234.76** | **P 3,544,598,277.55** | **P256,212,807.07** |

The noted variance amounting to P256,212,807.07 is inconsistent with the provision of COA Circular No. 2020-006. Section 5.12 thereof emphasizes that *"…property records shall be updated based on the results of the physical inventory and reconciled with the accounting records to come up with the reconciled balances of PPE accounts to be considered as the correct balances of the agency's PPEs."*

According to the CGSO they have already conducted reconciliation with the CAO. They explained that balances presented in the RPCPPE were as of November 30, 2023. They also included in the balance equipment delivered until December 15, 2023. They explained that the cut-off was made since encoding of transactions for December 2023 in the e-NGAS was still on-going. Thus, the variance may pertain to transactions and adjustments recorded by CAO in December 2023. They added that the balance as at November 30, 2023 was used in order to meet the deadline for the submission of the RPCPPE to the Audit Team.

However, details of the transactions representing the variance were not provided to the Audit Team, thus the claim was not verified thereby casting doubts on the fair representation of the PPE accounts in the financial statements as at year end. Nonetheless, the concerned offices assured their continued commitment in the reconciliation of the variances noted.

***B. PPE items totalling P128,333,084.22 that are under the control and possession of national and other local government agencies were not transferred/derecognized***

Under Paragraph 82 of IPSAS 17, the criteria in de-recognizing PPE is that future economic benefits or service potential associated with the property is no longer expected from its use and when subjected for disposal.

Review and examination of the records maintained by the CAO for its PPE accounts revealed that properties with a total carrying amount of P128,333,084.22 still formed part of the City's PPE accounts despite being used, controlled, and under the possession by national government agencies (NGAs) and the barangays and are the ones enjoying its economic benefits. The breakdown of the PPE items in the possession of various NGAs and barangays is presented in the next table with detailed information shown in *Annex G*.

| PPE Account | No. of Items | End-User | Carrying Amount |
|---|---|---|---|
| ***GENERAL FUND*** | | | |
| Other Land Improvements | 1 | Brgy. Datu Abdul | P457,512.96 |
| Other Infrastructure Assets | 45 | Various Barangays, Bureau of Fire Protection (BFP) and Philippine National Police (PNP) | 38,264,634.38 |
| Other Structures | 37 | Various Barangays, PNP and Bureau of Jail Management and Penology (BJMP) | 29,605,404.25 |
| Office Equipment | 1 | BFP | 54,184.80 |
| Information and Communication Technology Equipment | 2 | BFP, Office of the Congressional District | 79,364.80 |
| Communication Equipment | 19 | Department of Education (DepEd), Department of Interior and Local Government (DILG), BFP, PNP | 320,745.24 |
| Technical and Scientific Equipment | 1 | BFP | 59,386.72 |
| Motor Vehicles | 4 | DILG, BFP, PNP | 4,589,106.62 |
| Watercrafts | 2 | PNP Maritime and Coastguard | 3,483,309.85 |
| Furniture and Fixtures | 2 | BFP, DepEd | 90,400.00 |
| **Sub-total (GF)** | **114** | | **P77,004,049.62** |
| ***SPECIAL EDUCATION FUND*** | | | |
| Other Land Improvements | 25 | DepEd | P13,244,444.58 |

| PPE Account | No. of Items | End-User | Carrying Amount |
|---|---|---|---|
| Other Infrastructure Assets | 1 | | 440,520.89 |
| School Buildings | 12 | | 23,820,288.93 |
| Other Structures | 14 | | 12,957,576.28 |
| Information and Communication Technology Equipment | 2 | | 224,796.24 |
| Communication Equipment | 2 | | 292,842.38 |
| Sports Equipment | 1 | | 81,462.47 |
| Furniture and Fixtures | 1 | | 267,102.83 |
| **Sub-total (SEF)** | **58** | | **P51,329,034.60** |
| **TOTAL** | **172** | | **P128,333,084.22** |

Out of the P128,333,084.22, 98 PPE items with carrying amount of P79,106,481.39 is yet to be subjected for request by the City Mayor to the Sangguninag Panlungsod for authority to transfer to various government agencies. On the other hand, 74 PPE items thereof, with carrying amount of P49,226,602.83, were already approved for transfer under Sangguniang Panlungsod Resolution Nos. 141 and 742, series of 2023. However, further review revealed that these 74 PPE Items were not yet derecognized from the books of accounts, thus, still included in the reported year-end PPE accounts balance.

According to CGSO, the City Government regularly conducts de-recognition of PPE after transferring the same to the concerned government agencies and barangays. They added that processing and preparations for the transfer without cost of various properties is scheduled every August of the year. For the non-derecognition of properties already approved for transfer, the CGSO informed that they have already furnished the relevant supporting documents to the accounting office. The CAO, on the other hand, disclosed that several PPE items were already derecognized from the books and the derecognition of the remaining properties amounting to P49,226,602.83 were inadvertently overlooked during the preparation of the journal entry vouchers.

The inclusion of 98 PPE Items renders the fair presentation of PPE account in the financial statement doubtful since it no longer passes the criterion under Paragraph 82 of IPSAS 17. Hence, it is proper to transfer these identified PPE Items to concerned government agencies. On the other hand, non-derecognition of the 47 PPE items has overstated the balance of the PPE accounts and understated expenses by P49,226,602.83. Finally, the continued existence of the said PPE in the books of accounts increases the burden on the part of the City Government in monitoring and reporting of the said properties.

### *C. PPE items totalling P283,508,260.52 were classified in improper PPE accounts and a total of P16,063,029.08 PPE items have inconsistent classification*

Detailed review of the PPE accounts also showed improper classification of several PPE items as presented hereunder (see also *Annex H*).

| No. | Deficiency Noted | No. of Items | Carrying Amount | Current Classification | Correct Classification |
|---|---|---|---|---|---|
| **GENERAL FUND** | | | | | |
| 1 | Flood Control Systems recorded under Road Networks | 56 | P92,325,505.72 | Road Networks | Flood Control Systems |
| 2 | Flood Control Systems recorded under Sewer Systems | 4 | 3,610,758.02 | Sewer Systems | Flood Control Systems |
| 3 | Buildings & Other Structures recorded under Other Infrastructure Assets | 17 | 23,161,731.76 | Other Infrastructure Assets | Appropriate accounts under Buildings & Other Structures |
| 4 | Land Improvement and various Infrastructure Assets recorded under Other Structures | 6 | 77,198,835.38 | Other Infrastructure Assets | Land Improvement and various Infrastructure Assets |
| 5 | Buildings recorded under Other Structures | 21 | 83,189,161.75 | Other Structures | Buildings |
| **Sub-total – General Fund** | | **104** | **P283,176,594.89** | | |
| **SPECIAL EDUCATION FUND** | | | | | |
| 6 | Flood Control Systems recorded under Water Supply Systems | 1 | P331,665.63 | Water Supply Systems | Flood Control Systems |
| **Sub-total – Special Education Fund** | | **1** | **P331,665.63** | | |
| **TOTAL (All Funds)** | | | **P283,508,260.52** | | |

Discussion of the above-noted deficiencies are as follows:

- For item no. 1, 2 and 6, construction and rehabilitation of drainage systems, canal linings and box culverts, and desilting and riprapping of creeks were inappropriately classified under “Road Networks”, “Sewer Systems” and “Water Supply Systems” instead of “Flood Control Systems”.

COA Circular No. 2015-009, which prescribes the Revised Chart of Accounts for LGUs, instructs that the following accounts shall be used to record acquisition for:

*"Flood Control Systems"* – for seawalls, river walls, and other flood control system facilities for public use

*"Road Networks"* – for roads, highways and bridges, railways, subways, and other road network facilities such as footbridge, traffic lights and road signage for public use

*"Sewer Systems"* – for waste treatment plants and other sewer system facilities

*"Water Supply Systems"* – for water source facility such as artesian wells, dams/reservoirs, pumping stations and conduits; irrigation canals and laterals; waterways, aqueducts, water utilities systems and other water supply facilities for public use or for income generating purposes

- For item no. 3, the buildings and other structures were improperly recorded as "Other Infrastructure Assets". However, these items should be classified under the appropriate "Buildings" and "Other Structures" accounts as prescribed in COA Circular 2015-009, viz:

  *"Buildings"* – for office buildings, research/convention/training centers, agricultural laboratories, warehouses, cold storage and the like

  *"Other Structures"* – for structures used in government operations or for income generating purposes that does not qualify for recognition as buildings, school buildings, hospitals and health centers, markets, slaughterhouses and hostels and dormitories

  Thus, "Other Infrastructure Assets" shall only be used for other public infrastructures which cannot be classified under any specific type of public infrastructures for public use or for income generating purposes.

- For item no. 4, land improvements were inappropriately recorded under "Other Structures" account.

- For item no. 5, several buildings were classified as “Other Structures” instead of the “Building” account.

It has also been noted that there are inconsistencies in the classification of the following PPE items. Each type of the items was classified in two or three different PPE accounts as shown in the following table (see *Annex I* for details).

| No. | PPE Item | Carrying Amount | Current Classification |
|---|---|---|---|
| 1 | Submersible Pump | P3,624,561.14 | Water Supply Systems |
| | | | Other Machinery & Equipment |
| | | | Other Property, Plant & Equipment |
| 2 | Water Pump | 445,165.92 | Other Machinery & Equipment |
| | | | Other Property, Plant & Equipment |
| 3 | Television | 161,269.43 | Office Equipment |
| | | | Communication Equipment |
| | | | Other Property, Plant & Equipment |
| 4 | Generator | 181,500.00 | Other Machinery & Equipment |
| | | | Other Property, Plant & Equipment |
| 5 | Bagger Mixer | 115,833.20 | Construction & Heavy Equipment |
| | | | Other Machinery & Equipment |
| | | | Other Property, Plant & Equipment |
| 6 | Asphalt Batching Plant | 11,534,699.39 | Buildings |
| | | | Other Structures |
| | | | Other Property, Plant & Equipment |
| | **TOTAL** | **P16,063,029.08** | |

Although the inappropriate and inconsistent classification of the noted PPE accounts do not affect the total balance of PPE presented in the financial statements, it could affect the computation of depreciation expense due to the difference in the useful life for each PPE classification, thereby, affecting the fair presentation of accounts in the financial statements as at year-end.

***D. Intangible items with carrying amount of P102,696.00 were recorded under Information and Communication Equipment***

COA Circular No. 2015-009 provides what should be recorded under the Information and Communication Technology Equipment and the Computer Software accounts, viz:

| *Account Title* | **Information and Communication Technology Equipment** |
|---|---|
| *Account Number* | 1-07-05-030 |
| *Normal Balance* | Debit |

| | |
|---|---|
| *Description* | This account is used to record the cost incurred in the purchase of information and communication technology equipment, which includes hardware (computers, printers, scanners, and the like) and pre-loaded software such as but not limited to operating systems which are included in the cost of the computer hardware. This also includes data communications equipment and such other peripherals and auxiliary equipment necessary to put the system into operational mode. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal. |

| | |
|---|---|
| *Account Title* | **Computer Software** |
| *Account Number* | 1-09-01-020 |
| *Normal Balance* | Debit |
| *Description* | This account is used to record the purchase cost or capitalized development cost of computer software program for use in government operation. Development costs include cost of coding, testing and cost to produce product masters. Credit this account for obsolescence. |

Review of the PPE schedules revealed that computer program systems with carrying amount of P106,696.00 were recorded under the Information and Communication Technology Equipment account instead of Intangible Assets-Computer Software account in contrary to the afore-cited provisions. Details are shown below:

| Property Number | Description | Acq. Date | Office | Acquisition Cost | Accum. Depreciation | Carrying Amount | Remarks |
|---|---|---|---|---|---|---|---|
| 10705030-02-01C-079CLST | 20% Accomp. Computer Programming System | 11/30/2004 | CPDO | P270,000.00 | P243,000.00 | P27,000.00 | Serviceable per RPCPPE |
| 10705030-02-01C-052CLST | Data Computerization | 07/31/2001 | CASSO | 100,000.00 | 90,000.00 | 10,000.00 | Serviceable per RPCPPE |
| 10705030-02-04O-022OIT | 35% RPTA & Billing System | 03/20/2007 | CASSO | 396,960.00 | 357,264.00 | 39,696.00 | RPCPPE-Serviceable, Acquisition Cost P246,960 |
| 10705030-02-04O-025OIT | 1 set Customized Legislative Records Software | 06/18/2008 | SP | 260,000.00 | 234,000.00 | 26,000.00 | Serviceable per RPCPPE |
| | **Total** | | | **P1,026,960.00** | **P924,264.00** | **P102,696.00** | |

It was observed that several intangible items were included in the ICT Equipment Schedule as at December 31, 2023. Upon cross-referencing with the RPCPPE, four (4) items were still marked as serviceable as shown above. It was also noted that the acquisition cost recorded in the RPCPPE for the 35% RPTA & Billing System is

P246,960.00, which differs from the cost recorded in the Subsidiary Ledgers of P396,960.00.

Currently, only two (2) items were recorded in the Computer Software account:

| SL Code | Description | Acquisition Cost |
|---|---|---|
| 10901020-01-CSM001 | Market Module for Enhanced Tax Revenue Assessment and Collection System (ETRACS) | P170,000.00 |
| 10901020-02-001 | Enhanced Tax Revenue Assessment And Collection System(ETRACS) Version 2.5 _CTO | 1,818,100.00 |
| **TOTAL** | | **P1,988,100.00** |

Upon inquiry, the City Accounting Office was acquiescent of the misclassification. Due to the inappropriate recording of intangible assets, the reported balance for the Computer Software and ICT Equipment accounts is misstated by P102,696.00, thereby further casting doubts on the reliability of the information presented.

**E.** ***Unserviceable and/or obsolete PPE items with net book value of P2,463,804.94 were not yet disposed and derecognized from the books***

The Supply and Property Management Manual for Local Government Units, providing the guidelines on the disposal of property or supplies, states the following:

> Section 162. When Supplies or Property shall be Disposed of. – When supplies or property of any local government unit have become unserviceable for any cause or are no longer needed, the same shall be disposed of in accordance with the procedures prescribed in these rules and regulations.
>
> Section 163. Responsibility for the Disposal of Supplies or Property. – The provincial or city general services officer or municipal or barangay treasurer, as the case may be, shall be responsible for disposal of supplies or property of the local government."
>
> Section 195. Dropping of Book Value – After disposal, the book value of the supplies or property shall be dropped from the book of accounts in accordance with existing accounting and auditing rules and regulations.

The following terms are also defined on Section 4 of the same Manual –

Obsolete Property" is a property which has lost its efficiency either due to technological advancement, change of procedure, reorganization of a department or office, or completion of a project.

Unserviceable Property" is a property that is not operational. It may be economically repairable or beyond economical repair.

Review of the PPE Schedules, RPCPPE and Inventory and Inspection Report of Unserviceable Property (IIRUP) as at December 31, 2023 revealed that 117 items with carrying amount of P2,463,804.94 that were already **unserviceable** and/or **obsolete** were still recorded in the books of accounts of the Agency as shown hereunder and details presented in *Annex J*:

| PPE Account | No. of Items | Carrying Amount |
|---|---|---|
| Office Equipment | 21 | P120,949.98 |
| Information and Communication Technology Equipment | 53 | 559,930.58 |
| Communication Equipment | 2 | 27,200.00 |
| Construction and Heavy Equipment | 7 | 1,124,817.57 |
| Technical and Scientific Equipment | 6 | 40,895.00 |
| Motor Vehicles | 21 | 505,931.09 |
| Watercrafts | 2 | 43,345.75 |
| Furniture and Fixtures | 1 | 3,159.75 |
| Other Property, Plant and Equipment | 4 | 37,575.22 |
| **Total** | **117** | **P2,463,804.94** |

Scrutiny of the reports further disclosed that out of the 117 disposable properties identified, only 33 items were included in the IIRUP even though the remaining 80 items were already marked as unserviceable, defective and/or returned in the RPCPPE. On the other hand, four (4) ICT Equipment, acquired more than 10 years ago such as desktop computers and laptops were still marked as serviceable even though they were already obsolete and unused by end-users.

According to the CGSO, disposal of all unserviceable properties, as requested by the City, were already approved by the Sangguniang Panlungsod. Currently, the Inventory Committee is yet to convene for the schedule of the disposal and to facilitate the publication of the Invitation to Bid for the sale of the properties through public auction. On the other hand, the CAO stated that the necessary documentary required for the derecognition of the unserviceable properties where not submitted, thus, the continued inclusion thereof in the PPE accounts.

The non-disposal of unserviceable/obsolete properties can have various negative effects which includes: 1) taking up space within government premises leading to congestion and inefficiency in the work areas; and, 2) diminished value due to prolonged exposure to natural elements and possibly to pilferage. On the other hand, timely and regular disposal of unserviceable property benefits the agency in the following:

1. Prevention of further deterioration thereby obtaining the fair return in case of sale;
2. Relieve accountable officers of unnecessary accountability; and
3. Make available usable space.

Finally, continued inclusion of unserviceable and obsolete properties in the PPE accounts casts doubts on the accuracy and reliability of the ending balances of the PPE accounts as at year end.

***F. Submitted RPCPPE still includes 620 semi-expendable properties totalling to P12,794,069.68, out of this amount, P413,892.64 were still carried in the accounting records under PPE accounts***

COA Circular 2022-004 dated May 31, 2022 was issued to prescribe the guidelines on the increase of capitalization threshold from P15,000.00 to P50,000.00.

Review and verification of RPCPPE disclosed that 620 semi-expendable properties with acquisition cost below P50,000.00 each were still included in the said report while subsidiary ledgers for properties with acquisition cost below P50,000.00 each still remains in the accounting records as at year-end as shown in the table below (see details in *Annex K)*:

| PPE Account | No. of Items | Acquisition Cost | Carrying Amount |
|---|---|---|---|
| Information and Communication Technology Equipment | 67 | P1,681,305.00 | P226,317.48 |
| Military, Police and Security Equipment | 6 | 99,000.00 | 0.00 |
| Other Machineries and Equipment | 22 | 278,420.00 | 17,518.50 |
| Other Transportation Equipment | 20 | 378,000.00 | 0.00 |
| Furniture & Fixtures | 22 | 281,784.00 | 137,196.74 |
| Other Property, Plant & Equipment | 483 | 10,075,560.68 | 32,859.92 |
| **TOTAL** | **620** | **P12,794,069.68** | **P413,892.64** |

Inquiry with the CGSO revealed that the inclusion of these items in the RPCPPE was inadvertently overlooked due to the massive quantity of properties subjected to the physical count, thus they were not able to rectify the voluminous report prior to its submission. The CAO was also amenable that they may have overlooked its derecognition especially for multiple semi-expendable properties lumped in a single subsidiary ledger which showed a balance of more than P50,000.00.

The inclusion of items costing below P50,000.00 in the RCPPE totalling to contributed to the variance between the PPE records of the CGSO and CAO. Furthermore, the non-adjustment of the remaining semi-expendable properties totalling to 413,892.64 from the books of accounts of the City casts doubt on the valuation and accuracy of the PPE account balances reported in the Financial Statements.

***G. Submitted RPCPPE does not conform with the prescribed format and not properly accomplished***

Section 124, Volume I of the Manual on the New Government Accounting System for Local Government Units requires the preparation of the RCPPE. Annex "49", Volume II thereof provides the format and instructions in the accomplishment thereof.

Upon review of the submitted RPCPPE as at December 31, 2023, the following deficiencies were noted:

- The format used for the Motor Vehicles account under the City Economic Enterprise Management and Development Office (CEEMDO) does not conform with the one prescribed in Annex "49" of the NGAS Manual;
- For the rest of the PPE accounts, although the format used is correct, the details were not completely and properly filled for each property such as the unit of measure, the balance per stock card, the quantity on hand per count, and the quantity and value of shortage or overage, if any; and
- The condition, whether serviceable or unserviceable, was also not indicated for majority of the properties listed in the RPCPPE.

The CGSO was amenable of the errors and deficiencies committed in the preparation of the RPCPPE. Nonetheless, the office assured to correct the said oversights in the accomplishment of the report.

Taken altogether, the foregoing deficiencies indicate lapses in compliance to COA Circular No. 2020-006 dated January 31, 2020. As a result, the City Government failed to address the enormous amounts of discrepancies in PPE account balances. This condition

of the PPE Accounts of the agency, if not thoroughly addressed, will continue to affect and raise doubts on the City Government's assertions on PPE's existence, accuracy, valuation, ownership and presentation and disclosure in the financial statements.

These audit observations were also presented in the CY 2022 Annual Audit Report and in prior years, however, the prevalence of the same errors and deficiencies compelled this restatement of the audit recommendations.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor:

a. The City Accounting Office (CAO) and the City General Services Office (CGSO) to fast-track the reconciliation of the PPE accounts in accordance with COA Circular No. 2020-006 dated January 31, 2020 and ensure the swift and regular reconciliation of records of both offices pertaining to the City's PPE;

b. The CGSO to facilitate the transfer of the identified PPE Items and ensure compliance to documentary requirements and other procedures provided under applicable rules and regulations;

c. After completion of the transfer of the properties, the CAO to de-recognize the specified assets from the City's books of accounts and furnish the respective recipient national and local government agencies a copy of the Journal Entry Voucher together with the supporting documents to facilitate the recording in the latter's respective books of account;

d. For the improper and inconsistent classification and misclassification of PPE, accounts and Intangible Assets, the CAO to make the necessary adjusting entries to properly reflect the correct classification and balances of PPE accounts affected;

e. For the PPE items with acquisition cost of below P50,000.00, the CGSO to exclude the items in the RPCPPE and the CAO to make the appropriate adjusting entries to derecognize the affected PPE in accordance with COA Circular 2022-004 dated May 31, 2022;

f. For the unserviceable and obsolete properties, the CGSO to facilitate its immediate disposal and furnish the CAO the necessary supporting documents to enable its derecognition from the books; and,

g. The CGSO to use the prescribed RPCPPE form and ensure that all the necessary information required therein are entirely provided.

**Management's Comments:**

As of date of this report, the management has not yet submitted their written reply for the Audit Observation Memorandum. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

The City Accounting Office, on the other hand, have already effected various adjustments in the first quarter of CY2024 to correct some of the noted misstatements.

**Auditor's rejoinder:**

Similar audit observations have already been noted in the prior audit reports; however, audit recommendations remained not implemented thus this restatement. The Audit Team will verify the adjustments made by the City Accountant.

***Property, plant and equipment – Non-reclassification of Construction-in-Progress Accounts***

**3. Completed projects totalling P36,160,446.04 for all funds were not provided with depreciation due to non-reclassification of the accounts from Construction-in-Progress (CIP) to its appropriate asset accounts, inconsistent with applicable COA rules and regulations, thus overstating the Property, Plant and Equipment and Equity Accounts of the agency by at least P973,778.16 as at December 31, 2023.**

Section 50 of the New Government Accounting System (NGAS) Manual for LGUs, Volume I provides:

> Property, plant and equipment to be constructed may be classified as agency assets and public infrastructures. Agency assets are those to be used by the LGU concerned, like buildings, while public infrastructures are those to be used by the general public. The construction period theory shall be used in recording both types of assets. This means that expenses such as license fees and bonus paid to contractor for completing the work ahead of schedule, etc. during the construction period shall be added to the

total cost of the project. However, liquidated damages charged to the contractor for delayed completion should be deducted from the total cost.

During the construction period, agency assets and public infrastructures shall be taken up in the books as "Construction in Progress" with the appropriate asset classification. **As soon as the project is completed, the Construction in Progress for agency asset is closed to the appropriate asset account**. (Emphasis supplied)

Also, Commission on Audit (COA) Circular No. 2015-009 dated December 1, 2015, which prescribes the updated chart of accounts and its description in relation to the adoption of the International Public Sector Accounting Standards (IPSAS), *describes Construction in Progress (CIP) as cost or other appropriate value of government assets that are **still in the process** of construction or development. Said account shall be reclassified to the appropriate asset account upon completion.*

The CIP accounts (all funds) of the City Government of Panabo showed a total balance of P506,288,859.99 as at December 31, 2023. Details are shown as follows:

| Account Title | | General Fund | SEF | Trust Fund | Total |
|---|---|---|---|---|---|
| 1 | Construction in Progress – Land Improvements | P2,383,394.68 | -P0.00- | -P0.00- | P2,383,394.68 |
| 2 | Construction in Progress – Infrastructure Assets | 101,205,351.28 | -0.00- | 16,832,597.46 | 118,037,948.74 |
| 3 | Construction in Progress – Buildings and Other Structures | 382,935,966.11 | 2,789,084.80 | 142,465.66 | 385,867,516.57 |
| **TOTAL** | | **P486,524,712.07** | **P2,789,084.80** | **P16,975,063.12** | **P506,288,859.99** |

To determine the status of the above accounts as at December 31, 2023, the Audit Team reviewed and examined the Construction in Progress subsidiary ledgers and verified its status with the report by the City Engineer's Office (CEO). It was then revealed that there are already completed projects based on the monitoring of the CEO which were not yet classified by the City Accounting Office (CAO) to their appropriate asset accounts totalling to P36,160,446.04. The summary of the said projects is presented below (details in *Annex L*).

| Account Title | Amount |
|---|---|
| **General Fund** | |
| Other Land Improvements | P1,414,916.28 |
| Road Networks | 26,815,835.49 |
| Water Supply Systems | 3,280,853.39 |
| Other Structures | 1,724,165.28 |
| ***Sub-total*** | ***P33,235,770.44*** |

| Account Title | Amount |
|---|---|
| **Special Education Fund** | |
| School Buildings | P2,789,084.80 |
| ***Sub-total*** | ***P2,789,084.80*** |
| **Trust Fund** | |
| Other Structures | P135,590.80 |
| ***Sub-total*** | ***P135,590.80*** |
| **Grand total** | **P36,160,446.04** |

Evaluation of the projects recorded in various CIP accounts showed that completed projects from 2016, 2019, 2020, 2022 and 2023 still remained recorded under CIP accounts. Inquiry with the CAO personnel revealed that projects recorded under several CIP accounts remained in such classification due to failure and/or delay of the CEO to submit the certificates of project completion and other supporting documents to warrant the transfer of the same to its appropriate PPE accounts.

Due to above-noted deficiencies, no depreciation expenses were provided. The should-be depreciation expense of the above-completed projects amounted to at least P973,778.16 (See *Annex L* for details). The summary of the said amount is shown hereunder.

| Account Title | Amount |
|---|---|
| **General Fund** | |
| Other Land Improvements | P0.00 |
| Road Networks | 262,905.48 |
| Water Supply Systems | 457,560.87 |
| Other Structures | 192,405.32 |
| ***Sub-total*** | ***P912,871.67*** |
| **Special Education Fund** | |
| School Buildings | P23,242.37 |
| ***Sub-total*** | ***P23,242.37*** |
| **Trust Fund** | |
| Other Structures | P37,664.11 |
| ***Sub-total*** | ***P37,664.11*** |
| **Grand total** | **P973,778.16** |

Additionally, status of completion for thirteen (13) CIP accounts totalling P16,298,700.76 were not yet verified by the CEO due to unavailability of documents at hand (see details in *Annex M*). There is a high probability that these projects are already completed considering that the period of implementation started as early as CY 2007 up to the current year.

As a result, depreciation expenses were not recognized, thereby, overstating the Property, Plant and Equipment and Equity accounts by at least P973,778.16 as at December 31, 2023. This observation has already been noted in CY 2022 and in the prior years. Even

though management was able to reclassify several completed projects from the CIP to its proper asset accounts, the above-mentioned deficiency is still observed in the current year, hence, this restatement.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor:

a. The City Engineer's Office (CEO) to immediately submit to the City Accounting Office (CAO) the necessary supporting documents (i.e. Certificates of Completion, Certificates of Acceptance, etc.) in order to reclassify the items recorded under CIP accounts to the appropriate asset accounts most especially those completed in CY 2022 and CY 2023;

b. The City Mayor to create a special Committee composed of representatives from the City General Services Office, the CEO, and the CAO to ascertain the completion of those projects with unverified status with total cost of P16,298,700.76 including other infrastructure projects completed in CY2021 and below of which the necessary documents are no longer available; the report of said Committee shall be used by CAO for proper reclassification and provision of depreciation; and,

c. Direct the City Accountant to prepare the necessary adjusting entries to reclassify the CIP account to its appropriate asset account upon receipt of necessary documents and to record the appropriate depreciation expenses.

**Management's Comments:**

As of date of this report, the management has not yet submitted their written reply for the Audit Observation Memorandum. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

The City Accounting Office, on the other hand, have already effected various adjustments in the first quarter of CY2024 to correct some of the noted misstatements.

**Auditor's rejoinder:**

Similar audited observations have already been noted in the prior audit reports; however, audit recommendations remained not implemented thus this restatement. The Audit Team will verify the adjustments made by the City Accountant.

***Accounts Payable – Unsupported claims***

4. **Validity of claims recorded under the Accounts Payable account amounting to P25,757,268.02 could not be established due to incomplete submission and deficient supporting documents to substantiate its recognition as prescribed under P.D. 1445, COA Circular No. 2015-009 and IPSAS 1, thus, casting doubts on the fair presentation of the reported balance of the Financial Liabilities as at year-end.**

Section 4 of Presidential Decree (P.D.) No. 1445 states that, *"Claims against government funds shall be supported with complete documentation."*

Under COA Circular No. 2015-009 dated December 1, 2015 prescribing the revised chart of accounts for Local Government Units, Accounts Payable (2-01-01-010) *"shall be used to record receipt of goods or services on account in the normal course of trade and business operation."* The same shall be debited for payment or settlement of liabilities.

Furthermore, under the accrual basis of accounting, as stated in Section 7 of IPSAS 1, "*transactions and other events are recognized when they occur and not only when cash or its equivalent is received or paid. Therefore, the transactions and events are recorded in the accounting records and recognized in the financial statements of the periods to which they relate."*

For the month of December 2023, Accounts Payables totalling P133,355,372.26 were recorded by the City Accounting Office summarized as follows:

| Fund | Amount |
|---|---|
| General Fund | P118,042,244.75 |
| Special Education Fund | 5,189,866.09 |
| Trust Fund | 10,123,261.42 |
| **TOTAL** | **P133,355,372.26** |

For the audit of CY 2023 transactions, we have examined 72 vouchers totalling P92,133,845.60, viz:

| Fund | No. of JEVs | Total Amount |
|---|---|---|
| General Fund | 60 | P78,156,328.72 |
| Special Education Fund | 7 | 5,097,493.20 |
| Trust Fund | 5 | 8,880,023.68 |
| **TOTAL** | **72** | **P92,133,845.60** |

It was noted that multiple transactions were lumped in a single journal entry voucher. Upon review and examination of these material transactions and its corresponding supporting documents, various deficiencies were noted in the recognition of Accounts Payable as shown hereunder and details presented in *Annex N*, to wit:

| Deficiencies Noted | No. of Transactions | Amount |
|---|---|---|
| 1. Journal Entry Vouchers and supporting documents not submitted | 4 | P8,705,500.00 |
| 2. No supporting documents attached | 6 | 671,006.25 |
| 3. No proof that service was rendered or goods delivered | 9 | 9,389,365.93 |
| 4. Deficiencies in the Acceptance and Inspection Report | 60 | 16,456,968.17 |
| 5. Lacking signatures in other supporting documents such as CAFOA | 1 | 207,542.70 |
| **Total** | **80** | **P35,430,383.05** |

For item no. 1, Journal Entry Vouchers with four (4) transactions amounting to P8,705,500.00 were not submitted to the Office of the Auditor for verification.

For item no. 2, although their corresponding JEVs were submitted, six (6) transactions totalling P671,006.25 were not supported with relevant documents to substantiate that these obligations were indeed incurred in the period to which they relate.

For item no. 3, even though the payables were supported with other documentary requirements such as Obligation Request and/or Certification on Appropriations, Fund and Obligations of Allotment (CAFOA), Purchase Requests and Purchase Orders, nine (9) transactions totalling to P9,389,365.93 were not substantiated with proof that the service were rendered or the goods were already delivered due to the absence of Unsigned Payrolls showing list of payees and period of service rendered, Statement of Accounts, Delivery Receipts, Charge Invoices or its equivalent.

For item no. 4, sixty (60) transactions totalling P16,456,968.17 have lapses in the accomplishment of Acceptance and Inspection Report (AIR). It was either undated and/or

not signed as to when the procured goods/service was accepted and inspected by the assigned Property Officer and Inspection Officer, respectively. Several transactions were also not attached with an Acceptance and Inspection Report. This deficiency implies either incomplete or non-delivery of goods or non-inspection of the items procured.

For item no. 5, one (1) CAFOA with transaction amounting 207,542.70 was not signed as certified by the City Treasurer and City Accountant as to the availability of funds for disbursement and availability of allotments for obligations, respectively.

In view of the foregoing, the non-submission/lack of pertinent documents to substantiate the validity of claims cast doubt whether the criteria for the recognition of financial liabilities are met. Moreover, due to the deficiencies on the documentary requirements, the validity of the recognized obligations could not be ascertained. Altogether, these deficiencies affected the reliability and accuracy of the reported balance of the Accounts Payable account as at year-end thereby casting doubts on the fair presentation of the reported balance of the Financial Liabilities as at year-end.

**Recommendation:**

We recommended the City Mayor that the City Accounting Office immediately submit to the Office of the Audit Team the lacking documents to substantiate the validity of claims and a written justification on the noted deficiencies on supporting documents in the recognition of accounts payable to complete the evaluation and to enable us to make a decision in audit.

**Management's Comments:**

As of date of this report, the management has not yet submitted their written reply for the Audit Observation Memorandum. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

**Auditor's rejoinder:**

Similar audited observations have already been noted in the prior audit reports; however, audit recommendations remained not implemented thus this restatement.

*Accounts Payable – Unadjusted errors and long outstanding claims*

**5. Errors and long outstanding claims amounting to P1,760,415.14 recorded under Accounts Payable were not adjusted as at December 31, 2023, thus casting doubts on the fair presentation of the reported balance of the Financial Liabilities as at year-end.**

Section 27 of the International Public-Sector Accounting Standards (IPSAS) 1 provides that:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs…xxx…

Upon review and examination of the schedule of Accounts Payable and its subsidiary ledgers as at December 31, 2023, it was noted that claims amounting to P1,760,415.14 which have been outstanding for more than 2 years remained unadjusted in the books of accounts of the Agency, to wit:

| Year Incurred | General Fund | Special Education Fund | Trust Fund | Total |
|---|---|---|---|---|
| 2020 | P899,282.25 | -P0.00- | P49,700.00 | **P948,982.25** |
| 2019 | 294,105.23 | -0.00- | -0.00- | **294,105.23** |
| 2018 | 168,085.66 | -0.00- | -0.00- | **168,085.66** |
| 2017 | 313,242.00 | 36,000.00 | -0.00- | **349,242.00** |
| **Total** | **P1,674,715.14** | **P36,000.00** | **P49,700.00** | **P1,760,415.14** |

As shown in the table above, majority of the long outstanding accounts payable are under the General Fund and have been outstanding since CY 2017. Details thereof are presented in *Annex O*.

Inquiry with the accounting personnel revealed that the presence of long outstanding accounts is due to the following errors and deficiencies:

a. Overbooking of accounts payable wherein the recorded claims are in excess of the actual amount paid to the supplier;

b. Non-processing by the concerned office for the payment of the outstanding payables including those liabilities recognized for the reversion of stale checks; and,
c. Non-adjustment/non-reconciliation of accounts with misposted payments.

In the audit of CY 2022 Financial Liabilities, dormant accounts totalling to P3,310,853.51 have been previously identified and communicated to the Management through the issuance of an Audit Observation Memorandum (AOM No. 23-015 dated February 7, 2023). During CY2023, management was able to accomplish the reversal of several accounts, thus bringing down the balance of the past due accounts to P1,760,415.14 as at year-end.

The CAO explained that due to the unavailability of records and documents for prior years' transactions, the process of correcting and reversing the balances has been slowed down. Further, no records have been presented to show that claimants or payee's are still demanding payment to these long outstanding payables. This condition, in addition to non-availability of records and documents, cast doubts on the validity and existence of the recognized obligations thereby affecting the fair presentation of the reported balance of the Financial Liabilities as at year-end.

Finally, the obligated funds of these long outstanding payables is a potential source of fund to finance the programs, projects and activities of the City. Therefore, management should exert extra effort to facilitate the immediate reconciliation and enforce reversal to unappropriated surplus if warranted.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor that the City Accounting Office:

a. Determine whether or not the City Government has obligation to pay the creditors of long outstanding accounts recorded under the Accounts Payable;

b. For accounts which established obligation to pay, communicate the matter with the concerned offices and set a deadline to process its settlement;

c. Revert the balances of accounts payable with no established obligation to pay including those unsettled after the earlier fixed deadline to the unappropriated surplus; and,

d. Draw adjusting entries to correct errors in the recording and the reversion of long outstanding accounts payable.

**Management's Comments:**

As of date of this report, the management has not yet submitted their written reply for the Audit Observation Memorandum. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

**Auditor's rejoinder:**

Similar audited observations have already been noted in the prior audit reports; however, audit recommendations remained not implemented thus this restatement.

***Loans Payable – Domestic account - Non-adjustments of errors and misclassification***

6. **The Loans Payable – Domestic account balance of P709,004,109.40 as at December 31, 2023 is doubtful due to unverified variance of P 749,493.83 of the ledger balances with the records of the financial institutions inconsistent with International Public-Sector Accounting Standards 1 and 28.**

Section 27 of the International Public-Sector Accounting Standards (IPSAS) 1 also provides:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs…xxx…

Furthermore, IPSAS 28 establishes principles for presenting financial instruments as liabilities or net assets/equity and for offsetting financial assets and financial liabilities. It applies to the classification of financial instruments, from the perspective of the issuer, into financial assets, financial liabilities and equity instruments; the classification of related interest, dividends or similar distribution, losses and gains; and circumstances in which financial assets and financial liabilities should be offset.

The Loans Payable-Domestic account showed a balance of P709,004,109.40 as at December 31, 2023. Confirmation and comparison of the loan balance of the City per supporting schedules of the financial statements/subsidiary ledger against the financial institution's records disclosed a total variance of P749,493.83 (see table below) due to non-reconciliation of the accounting records with that of the financial institutions.

| Particulars | Date Granted-Maturity Date | Balance per SL as of 12/31/2023 | Balance as per Bank Confirmation 12/31/2022 | Variance | Remarks |
|---|---|---|---|---|---|
| **Land Bank of the Philippines (LBP)** | | | | | |
| Heavy Equipment III (CY 2014) | 2004-2014 | P686,994.11 | -P0.00- | P686,994.11 | For reconciliation |
| SMEs OSP-PSF | No data available | 62,500.00 | -0.00- | 62,500.00 | For reconciliation |
| Acquisition of Heavy Equipment IV | 7/11/2018-7/11/2025 | 9,126,923.14 | 9,126,923.14 | -0.00- | |
| Construction of Legislative Building | 3/12/2018-3/12/2033 | 45,068,724.81 | 45,068,724.81 | -0.00- | |
| Improvement of PMPTCSC | 5/21/2018-5/21/2028 | 30,999,999.76 | 31,000,000.04 | (0.28) | For reconciliation |
| Concreting of Farm-to-Market Roads | 10/18/2021-10/18/2036 | 91,202,361.43 | 91,202,361.43 | -0.00- | |
| Construction of Memorial Park | 5/22/2013-5/22/2028 | 17,267,997.78 | 17,267,997.78 | -0.00- | |
| Acquisition of Heavy Equipment - 1 unit Vacuum Tanker & 3 units 6-Wheeler Dump Trucks | 01/26/2022-01/26/2029 | 40,352,307.70 | 40,352,307.70 | -0.00- | |
| Construction of Panabo Market Complex | 02/18/2022-02/18/2037 | 365,841,300.69 | 365,841,300.69 | -0.00- | |
| | | | **Sub-total** | **P749,493.83** | |
| **Development Bank of the Philippines (DBP)** | | | | | |
| Construction of Sanitary Landfill Facilities | 06/25/2019-06/25/2034 | 66,324,999.98 | 66,324,999.98 | -0.00- | |
| Procurement of Heavy Equipment (SLF) | 10/09/2020-10/09/2030 | 42,070,000.00 | 42,070,000.00 | -0.00- | |
| | | | **Sub-total** | **-P0.00-** | |
| | | | **Total Misstatement** | **P749,493.83** | |

As per inquiry, the City Accountant explained the reason for the variances on the Heavy Equipment III (2014), SMEs OSP-PSF (variance of P686,994.11and P62,500.00, respectively) – the presented balances of the said loans are still subject for reconciliation by the CAO. The office has already request certification from the financial/lending institution that the loans are already fully paid. However, the reconciliation is still pending due to lack of manpower and difficulty in tracing of the transactions causing the variance. The said variance was also observed and included in the CY 2014 and CY2022 Annual Audit Report but remained uncorrected as at December 31, 2023; thus, this restatement.

As a result of the foregoing, the balance of Financial Liabilities as at December 31, 2023 is overstated by P749,493.83 and the Government Equity is likewise understated by same amount.

**Recommendation:**

We restated our prior years' recommendation to the City Mayor that the City Accounting Office reconcile its records with that of the financial/lending institution and effect the necessary adjustments to reflect the correct balance of the Loans Payable – Domestic account.

**Management's Comments:**

As of date of this report, the management has not yet submitted their written reply for the Audit Observation Memorandum. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

The City Accounting Office, on the other hand, have already effected various adjustments in the first quarter of CY2024 to correct some of the noted misstatements.

**Auditor's rejoinder:**

Similar audited observations have already been noted in the prior audit reports; however, audit recommendations remained not implemented thus this restatement. The Audit Team will verify the adjustments made by the City Accountant.

***Trust Liabilities – DRRMF - Non-adjustment of errors and required year-end accounting entries***

**7. The Trust Liabilities - DRRMF under Trust Fund and Trust Liabilities under General Fund as at December 31, 2023 are misstated by P845,841.93 and P2,788,196.39, respectively, and Government Equity by P3,634,038.32 due to non-adjustment of errors and required year-end accounting entries thereby affecting its fair presentation in the financial statements at year-end.**

Pertinent provision under COA Circular No. 2012-002 dated September 12, 2012 prescribes the accounting and reporting guidelines for the Local Disaster Risk Reduction and Management Fund (LDRRMF) as follows:

> 5.1.10 All unexpended/unobligated balance of the QRF and the DRRMF-MOOE shall be transferred to the Special Trust Fund under the account "Trust Liability-DRRM" in the Trust Fund books.
>
> 5.1.12 The account Trust Liability-DRRM in the Trust Fund books shall be used to record transfers of the agency's unutilized QRF and DRRMF-MOOE of the previous years…xxx…Subsidiary ledgers shall be maintained for transfers of agency's unutilized DRRMF to the special trust fund by year of transfer…xxx…
>
> 5.1.13 The unutilized balance of the LDRRMF shall be available for use in the disaster risk reduction and management activities as provided in the LDRRMFIP within the next five years. Any unutilized amount after five years shall be reverted back to the unappropriated surplus of the General Fund and shall be made available for other social services after subsequent enactment by the local sanggunian…xxx…

In addition, Annex "C" of the same Circular provides the following illustrative accounting entries for incurrence of expenses, purchase of assets and year-end accounting entries:

| Particulars | Trust Fund |
|---|---|
| 1. Incurrence of expenses charged to previous years' unexpended DRRM Fund | Dr. Expenses<br>Cr. Accounts Payable or Cash in Bank, LCCA |
| 2. Purchase of Assets | Dr. Asset account<br>Cr. Accounts Payable or Cash in Bank, LCCA |
| 3. Year-end accounting entries | Dr. Trust Liabilities-DRRMF<br>Cr. Expenses |

Review and examination of the accounting and reporting of the LDRRMF Special Trust Fund, revealed that the acquired assets and expenses charged under unexpended DRRMF of CYs 2017, 2019, 2020 and 2021 were not adjusted to Trust Liabilities-DRRMF (TL-DRRMF) as prescribed in No. 3 above. This omission and non-adjustments of other errors misstated the Trust Liabilities-DRRMF under Trust Fund by P845,841.93. Details of the unadjusted errors and transactions are shown below.

| Particulars | Amount |
|---|---|
| **STF 2021 (Trust Liabilities-DRRMF 2020)** | |
| Unissued inventories (Rescue equipment & African Swine Fever Control (ASF) Program) | (P625,280.00) |
| Year-end payable (Contingency Fund for Covid-19) | (147,200.00) |
| Paid transactions not yet charged to STF (CBMS APP-CDDM-CCA Citywide) | (81,841.57) |
| Erroneous SL booking (Repair and maintenance of DRRM vehicle) | 20,295.00 |
| ***Sub-total*** | ***(P834,026.57)*** |
| **STF 2020 (Trust Liabilities-DRRMF 2019)** | |
| Unissued inventories (Drugs & medicines, Contingency Fund for ASF & Covid-19) | (P291,745.50) |
| Erroneous SL booking (Repair and maintenance of DRRM vehicle) | (20,295.00) |
| Acquired property already issued but not yet charged to STF (Smart TV) | (67,800.00) |
| ***Sub-total*** | ***(P379,840.50)*** |
| **STF 2019 (Trust Liabilities-DRRMF 2018)** | |
| Double entry as per JEV-2022-12-000301 & JEV-2022-12-000302 (Agricultural Support Fund) | P400,495.00 |
| Year-end payable (One speedboat for coastal rescue & fishery patrol) | 1,998,000.00 |
| ***Sub-total*** | ***P2,398,495.00*** |
| **STF 2017 (Trust Liabilities-DRRMF 2016)** | |
| Expenditures not yet charged to STF (Medicines & CDRRMO responders tactical uniforms | (P338,786.00) |
| ***Sub-total*** | ***(P338,786.00)*** |
| **TOTAL (NET)** | **P845,841.93** |

We have also reviewed the reverted unutilized DRRM Fund to the unappropriated surplus of the General Fund. The CAO recorded transactions thereof in the Trust Liabilities account under the General Fund and maintained a separate subsidiary ledger as “Unexpended Calamity Fund Lapse 5 years”. As at December 31, 2023, its ending balance amounted to P9,062,738.18. According to the CAO, P2,788,196.39 thereof pertains to expenses already incurred but not yet adjusted to Trust Liabilities accounts at year-end there misstating the said account.

As a result, Trust Liabilities - DRRMF and Trust Liabilities as at December 31, 2023 by P845,841.93 and P2,788,196.39, respectively, and Government Equity by P3,634,038.32

due to non-adjustment of errors and required year-end accounting entries thereby affecting its fair presentation in the financial statements at year-end.

**Recommendations:**

We recommended the City Mayor that the City Accountant immediately prepare the necessary adjusting journal entries to correct the misstated balances of the Trust liabilities-DRRM Fund, Trust Liabilities and Government Equity and furnish the Audit Team thereof.

**Management's Comments:**

The management was amenable to the audit observation and recommendation. The City Accountant stated that their Office is on the process of recording the required entries to correct the noted errors/misstatements. They added that they furnish the Audit Team of the copies of the adjustments.

***Various accounts with abnormal and unreconciled/for reclassification balances***

**8. Errors or omissions in the recording of the transactions resulted in abnormal and unreconciled balances of subsidiary ledger for various relevant accounts, thus, casting doubts on the fair presentation of the balances reported in the financial statements as at December 31, 2023.**

Section 27 of the International Public Sector Accounting Standards (IPSAS) 1 provides that:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs.

Sections 111 (1) of P.D. 1445, the Government Auditing Code of the Philippines, provides that:

> The accounts of an agency shall be kept in such detail as is necessary to meet the needs of the agency and at the same time be adequate to furnish the information needed by fiscal or control agencies of the government.

***A. Property, Plant and Equipment Account – Unreconciled balances described as "For reclassification" amounting to P3,110,708.19***

Review on the composition of all PPE accounts of the City disclosed that there were thirteen (13) subsidiary ledgers classified as "for reclassification" or have unknown details totalling to P3,110,708.19 as summarized in the table below and detailed in *Annex P*, viz:

| PPE Account | No. of SLs | Carrying Amount |
|---|---|---|
| **General Fund** | | |
| Land | 2 | P704,302.63 |
| Office Equipment | 1 | 9,063.00 |
| Construction and Heavy Equipment | 4 | 392,126.64 |
| Medical Equipment | 1 | 7,187.88 |
| Furniture and Fixtures | 1 | 188,979.10 |
| **Sub-total (GF)** | **9** | **P1,301,659.25** |
| **Special Education Fund** | | |
| School Buildings | 1 | P154,391.63 |
| Other Structures | 1 | 1,596,768.21 |
| Furniture and Fixtures | 1 | 22,089.10 |
| Land | 1 | 35,800.00 |
| **Sub-total (SEF)** | **4** | **P1,809,048.94** |
| **TOTAL** | **13** | **P3,110,708.19** |

Further verification showed that the balances were not supported with list of PPE items showing the composition thereof. According to CAO, these balances originated from the transition to electronic New Government Accounting System (eNGAS) from manual recording starting from January 1, 2006 to the present.

CAO further explained that during the setting-up of beginning balances under eNGAS, composition of the balances of these PPE Accounts were not identified due to the absence of relative supporting documents such as Property Ledger Cards. The CGSO also informed that they do not have records for the said accounts especially those that were acquired prior to the current personnel's assumption of office. Despite exhaustion of diligent efforts, they could no longer establish the composition of these accounts due to non-availability of persons knowledgeable of the transactions and due to long passage of time from the period of recording.

Based on the above circumstance, the management should have established the non-availability of the records of accountability of these balances and request the de-recognition of the balances in accordance with COA Circular No. 2020-006 dated January 31, 2020 in relation to the "One-Time Cleansing" of PPE account balances. The continued inclusion of these balances in the ending balances of PPE Accounts cast doubts on management assertion on the existence of the assets affecting the reliability of the information presented in the financial statements.

***B. Real Property Tax (RPT) and Special Education Tax (SET) Receivables - Unreconciled balances described as "For reclassification" amounting to P39,304,922.78 and P38,608,905.23, respectively***

Likewise, RPT and SET Receivables accounts have subsidiary ledgers classified as "for reclassification" presented in the table below:

| Account Name | Subsidiary Ledger (SL) Description | Ending Balance, as at 12/31/2023 |
|---|---|---|
| RPT Receivables | For Reconciliation/Reclass (10301020-07-002) | P39,304,922.78 |
| SET Receivables | Set Receivable (10301030-06-SEF001) | 38,608,905.23 |
| | **TOTAL** | **P77,913,828.01** |

The continued inclusion of these unreconciled balances in the ending balances reported at year-end cast doubts on management assertion on the existence of the assets affecting the reliability of the information presented in the financial statements.

**Recommendations:**

We recommended to the City Mayor that the City General Services Office and City Accounting establish the non-availability of the records of accountability and request for the derecognition of PPE accounts classified as "For reclassification" in accordance with COA Circular No. 2020-004.

We further recommended that City Accounting Office correct the unreconciled balances of the subsidiary ledgers under the Real Property Tax and Special Education Tax Receivables.

**Management's Comments:**

The City Accountant explained that they cannot reclassify or derecognized the PPE Items under the noted 13 Subsidiary Ledgers due to non-availability of the records. The

CGSO, on the other hand, have yet to submit their written reply for the AOM. However, during the exit conference, the mentioned that they consider requesting the derecognition of said PPE accounts in accordance with COA Circular No. 2020-004.

On the other hand, the City Accountant explained that RPT and SET Receivables classified as "For reclassification" pertains to the uncollected balances of RPT and SET receivable in the prior years which was annually set-up in lump sum amount. These balances are then reclassified to specific barangays upon collection or off-set to negative balances.

**Auditor's rejoinder:**

The practice of setting up RPT and SET receivables in lump sum amount is inconsistent with Section 20, Volume 1 of the Manual on the New Government Accounting System (NGAS) for Local Government Units prescribes the following reporting/ recording procedures:

> Basis of Recording Real Property Tax/Special Education Tax. – Real Property Tax Receivables/Special Education Tax Receivables shall be established at the beginning of the year based on Real Property Tax Account Register/Taxpayer's index card. At the beginning of the year, the Treasurer shall furnish the Chief Accountant of **a duly certified list showing the name of taxpayers and the amount due and collectible for the year**. Based on the list, the Chief Accountant shall draw a Journal Entry Voucher (JEV) to record the debit to Real Property Tax Receivable/Special Education Tax Receivable and crediting to Deferred Real Property Tax Income/Deferred Special Education Tax Income…xxx… (Emphasis supplied)

***C. Property, Plant and Equipment Account - Abnormal balances amounting to P160,664.48***

Further verification of the subsidiary ledgers of the PPE Accounts disclosed that four (4) accounts have an abnormal balance totalling to P160,664.48 as follows:

| | PPE Account | SL Code | Description | Acquisition Cost | Accum. Depreciation | Carrying Amount |
|---|---|---|---|---|---|---|
| 1 | Communication Equipment | 10705070-04-213CEGFP | CELLPHONE - REALME 6PRO 8GB&28GB ARE#2020-10-02_ MADERA M. BAUTISTA | (P18,844.46) | (P10,858.50) | (P7,985.96) |

| | PPE Account | SL Code | Description | Acquisition Cost | Accum. Depreciation | Carrying Amount |
|---|---|---|---|---|---|---|
| 2 | Motor Vehicle | 10706010-02-MVGFP167 | 1 unit Tata Ace 702cc Jeepney Type Arctic White CMO_MR#2017-02-003_Judith Lee | 0.00 | 50,892.84 | (50,892.84) |
| 3 | Motor Vehicle | 10706010-02-MVGFP165 | 1 unit Tata Ace 702cc Jeepney Type Arctic White CMO_MR#2017-02-002_Judith Lee | 0.00 | 50,892.84 | (50,892.84) |
| 4 | Motor Vehicle | 10706010-02-MVGFP166 | 1 unit Tata Ace 702cc Jeepney Type Arctic White CDRRMO_MR#2017-02-002_Prosper Dajalos | 0.00 | 50,892.84 | (50,892.84) |
| | **TOTAL** | | | **(P18,844.46)** | **P141,820.02** | **(P160,664.48)** |

For item no. 1, both the acquisition cost and accumulated depreciation shows a negative balance. For item nos. 2-4, the acquisition cost is zero even though there is an accumulated depreciation of P50,892.84 for each property as at December 31, 2023.

As per inquiry, the negative balances were due to errors in the recording of transactions. However, the CAO assured the immediate adjustment of the identified accounts. In view of this deficiency, the accounts with negative balance amounting to P160,664.48 cast doubt on the accuracy and reliability of the reported balance of the PPE accounts as at December 31, 2023, thereby affecting its fair presentation in the Financial Statements.

***D. SET Receivables - Abnormal balances amounting to P800,251.31***

Likewise, further verification of the balances of subsidiary ledgers for SET Receivables as at December 31, 2022 shows abnormal balances as shown in the following table.

| Subsidiary Ledger (SL) Description | Abnormal Balance, As at 12/31/2023 |
|---|---|
| A.O. Floirendo (10301030-02-B-001) | (P675,367.39) |
| Kauswagan (10301030-02-B-013) | (124,161.10) |
| Lower Panaga (10301030-02-B-016) | (722.82) |
| ***TOTAL*** | ***(P800,251.31)*** |

***E. Due to NGAs account - Abnormal balances amounting to P775,694.78***

AOM No. 23-012 dated January 27, 2023 was issued during CY 2022 audit to inform Management of the existence of abnormal balances in the Due to NGAs. Re-verification

of the subsidiary ledgers of Due to NGAs account in the Trust Fund books in CY 2023 shows that abnormal balances still formed part of the aforementioned account, to wit:

| Source Agency | Program/Activity | Negative balances as of 12.31.23 |
|---|---|---|
| DILG | FY 2021 LGSF – Barangay Development Program of National Task Force to End Local Communist Armed Conflict | (P530,728.60) |
| DOH | For Recon – Matching Grant | (2,831.90) |
| PHIC | For Recon – Maternal Care Package | (240,621.72) |
| DOH | For Recon – Capitation Fees,4thQtr.,2002-DOH | (1,512.56) |
| | **TOTAL** | **(P775,694.78)** |

An on-going reconciliation is still being done by Management to resolve some of these balances since these have been recorded in the books for quite some time.

An abnormal balance is an accounting irregularity which is usually caused by errors or omissions in the recording of the transactions. These errors or omissions may pertain to incorrect posting of transactions in subsidiary ledgers, inappropriate accounts used, non-recording of year-end adjustments, etc. Thus, the continued presence of such abnormal balances cast doubt on the reliability and accuracy of these accounts affecting its fair presentation in the financial statements.

**Recommendations:**

We recommended the City Mayor that the City Accounting Office makes the necessary adjusting entries to correct the subsidiary ledgers of accounts with abnormal balances.

**Management's Comments:**

The management was amenable to the audit observation and recommendations. The City Accountant explained the errors and misstatement have been overlooked and adjustments to correct the balances of the affected accounted have been made in the January and February 2024.

***Non-disclosure of Cash Flow Reconciliation***

**9. Reconciliation of net cash flows from operating activities was not presented in the Notes to Financial Statements (FS) inconsistent with the provisions of Section 27 of IPSAS 1, Section 29 of IPSAS 2 and COA Circular No. 2016-004, thereby affecting the reliability of the Cash and Cash Equivalents balance as at**

**year-end as well as the completeness of the disclosure of financial information in the Notes to FS.**

Section 27 of the International Public-Sector Accounting Standards (IPSAS) 1 provides:

> Financial statements shall present fairly the financial position, financial performance and cash flow of an entity. Fair presentation requires that faithful representation of the effects of transactions, other events and conditions in accordance with definitions and recognition criteria for assets, liabilities, revenue and expenses set out in IPSASs…xxx…

Moreover, Section 29 of IPSAS 2 states:

> Entities reporting cash flows from operating activities using the direct method are also encouraged to provide a reconciliation of the surplus/deficit from ordinary activities with the net cash flow from operating activities. This reconciliation may be provided as part of the cash flow statement or in the notes to the financial statements.

Also, COA Circular No. 2016-004 dated September 30, 2016 was issued to provide guidelines on the conversion of chart of accounts from the Philippine Chart of Accounts to the Revised Chart of Accounts for Local Government Units (LGUs) as well as guidelines on the preparation of the year-end financial statement reports. The aforesaid COA Circular provides the pro-forma financial statements as well as the disclosures required to be presented in the notes to financial statements to be applied by LGUs starting Calendar Year (CY) 2015. Annex "G" thereof provides a sample Notes to Financial Statements which shows the disclosure on the Reconciliation of Net Cash Flows from Operating Activities.

As at December 31, 2023, the Net Cash Flows from Operating Activities amounted to P426,957,270.28, with the following details:

| | **Consolidated Amount** |
|---|---|
| **Cash Flows from Operating Activities** | |
| ***Cash Inflows*** | |
| Collection from Taxpayers | P382,556,504.45 |
| Share from Internal Revenue Allotment | 1,064,025,769.00 |
| Receipts from Business/Service Income | 138,968,640.84 |
| Interest Income | 689,399.09 |
| Other Receipts | 379,831,233.85 |
| **Total Cash Inflows** | **P1,966,071,547.23** |

| | Consolidated Amount |
|---|---|
| ***Cash Outflows*** | |
| Payment of Expenses | P312,639,175.51 |
| Payment to Suppliers and Creditors | 7,792,407.42 |
| Payment to Employees | 488,578,661.63 |
| Interest Expense | 38,988,267.07 |
| Other Expenses | 691,115,765.32 |
| **Total Cash Outflows** | **P1,539,114,276.95** |
| **Net Cash Flows from Operating Activities** | **P426,957,270.28** |

As of March 7, 2024, the City Government still has not provided a reconciliation of the net cash flow from operating activities with the surplus/deficit in the Notes to FS. The City Accounting Office stated that they are still in the process of preparation of the said reconciliation.

It is important to note that reconciliation should be made to determine whether the balances presented in the Statement of Cash Flows through direct method, especially from its operating activities, are reliable and accurate as this has an effect on the determination of cash account balances at year-end. Further, cash flow information provides users of financial statements with a basis to assess the ability of the entity to generate cash and cash equivalents and the needs of the entity to utilize those cash flows.

As a result, the non-presentation of the aforesaid reconciliation casts doubt on the reliability of the cash and cash equivalents balance as at year-end and also affects the completeness of the disclosure of relevant financial information in the Notes to FS devoiding the users of the financial statements of information that are relevant in decision making.

**Recommendation:**

We recommended the City Mayor that the City Accountant prepare and disclose in the Notes to Financial Statements the Reconciliation of the Net Cash Flows from Operating Activities to Surplus/Deficit.

**Management's Comments:**

The management is amenable to the audit observation and recommendation. The City Accountant explained that since the reconciliation is not included in the function of eNGAs, it has to be done manually. They added that the reconciliation entails examination of the transactions for the whole which is compose of thousands of pages,

thus, preparation thereof take times. Nonetheless, they will do their best to comply with requirement.

## B. COMPLIANCE AUDIT

***Delayed submission of financial reports and documents***

**10. Transactions for November and December 2023 with total 3,223 approved and posted Journal Entry Vouchers were not examined due to non-submission of financial reports including the supporting documents while delays, ranging from 3 to 303 days, in the submission for the months of January to November 2023 prevented the timely review and evaluation of the validity, propriety and regularity of the transactions and the completion of audit reports.**

Section 347 of RA No. 7160 requires the rendition of accounts by the local officials, in particular:

> Local treasurers, accountants and other local accountable officers shall render their accounts within such time, in such form, style, and content and under such as the Commission on Audit may prescribe…xxx…

***A. Delay in the preparation and submission of Bank Reconciliation Statement (BRS)***

Items 3.0 of COA Circular No. 96-011 dated October 11, 1996 provided the General/Policy Guidelines in the preparation of Bank Reconciliation Statements. In particular, it provided the deadlines of the submission thereof to concerned offices, to wit:

> 3.1 The depository/servicing banks shall furnish the Local Accountant with the Bank Statements (BS) including debit/credit memos (DM/CM), paid checks, etc., within five (5) days after the end of each month which shall be the basis for the preparation of the monthly Bank Reconciliation Statements.
>
> 3.2 The Local Accountants shall within ten (10) days from receipt of the Bank Statements, reconcile the same (BS) with the General Ledgers (GL) and prepare the BRS in five (5) copies, distributed as follows:
>
> xxx

Provincial/City/Municipal Auditor
xxx

Applying the above rules and regulations, the City Accountant is required to submit the Bank Reconciliation Statement on or before 15th day of the following month. The City Government of Panabo maintained eighteen (18) checking accounts in Land Bank of the Philippines (LBP) and one (1) checking account in Development Bank of the Philippines (DBP), which is listed below:

| Account Name | Account No. |
|---|---|
| **LBP-Panabo Branch** | |
| General Fund | 1742-1006-90 |
| SEF | 1742-1006-81 |
| Terminal | 1742-1033-46 |
| Trust Fund Proper | 1742-1007-03 |
| Economic Enterprise | 1742-1008-35 |
| Cemetery Operation | 1742-1037-10 |
| Slaughterhouse Operation | 1742-1037-29 |
| MPC | 1742-1035-59 |
| City Hall | 1742-1035-67 |
| Safe Birthing Facility | 1742-1046-10 |
| Performance Challenge Fund | 1742-1045-04 |
| DSWD Programs and Services | 1742-1043-50 |
| MRDP-Rural Infra (Local Counterpart Fund) | 1742-1044-07 |
| MRDP-Rural Infra (Loan Proceeds) | 1742-1043-85 |
| 20% IRA | 1742-1037-96 |
| HCI Charges | 1742-1064-26 |
| Professional Fee | 1742-1064-34 |
| Railway | 1742-1066-55 |
| **DBP-Tagum Branch** | |
| DBP | 00-0-50172-916-8 |

As of February 22, 2024, the City has not yet submitted the BRS for the checking accounts maintained in LBP and DBP accounts, for the months of December 2023, viz:

| Account Name | Account No. | Unsubmitted BRS |
|---|---|---|
| **LBP-Panabo Branch** | | |
| MPC | 1742-1035-59 | December 2023 |
| City Hall | 1742-1035-67 | |
| Performance Challenge Fund | 1742-1045-04 | |
| MRDP-Rural Infra (Local Counterpart Fund) | 1742-1044-07 | |
| MRDP-Rural Infra (Loan Proceeds) | 1742-1043-85 | |
| HCI Charges | 1742-1064-26 | |

| Account Name | Account No. | Unsubmitted BRS |
|---|---|---|
| Professional Fee | 1742-1064-34 | |
| Railway | 1742-1066-55 | |

It was further determined that delays ranging from **3 to 34 days** in the submission of Bank Reconciliation Statements for the banks accounts were also incurred, to wit:

| Period Covered | Due date | Date Submitted to COA | No. of days delayed |
|---|---|---|---|
| January 2023 | February 15, 2023 | March 15, 2023 | 28 days |
| February 2023 | March 15, 2023 | April 03, 2023 | 19 days |
| March 2023 | April 17, 2023 | May 03, 2023 | 16 days |
| April 2023 | May 15, 2023 | May 23, 2023 | 8 days |
| May 2023 | June 15, 2023 | June 23, 2023 | 8 days |
| June 2023 | July 17, 2023 | July 31, 2023 | 14 days |
| July 2023 | August 15, 2023 | August 18, 2023 | 3 days |
| August 2023 | September 15, 2023 | September 25, 2023 | 10 days |
| September 2023 | October 16, 2023 | October 24, 2023 | 8 days |
| October 2023 | November 15, 2023 | December 5, 2023 | 20 days |
| November 2023 | December 15, 2023 | January 15, 2024 | 31 days |
| December 2023 | January 15, 2024 | February 18, 2024 | 34 days |

***B. Delay in the submission of Reports of Collections and Deposits (RCD), Liquidation Reports (LRs), and Disbursement Vouchers (DVs)***

On the other hand, submission of RCD, LRs and DVs for CY 2023 to the COA Office was also beyond ten (10) days after the end of each month, as prescribed in COA Circular 96-005, shown below.

| Period Covered | Due date | Date Submitted to COA | No. of days delayed |
|---|---|---|---|
| **Reports of Collections and Deposits (RCD)** | | | |
| January 2023 | February 10, 2023 | August 1, 2023 | 172 days |
| February 2023 | March 10, 2023 | September 27, 2023 | 201 days |
| March 2023 | April 10, 2023 | September 27, 2023 | 170 days |
| April 2023 | May 10, 2023 | September 27, 2023 | 140 days |
| May 2023 | June 13, 2023 | September 27, 2023 | 106 days |
| June 2023 | July 10, 2023 | September 27, 2023 | 79 days |
| July 2023 | August 10, 2023 | November 30, 2023 | 112 days |
| August 2023 | September 11, 2023 | November 27, 2023 | 77 days |
| September 2023 | October 10, 2023 | December 20, 2023 | 71 days |
| October 2023 | November 10, 2023 | January 17, 2024 | 68 days |
| November 2023 | December 11, 2023 | February 21, 2024 | 72 days |
| December 2023 | January 10, 2024 | Not yet submitted | |

| Period Covered | Due date | Date Submitted to COA | No. of days delayed |
|---|---|---|---|
| **Liquidation Report (LR)** | | | |
| January 2023 | February 10, 2023 | August 1, 2023 | 172 days |
| February 2023 | March 10, 2023 | September 27, 2023 | 201 days |
| March 2023 | April 10, 2023 | February 7, 2024 | 303 days |
| April 2023 | May 10, 2023 | February 7, 2024 | 273 days |
| May 2023 | June 13, 2023 | February 7, 2024 | 239 days |
| June 2023 | July 10, 2023 | February 7, 2024 | 212 days |
| July 2023 | August 10, 2023 | February 14, 2024 | 188 days |
| August 2023 | September 11, 2023 | February 14, 2024 | 157 days |
| September 2023 | October 10, 2023 | February 14, 2024 | 127 days |
| October 2023 | November 10, 2023 | Not yet submitted | |
| November 2023 | December 11, 2023 | Not yet submitted | |
| December 2023 | January 10, 2024 | Not yet submitted | |
| **Disbursement Vouchers (DV)** | | | |
| January 2023 | February 10, 2023 | August 1, 2023 | 172 days |
| February 2023 | March 10, 2023 | September 27, 2023 | 201 days |
| March 2023 | April 10, 2023 | October 12, 2023 | 211 days |
| April 2023 | May 10, 2023 | November 7, 2023 | 204 days |
| May 2023 | June 13, 2023 | November 30, 2023 | 170 days |
| June 2023 | July 10, 2023 | November 30, 2023 | 143 days |
| July 2023 | August 10, 2023 | November 30, 2023 | 112 days |
| August 2023 | September 11, 2023 | November 30, 2023 | 80 days |
| September 2023 | October 10, 2023 | December 20, 2023 | 71 days |
| October 2023 | November 10, 2023 | January 17, 2024 | 68 days |
| November 2023 | December 11, 2023 | February 21, 2024 | 72 days |
| December 2023 | January 10, 2024 | Not yet submitted | |

The delays incurred in the submission of the report and documents range from **68 to 303 days**. As of February 22, 2024, the RCD and DV for the months of December 2023 and Liquidation Report for the months of October to December 2023 have not yet been submitted to COA Office. As result, transactions for November and December 2023 were not examined. Based on the e-NGAS version 2.0 of the City, there were 3,223 approved and posted Journal Entry Vouchers for the months of November and December 2023 alone.

The City Accountant explained that the delay was due to the limited accounting personnel. The personnel complement of the City Accounting Office has difficulty of coping with the increasing volume of the City's transactions in the recent years. As a result, other recording and reporting activities have been delayed. Nonetheless, she assured that the preparation and recording of the reports and documents are nearly complete and will be submitted as soon as possible.

The delayed and non-submission of the financial reports and documents prevented the timely examination and verification of the transactions pertaining to the accountabilities of the Mr. Kirk B. Samillano, City Treasurer and Ms. Novie Joy M. Atanoza, Liquidating Officer. As a result, the completion of the Cash Examination Reports of Mr. Samillano and Ms. Atanoza has been delayed. In addition, all transactions of the City Government for month of December 2023 and Liquidation Reports for the month of October and December 2023 were not examined by the Audit Team. Finally, it also prevented the timely review and evaluation of the validity, propriety and regularity of the transactions of the City Government of Panabo for the other periods.

A timely reconciliation of accounts is a relevant internal control to detect errors and irregularities and to immediately effect corrections thereof before the finalization of the financial statements. Likewise, failure to submit the financial reports including its supporting documents resulting to delayed verification of disbursements, liquidations, collections and deposits, non-cash transactions and adjusting entries increases the risk of non-detection of misstatements in the accounts thereby casting doubts in fair presentation of the financial statements at year-end.

This deficiency is a restatement of the similar audit observation in CYs 2020, 2021 and 2022 Annual Audit Reports.

**Recommendations:**

We recommended the City Mayor to ensure that the City Accountant to submit immediately the following financial reports to the Audit Team and to ensure submission thereof within the prescribed period provided under COA rules and regulations:

a. Bank Reconciliation Statements of the identified bank accounts for the months of December 2023

b. The Liquidations Reports including the supporting documents for the month for the months of October to November 2023

c. The Reports of Collections and Deposits, Liquidation Reports, and Disbursement Vouchers including the supporting documents for the month December 2023

Further, we restated our prior year’s recommendation as follows:

a. The City Treasurer to ensure submission of the Reports of Collections and Deposits together with the supporting documents to the City Accounting Office prior to the deadline of submission by the CAO to COA to facilitate its timely submission.

b. The City Mayor to address the limited human resource of the City Accounting Office by hiring/assigning personnel with accounting background to fast track the preparation and submission of City's financial reports and its supporting documents.

**Management's Comments:**

The City Treasurer commented they have submitted the RCD and its supporting documents to City Accounting Office within one (1) to three (3) working day after the date of deposit.

The City Accountant commented that there were discrepancies in the date of submission the Bank Reconciliation Statement as noted in the above observation as compared with the date of receipt in the transmittal which ranges from 2 to 18 days. Further, they explained that the delay in the submission of the RCD, LR and DV together with its supporting documents was due to the unavailability of the plastic storage box in the market. It was only in November 2023 that they were able to procure the plastic storage box. The matter was also verbally communicated with the Audit Team. Nonetheless, despite the delay in the submission, the CAO was able to submit the City's Financial Statement for CY2023 on February 14, 2024 which is within the deadline.

**Auditor's rejoinder:**

The Audit Team has noted the discrepancies in the date of submission of the BRS. However, despite considering it, the condition still remains that delay in submission of the BRS has still been incurred. Furthermore, it is to be noted that despite submission of the Financial Statements on February 14, 2024, the audit team could still not verify transactions recorded therein particularly for the months of November and December 2023 since the RCD, LR and DVs including its supporting documents were only submitted on February 21, 2023 and March 14, 2024, respectively.

*LDRRM Fund Utilization*

**11. Low utilization of LDRRM Fund at 42.44 percent or P66.886 million only, out of P157.617 million total available funds from the 70% mitigation fund and prior years' unexpended balances caused by the delay and non-implementation of LDDRM PPAs programmed for CY2023 undermines the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities.**

Section 21 of R.A. No. 10121 further states:

> The present Local Calamity Fund shall henceforth be known as the Local Disaster Risk Reduction and Management Fund (LDRRMF). Not less than five percent (5%) of the estimated revenue from regular sources shall be set aside as the LDRRMF to support disaster risk management activities such as, but not limited to, pre-disaster preparedness programs, including training, purchasing life-saving rescue equipment, supplies and medicines, for post-disaster activities, for the payment of premiums on calamity insurance.. **The LDRRMC shall monitor and evaluate the use and disbursement of the LDRRMF based on the LDRRMP as incorporated in the local development plans, annual work and financial plan.** (Emphasis ours)

Based on the CY 2023 Annual and Supplemental Budgets, CY 2023 Disaster Risk Reduction and Management Plan as incorporated in the Annual Investment Program, and Report on the Receipt and Utilization of City Disaster Risk Reduction and Management Fund as of December 31, 2023, the total funds available and its corresponding utilization for CY 2023 is presented below:

*LDRRMF-Current Appropriation CY 2023*

| Particulars | Appropriation | Utilization CY 2023 | Transferred to STF | Balance as of 12/31/2023 | % of Non-Utilization |
|---|---|---|---|---|---|
| **Current Appropriation CY 2023** | | | | | |
| Disaster Prevention and Mitigation | P5,965,000.00 | P968,605.00 | P722,805.00 | P4,273,590.00 | 71.64% |
| Disaster Preparedness | 28,179,210.00 | 1,735,124.00 | 969,676.00 | 25,474,410.00 | 90.40% |
| Disaster Response | 14,385,000.00 | 6,605,222.84 | 7,704,777.16 | 75,000.00 | 0.52% |
| Disaster Rehabilitation and Recovery | 1,700,000.00 | 1,697,997.44 | -0.00- | 2,002.56 | 0.12% |

| Particulars | Appropriation | Utilization CY 2023 | Transferred to STF | Balance as of 12/31/2023 | % of Non-Utilization |
|---|---|---|---|---|---|
| Administrative Development | 7,962,800.00 | 5,191,617.00 | 1,183.00 | 2,770,000.00 | 34.79% |
| **Total 70% Component** | **58,192,010.00** | **16,198,566.28** | **9,398,441.16** | **32,595,002.56** | **56.01%** |
| Quick Response Fund | 20,700,000.00 | -0.00- | 20,700,000.00 | -0.00- | -0.00%- |
| **Total 30% Component** | **20,700,000.00** | **-P0.00-** | **20,700,000.00** | **-P0.00-** | **-0.00%-** |
| **TOTAL-Current** | **P78,892,010.00** | **P16,198,566.28** | **P30,098,441.16** | **P32,595,002.56** | **41.32%** |

*LDRRMF-Continuing Appropriations*

| Calendar Year | Appropriation | Utilization CY 2023 | Declared as Savings | Balance as of 12/31/2023 | % of Non-Utilization |
|---|---|---|---|---|---|
| **Continuing Appropriation** | | | | | |
| CY 2017 | P485,000.00 | -P0.00- | P485,000.00 | -P0.00- | -0.00%- |
| CY 2018 | 46,120.00 | -0.00- | -0.00- | 46,120.00 | 100.00% |
| CY 2019 | 16,194.01 | -0.00- | 16,194.01 | -0.00- | -0.00%- |
| CY 2020 | 1,524,148.50 | -0.00- | 1,524,148.50 | -0.00- | -0.00%- |
| CY 2021 | 5,314,756.27 | 885,000.00 | 2,069,411.01 | 2,360,345.26 | 44.41% |
| CY 2022 | 36,839,772.55 | 23,435,927.58 | 5,797,259.55 | 7,606,585.42 | 20.65% |
| **TOTAL-Continuing** | **P44,225,991.33** | **P24,320,927.58** | **P9,892,013.07** | **P10,013,050.68** | **22.64%** |

Furthermore, unexpended QRF and DRRMF-MOOE from previous years (2018-2022) which were transferred to the Special Trust Fund remains available for utilization by the City as follows:

| **Particular (Year)** | **Amount Programmed** (includes re-appropriation from STF of various years) | **Utilization** (Prior Years) (includes re-appropriation & declaration of savings ) | **Utilization** (CY 2023) | **Declared as Savings & Re-appropriated/ Reverted in STF** | **Unutilized Balance as of 12/31/2023** |
|---|---|---|---|---|---|
| STF 2023 (Calamity Fund 2022) | P26,589,420.00 | -P0.00- | P24,703,270.77 | -P0.00- | P1,886,149.23 |
| STF 2022 (Calamity Fund 2021) | 23,057,299.95 | 2,142,946.80 | 1,663,829.55 | 12,530.79 | 19,237,992.81 |
| STF 2021 (Calamity Fund 2020) | 15,942,716.71 | 10,897,064.60 | -0.00- | 4,875,564.02 | 170,088.09 |
| STF 2020 (Calamity | 36,956,174.11 | 36,356,937.79 | -0.00- | 149,517.62 | 449,718.70 |

| Particular (Year) | Amount Programmed (includes re-appropriation from STF of various years) | Utilization (Prior Years) (includes re-appropriation & declaration of savings ) | Utilization (CY 2023) | Declared as Savings & Re-appropriated/ Reverted in STF | Unutilized Balance as of 12/31/2023 |
|---|---|---|---|---|---|
| Fund 2019) | | | | | |
| STF 2019 (Calamity Fund 2018) | 29,651,416.62 | 27,600,696.13 | -0.00- | 2,050,720.49 | -0.00- |
| **TOTAL-STF** | **P132,197,027.39** | **P76,997,645.32** | **P26,367,100.32** | **P7,088,332.92** | **P21,743,948.83** |

It was observed that P32,595,002.56 and P10,013,050.68 or 41.32% and 22.64% of the current and continuing appropriations under the LDRRM Fund, respectively, was not utilized during the year. Furthermore, P21,743,948.83 of the appropriations under the Special Trust Fund remained unutilized as at December 31, 2023. Details are presented in *Annex Q*, meanwhile, a summary of the data is shown below:

| Particulars | Appropriation | | Utilization | | Declared as Savings | | Unutilized Balance as of 12/31/2022 | |
|---|---|---|---|---|---|---|---|---|
| | PPAs | Amount | PPAs | Amount | PPAs | Amount | PPAs | Amount |
| **CY 2023 Current Appropriation** | | | | | | | | |
| 70% DRRMF Component | 31 | P58,192,010.00 | 15 | P16,198,566.28 | -0- | -P0.00- | 16 | P41,993,443.72 |
| Percentage (%) | | 100.00% | | 27.84% | | | | 72.16% |
| **Continuing Appropriation** | | | | | | | | |
| CY 2017-2022 | 36 | 44,225,991.33 | 10 | 24,320,927.58 | 18 | 9,892,013.07 | 8 | 10,013,050.68 |
| Percentage (%) | | 100.00% | | 54.99% | | 22.37% | | 22.64% |
| **Appropriated Special Trust Fund** (*CY 2023 Beginning Balance*) | | | | | | | | |
| CY 2018-2022 | 48 | 55,199,382.07 | 26 | 26,367,100.32 | 14 | 7,088,332.92 | 8 | 21,743,948.83 |
| Percentage (%) | | 100.00% | | 47.77% | | 12.84% | | 39.39% |
| **Total Appropriation** | **115** | **P157,617,383.40** | **51** | **P66,886,594.18** | **32** | **P16,980,345.99** | **32** | **P73,750,443.23** |
| **Percentage** | | **100.00%** | | **42.44%** | | **10.77%** | | **46.79%** |

Out of the total funds allocated and available for the Programs, Projects, Activities under the LDRRM Fund for CY 2023, composed of current, continuing, and Special Trust Fund appropriations, amounting to P157,617,383.40, only P66,886,594.18 or 42.44% was utilized, while P16,980,345.99 or 10.77% were declared as savings, thus, leaving a balance of P73,750,443.23 or 46.79% intended for thirty-two (32) PPAs which remained unimplemented as at year-end. The detailed breakdown of the unutilized LDDRM Fund per PPA is shown in *Annex Q*.

This observation has been also noted in CY2022 Annual Audit Report. Actions were taken by the Management to address the deficiencies noted, particularly, the declaration of savings for the unexpended balances of prior year completed projects and for the idle funds of several unimplemented projects. However, the low utilization of the LDRRM Fund is still prevalent in CY2023. Consequently, the rate of the unutilized fund is increased by 6.79% as shown in the table below.

| LDRRM Funds | CY 2022 | CY 2023 |
|---|---|---|
| Current Appropriations (70% Component) | P53,640,193.20 | P58,192,010.00 |
| Continuing Appropriations | 16,872,487.77 | 44,225,991.33 |
| Appropriated Special Trust Fund | 117,615,125.31 | 55,199,382.07 |
| **Total Funds** | **P188,127,806.28** | **P157,617,383.40** |
| Amount Utilized and/or Declared as Savings | (112,871,895.48) | (83,866,940.17) |
| **Unutilized Balance** | **P75,255,910.80** | **P73,750,443.23** |
| ***% of Non-Utilization*** | ***40.00%*** | ***46.79%*** |

The LDRRM Office explained that low utilization of the LDRRM Fund was due to the delay in the implementation and non-implementation of LDRRM PPAs by the respective implementing offices of the City. He added that based on the consultation with them during the CDRRM Council's meetings, several PPAs remained unimplemented as at year-end due to the following factors:

- insufficient approved budget costs
- difficulty in finding qualified suppliers for the procurement of supplies and equipment
- unfinished preparation of Program of Works for infrastructure projects
- failure to obtain authorization from the DILG for the procurement of motor vehicles
- failure in meeting the deadline for the processing of the Obligation Request

The causes of delay enumerated above (except for failure in meeting the deadline for the processing of the Obligation Request) connote lapses in the planning and identification of the LDRRM PPAs to be prioritized for implementation in CY2023. As per requirement, Program of Works for Infrastructure Projects should have been completed prior to its inclusion in the priority projects for LDRRM in a given period. Likewise, during planning stage, detailed engineering and thorough research should have been done in order to ensure that the Approved Budget Cost is competitive with the current market prices. The difficulty to find qualified suppliers can also associated with the poor estimation of the budget approved for certain LDDRM PPAs. Finally, the requirements

and processing time in obtaining authorization from the DILG for the procurement of motor vehicles should have been considered during planning stage.

The LDRRM Officer added that it has been proposed that appropriation request will no longer be given to implementing offices with unimplemented LDRRM Projects. Although this proposal may help implementing offices to focus on the completion of their backlogs, it would be more efficient if the management focus on improving their strategies in the planning stage particularly by identifying PPAs that are implementation ready and with competitive approved budget cost as their priority projects.

The non-optimal utilization of the 5% LDRRMF contravenes the purpose of R.A. No. 10121 which provides that the LDRRMF shall be holistically utilized for disaster risk reduction, preparedness and mitigation as well as disaster response and recovery. The delay in the implementation and completion of the projects adversely affected the timely delivery of services to the intended beneficiaries. This condition may affect the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities.

Finally, cost estimates of the projects are based on of prevailing prices in the market during the year it was identified as priority for implementation. Thus, the projects should be implemented as soon as cash becomes available due to price escalation in the later years; otherwise, the estimated budget set for each project may not be enough resulting to the reluctance of suppliers/contractors to bid which in turns delay the procurement process. As result, the optimal value of the government fund was not enjoyed due the decrease in the value of money as time passes.

**Recommendations:**

We recommended to the City Mayor the following course of actions:

a. The CDRRM Council and CDRRM Office to conduct an evaluation and reassessment of the delayed and unimplemented LDDRM PPAs and formulate an action plan/ strategies on how to fast track its completion and to avoid its recurrence; and,

b. The CDRRM Office, City Planning and Development Office (CPDO) and the Proponent/Implementing Offices to meticulously plan and propose LDRRM PPAs that are attainable and implementation ready within the budget year to prevent delays in the implementation and achieve optimal utilization of the fund.

**Management's Comments:**

The management acknowledges the audit observation and committed to take actions to implement the audit recommendations. The CDRRMO explained that they have already conducted a thorough evaluation and have identified the inefficiencies, bottlenecks, or gaps in the current practices. They have learned that the low utilization was due to delay or non-implementation of DRRM PPAs by the proponent city departments which were not thoroughly planned out. To address the noted deficiency, the CDDRMO will propose to the Council the following:

1. Submission of a comprehensive PPA proposal prior to its inclusion in the proposed DDRM PPAs
2. Before the finalization of the submitted proposals, the thematic committees shall thoroughly review the same to determine whether to decline or approve it
3. The approved proposal will then be presented during the general council meeting called for the purpose for plenary approval
4. Failure of the proponent office to comply with No. 1 hereof is deemed waiver on the submission of PPAs for inclusion in the DRRM PPAs and no further proposal shall be accepted during the plenary council meeting

The CDRRMO assured that they will promptly implement appropriate measures and initiatives to ensure effective and efficient utilization of DRRM Funds. These measures may include but are not limited to the following:

- Streamlining administrative procedures to expedite the disbursement of funds
- Enhancing monitoring and evaluation mechanisms to track the utilization of funds and ensure compliance with established guidelines which includes monthly submission of progress/utilization report from implementing offices
- Sanction on the failure to utilize DRRM funds and non-reporting
- Compliance with the recommendations stated in the audit observations

On the other hand, the CPDO committed to ensure that all proposals are accompanied with detailed project profile/ concepts/ designs from the proponent and are procurement and implementation ready prior to consultations and integration in the plan.

**Auditor's rejoinder:**

This observation has been also noted in the Annual Audit Report for CY2022. The management has also committed to improve the utilization of DRRM Funds. However, the percentage of unutilized funds has increased from 40.00% to 46.79%. Thus, the audit team recommended immediately addressing the noted observations and taking action on the audit recommendations.

***Unimplemented Programs/Projects/Activities (PPAs) for 20% Development Fund (DF) and Locally Funded Projects (LFP)***

12. **Five (5) infrastructure projects programmed under the 20%Development Fund and twenty (20) Locally Funded Projects for the years Calendar Year (CY) 2022 and below with total appropriation and allotment of P135,051,783.54 were neither started nor completed as at December 31, 2023 inconsistent with the provisions of Presidential Decree No. 1445 and other pertinent laws, rules and regulations, thus, affecting the City Government's efficiency in delivering the timely and optimum benefits derived from the projects.**

This audit observation has also been noted in the audit of CY2022 and prior years. However, evaluation of the implementation of the audit recommendations pertaining thereto remained unimplemented in CY2023, thus this restatement.

Section 2 of Presidential Decree (PD) No. 1445, also known as the "Government Auditing Code of the Philippines" provides:

> It is the declared policy of the State that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.

The Department of Budget and Management (DBM), Department of Finance (DOF), and Department of Interior and Local Government (DILG), issued Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020, to revise the guidelines and policies on the utilization of the 20% Development Fund (DF) to enable the Local Government Units (LGUs) to better address the constantly evolving development needs of their respective

constituents. Among the policies and guidelines in the appropriation and utilization of the 20% DF, importance was required on the following provision:

> *"3.2.3 The LGUs shall ensure that the development projects to be funded out of the 20% DF are* ***well-planned and procurement-and-implementation-ready****."* (Emphasis supplied)

As of December 31, 2023, five (5) infrastructure projects funded under the 20% Development Fund and twenty (20) locally funded projects with total appropriation and allotment of P135,051,783.54 (composed of P73,251,783.54 and P61,800,000.00, respectively) were not started or completed in CY2023 despite its appropriation and allotment in CY2022 and prior years. The details of these projects are presented in the following tables.

| | Projects under 20% Development Fund | Budget Year | As of December 31, 2023 | | |
|---|---|---|---|---|---|
| | | | Appropriation | Allotment | Obligations |
| | **City Mayor's Office** | | | | |
| 1 | Land Banking-Citywide | CY 2022 | P10,000,000.00 | P10,000,000.00 | P1,290,948.26 |
| 2 | Site Development for Resettlement Areas-Citywide | CY 2021 | 2,000,000.00 | 2,000,000.00 | -0.00- |
| | **City Engineering Office** | | | | |
| 3 | Upgrading of Local Access Road-Barangay Upper Licanan to Waterfall-Upper Licanan | CY 2022 | 55,251,783.54 | 55,251,783.54 | 11,260,929.30 |
| 4 | Improvement of Multi-purpose Building-New Malitbog | CY 2022 | 3,000,000.00 | 3,000,000.00 | -0.00- |
| 5 | Construction of Drainage at Panabo Public Park-Phase 2-New Pandan | CY 2019 | 3,000,000.00 | 3,000,000.00 | -0.00- |
| | | **TOTAL** | **P73,251,783.54** | **P73,251,783.54** | **P12,551,877.56** |

| | Locally Funded Projects | Budget Year | As of December 31, 2023 | | |
|---|---|---|---|---|---|
| | | | Appropriation | Allotment | Obligations |
| | **City Mayor's Office** | | | | |
| 1 | Road Right of Way Acquisition | CY 2022 | P5,000,000.00 | P5,000,000.00 | -P0.00- |
| 2 | Road Right of Way Acquisition | CY 2018 | 5,000,000.00 | 5,000,000.00 | -0.00- |
| | **City Engineering Office** | | | | |
| 3 | Concreting of Road Buenavista to Mabunao, Mabunao | CY 2022 | 2,700,000.00 | 2,700,000.00 | 404,661.40 |

| | Locally Funded Projects | Budget Year | As of December 31, 2023 | | |
|---|---|---|---|---|---|
| | | | Appropriation | Allotment | Obligations |
| 4 | Construction of Angel Barachael Building, Cacao | CY 2022 | 15,000,000.00 | 15,000,000.00 | -0.00- |
| 5 | Improvement of Old Barangay Health Station-Dapco | CY 2022 | 2,000,000.00 | 2,000,000.00 | -0.00- |
| 6 | Construction of DA Building-Phase 2-Salvacion | CY 2019 | 3,000,000.00 | 3,000,000.00 | -0.00- |
| 7 | Upgrading of Multi-Purpose Tourism, Cultural and Sports Center (PMPTCSC) | CY 2019 | 2,000,000.00 | 2,000,000.00 | -0.00- |
| | **CEEMDO-Cemetery Operations** | | | | |
| 8 | Fencing of Back of Bone Crypt Bldgs., Eternal Garden, Datu Abdul | CY 2022 | 1,000,000.00 | 1,000,000.00 | -0.00- |
| 9 | Construction of Common Depository Bones, Datu Abdul | CY 2022 | 1,500,000.00 | 1,500,000.00 | -0.00- |
| 10 | Construction of Crematorium, Datu Abdul | CY 2022 | 8,500,000.00 | 8,500,000.00 | -0.00- |
| 11 | 1 unit Pay loader | CY 2022 | 1,600,000.00 | 1,600,000.00 | -0.00- |
| | **CEEMDO-Market Operations** | | | | |
| 12 | Rehabilitation of Premium Market Office Bldg. (old PLDT), Sto. Niño | CY 2022 | 1,500,000.00 | 1,500,000.00 | -0.00- |
| 13 | Installation of Canopy, Panabo City Fish Port, Cagangohan | CY 2022 | 1,000,000.00 | 1,000,000.00 | -0.00- |
| 14 | Rehabilitation of Kakanin Vendors Display Area-premium Market, Sto. Niño | CY 2022 | 500,000.00 | 500,000.00 | -0.00- |
| 15 | Construction of Shed for Ice Freezers, premium Market, Sto. Niño | CY 2022 | 1,000,000.00 | 1,000,000.00 | -0.00- |
| 16 | Rehabilitation of Panabo Business Center, New Pandan | CY 2022 | 1,000,000.00 | 1,000,000.00 | -0.00- |
| 17 | Construction of Laray Building beside Breadbox, premium Market, Sto. Niño (additional funding) | CY 2021 | 1,000,000.00 | 1,000,000.00 | -0.00- |
| 18 | Rehabilitation of premium Market Building Sto. Niño (additional funding) | CY 2021 | 6,000,000.00 | 6,000,000.00 | -0.00- |
| 19 | Construction of Assorted Laral Building beside Breadbox-premium Market, Sto. Niño | CY 2020 | 1,500,000.00 | 1,500,000.00 | -0.00- |

| Locally Funded Projects | | Budget Year | As of December 31, 2023 | | |
|---|---|---|---|---|---|
| | | | Appropriation | Allotment | Obligations |
| **CEEMDO-Terminal Operations** | | | | | |
| 20 | Construction of Rain Water Collectors with Chlorinator | CY 2020 | 1,000,000.00 | 1,000,000.00 | -0.00- |
| | | **TOTAL** | **P61,800,000.00** | **P61,800,000.00** | **P404,661.40** |

The City Engineering Office (CEO) cited similar reasons in the non-implementation of these projects:

- Delays in the preparation of Program of Works
- Rebidding of projects due to deficiencies in the bidding documents submitted by the contractor causing the failure of the original bidding process
- Various problems encountered in the site warranting design changes to suit the actual field condition
- Prioritization of current year projects especially those funded by other agencies, thus, unimplemented prior year projects may have been overlooked
- Appropriated amount for several project is not enough to defray the total estimated project cost, thus, additional appropriation is needed

However, the implementing section of CEO, added the following issues and concerns pertaining to projects implemented by administration that causes the delay and non-implementation:

- There were instances were direct material materials needed were omitted in the project program and designs projects
- The existing In-house labor force is not sufficient to cover the labor requirement
- Incomplete procurement of direct materials needed
- Inadequacy of basic tools and equipment for construction

Based on the above premise, there is a need to strengthening the preliminary engineering activities particularly the detailed engineering activities, facilitate the field survey and inspection and the preparation of program of works and design plans. Further, there is need to reconsider whether or not the City Government is capable of implementing infrastructure projects “By administration” based on its existing capacity in accordance with the latest “Guidelines for the Implementation of Infrastructure Projects by Administration” issued by the Government Procurement Policy Board.

The non-utilization of the fund and non-implementation of the project within its intended period of completion is in contravention of the fund's objective for optimum utilization affecting the achievement of the desired socio-economic development and environmental outcomes essential to the promotion of the general welfare of the people. Thus, the funds expected timeliness and responsiveness to the needs of the people has been diminished, because the targeted beneficiaries did not enjoy the intended benefits and/or services that they could have derived therefrom.

It should be emphasized that cost estimates of the projects are based on the current prevailing prices in the market. Thus, projects identified for implementation in the current budget year should be implemented in the same year due to possible price escalations in the later years that could affect the budget set for the project. Otherwise, economy in the utilization of the government funds is not met.

**Recommendations:**

We restated our prior years' recommendation to the City Mayor for:

a. The strengthening of the preliminary engineering activities through capacity development of its technical personnel undertaking the detailed engineering activities, facilitating the field survey and inspection and the preparation of program of works and design plans to ensure that the infrastructure projects are procurement-and-implementation ready;

b. For the City Engineering Office, in coordination with the Bids and Awards Committee, to consider project implemented 'By Administration' be changed to implementation through Contract;

c. The implementing offices to fast track the completion of all on-going projects under 20% Development Fund and Locally Funded Projects as at December 31, 2023 and impose liquidating damages against contractors with incurred significant delays; and,

d. The implementing offices to conduct evaluation on the unimplemented projects, especially those programmed in prior years, to determine whether it is still favourable on the part of the city government to continue the projects, otherwise, consider immediate realignment or reversion to the unappropriated surplus for re-appropriation to other priority projects subject to budgetary rules and regulations.

**Management's Comments:**

The management is amenable to the audit observation and recommendations. The City Engineering Office explained that the main reason for the non-implementation was due to the delay in the preparation of the Program of Works due to lack of personnel. To show the condition of personnel complement of CEO, they presented that the target output for Program of Works in CY2022 was only 100 but the actual output reach 513, thereby having an increase of 513%. Presently, there were on 12 programmers employed to prepare POWs.

They added that other unimplemented projects were either under procurement process or waiting for the approval of the POW. Nonetheless, the CEO committed to fast tract the completion of on-going projects and shall consider the audit recommendations and continue to strengthen its the preliminary engineering activities to ensure that the infrastructure projects are procurement-and-implementation ready.

***Incomplete supporting documents for Extension/Suspension Orders of various Infrastructure Projects***

**13. Suspension and Extension orders for various infrastructure projects amounting to P677,139,090.00 funded under LGSF-Assistance to Cities, LGSF- Support to Barangay Development Program (NTF-ELCAC), and Locally Funded Projects were rendered doubtful due to incomplete documentary requirements to support the validity and reasonableness of its approval as provided under Annex "E" of the Revised IRR of RA No. 9184 of 2016.**

Annex "E" of the 2016 Revised IRR of RA No. 9184 provides the Contract Implementation Guidelines for the Procurement of Infrastructure Projects. Item 10 thereof specifically provides when Extension of Contract Time maybe granted to the Contractor, to wit:

1. There are additional work or other special circumstances that would entitle the contractor to an extension of its contract;

   Some special circumstances to be considered for contract time extension:

   - Major calamities such as exceptionally destructive typhoons, floods and earthquakes, and epidemics;

- Non-delivery on time of materials, working drawings, or written information to be furnished by the procuring entity;
- Non-acquisition of permit to enter private properties within the right-of-way resulting in complete paralysis of construction activities;
- Region-wide or nationwide shortage of construction materials, as certified by the DTI Secretary;
- Region-wide or nationwide general labor strikes, as certified by the DOLE Secretary; and 6. Serious peace and order problems as certified by the DILG, or AFP Provincial Commander and approved by the DND Secretary.

2. The affected activities fall within the critical path of the PERT/CPM network; and,

3. The contractor shall have notified the Procuring Entity that the amount of additional work or the occurrence of the special circumstance merits the extension of its contract, and that it had done so before the expiration of the contract and within thirty (30) calendar days after the start of the additional work or of the special circumstance has arisen. If the contractor fails to notify the Procuring Entity within the time period provided for, it waives any claims to contract extension. Upon receipt of full and detailed particulars, the Procuring Entity shall examine the facts and extent of the delay and shall extend the contract time completing the contract works when, in the Procuring Entity's opinion, the findings of fact justify an extension.

Item 9 thereof also provides the circumstances when suspension of work is allowed, viz:

The Procuring Entity has the authority to suspend the work wholly or partly by written order for such period as may be deemed necessary due to the following:

1. Force majeure or any fortuitous event;
2. Failure on the part of the contractor to:
    a. Correct bad conditions which are unsafe for workers or for the general public;
    b. Carry out valid orders given by the Procuring Entity;
    c. Perform any provisions of the contract; or
    d. Adjustment of plans to suit field conditions as found necessary during construction.

The contractor or its duly authorized representative has the right to suspend work operation on any or all projects/activities along the critical path of activities due to any of the following:

There exist right-of-away problems that prohibit the contractor from performing work in accordance with the approved construction schedule;

1. Requisite construction plans, which must be furnished by the Project Owner, are not issued to the contractor, in the process precluding any work called by such plans.
2. Peace and order conditions make it extremely dangerous, if not impossible, to work, such conditions having been certified in writing by the PNP station which has responsibility over the affected area and confirmed by the DILG Regional Director;
3. There is a failure on the part of the Procuring Entity to deliver government–furnished materials and equipment as stipulated in the contract; or
4. The payment of the contractor's claim for progress billing beyond forty-five (45) calendar days from the time the claim has been certified by the Procuring Entity's authorized representative as having been supported by complete documentation, unless there are justifiable reasons thereof which shall be communicated in writing to the contractor.

   The contractor may suspend work fifteen (15) calendar days after the district engineer/regional director/consultant or equivalent official, as the case may be, have received a written notice of the suspension of work.

   The period of work suspension can extend the contract time in cases when the total suspension or suspension of activities along the critical path is not due to the fault of the contractor. In such cases, the elapsed time between the effective order suspending operation and the order to resume work shall be allowed the contractor by adjusting the contract time accordingly.

We have examined the grant of the suspension and extension orders for 16 completed/on-going infrastructure projects implemented by the City Government of Panabo as presented in the table below. The references used for the examination are based from the Project Status Report as of December 31, 2023 submitted by the City Engineering Office (CEO), the accounting records and documents, and the results of ocular inspections conducted by the Audit Team in February and March 2024.

| Fund Source | No. of Infrastructure with delayed implementation | Total Contract Cost |
|---|---|---|
| Local Government Support Fund (LGSF) Assistance to Cities (AC) | 1 | **P21,054,321.05** |
| Local Government Support Fund (LGSF) Support to Barangay Development Program (SBDP) – NTF-ELCAC | 14 | 208,840,892.77 |
| Locally Funded Project | 1 | 447,243,876.18 |
| **TOTAL** | **16** | **P677,139,090.00** |

***A. Local Government Support Fund (LGSF) Assistance to Cities (AC) – On-going Construction of The Panabo Mangrove Park Project located at Brgy. J.P. Laurel, Panabo City with contract cost of P21,054,321.05***

In July 19, 2021, the City Government of Panabo received a fund transfer from the Department of Interior and Local Government (DILG) under LGSF- AC amounting to P21,071,659.00 intended for the Construction of The Panabo Mangrove Park Project at Brgy. J.P. Laurel, Panabo City. The infrastructure project has started in March 4, 2022; however, as of December 31, 2023, the project has not yet been completed.

The effectivity of the contract duration should have been started on February 2, 2022. However, Stoppage Order No. 1 was issued on the same date due to the delay in the release of the "Cutting Permit" from DENR XI for several mangrove trees affected by the project. On March 4, 2022, a Resume Order No. 1 has been issued informing the contractor of the revised effectivity date on March 4, 2022. Other relevant details pertaining to the implementation of the infrastructure project are as follows:

| | |
|---|---|
| Name of the Project: | Panabo Mangrove Park Project |
| Location: | Brgy, J.P. Laurel, Panabo City |
| Contractor: | Micah Construction and Supply |
| Contract Cost: | P21,054,321.05 |
| Project Date Started: | March 4, 2022 |
| Original Target Completion Date: | March 18, 2023 |
| Revised Target Completion Date: | March 24, 2024 |
| Original Project Duration: | 380 Calendar Days |
| Revised Project Duration: | 751 Calendar Days |
| Total Days Extended: | 371 Calendar Days |
| Status as of December 31, 2023: | On-going |

As shown in the information above, from the original project duration of 380 calendar days it has been revised to 751 calendar days with time extension of 371 calendar days.

This total extended time is an accumulation of One (1) Suspension Order and Two (2) Extension Orders as presented in the following table:

| Order Reference | Date Issued | Reason for Issuance | No. of Days | Revised Target Date of Completion |
|---|---|---|---|---|
| Extension Order No. 1 | 12/12/2022 | *No copy of the time extension has been provided yet* | 185 | 09/20/2023 |
| Suspension Order No. 1 | 12/16/2022 | Shooting incident, harassment and threatening of workers | 98 | 12/27/2023 |
| Extension Order No. 2 | 10/4/2023 | Unfavourable weather condition | 88 | 03/24/2024 |

Copy of the Extension Order No. 1 including it supporting documents was not yet provided to the audit team as of date. Suspension Order No. 1 was also not supported by a Certification from the PNP station which has responsibility over the affected area and confirmed by the DILG Regional Director. Notification letter by the contractor to City Government about the occurrence of the special circumstance cited did not specify which activities in the Program of Work (POW) were affected. The revised PERT-CPM Network showing that affected activities fall within the critical path was also not submitted.

The above conditions prevented the audit team to determine adherence to the requirements prescribed in Items 9 and 10 of Annex "E" of the 2016 Revised IRR of RA No. 9184 in the granting of time suspension and extension. Therefore, the validity and reasonableness of the extension time granted to the contractor is rendered doubtful.
Based on the ocular inspection conducted on March 1, 2024, construction of the project is still on-going with reported work accomplishment of 67.00% (*see images in the next page*). With 23 days remaining, the project may not be completed by March 24, 2024. The continued delayed completion of the project also deprived the intended recipients of the benefits that could have been derived therefrom.

Moreover, Section 3.13 of Local Budget Circular (LBC) No. 123 dated February 17, 2020 prescribing guidelines on the release and utilization of the local government support fund-assistance to cities under the FY 2020 General Appropriations Act (Republic Act No. 11465) provides that fund of LGSF-AC which remain unutilized as of December 31, 2021 shall be reverted to the National Treasury by the recipient cities. As of December 31, 2023, the unutilized balance amounted to P14,717,251.25. This balance remained the same since December 31, 2022. The non-return of the unutilized balance contravenes to the directive of the above cited Circular.



The pending return of the unutilized fund to the National Government burdens the local funds of the City since the payment of the unfinished work will be sourced therefrom as a consequence for non-implementation of the project within the period as a condition of the fund transfer. As a result, others priority locally funded project of the City may be affected. The observation on the delayed completion of the said project has already been noted in the audit of Calendar Year (CY) 2022 yet it still remained uncompleted in CY 2023, hence, this restatement.

***B. Local Government Support Fund (LGSF) Support to Barangay Development Program (SBDP) – Fourteen (14) Completed NTF-ELCAC Infrastructure Projects with total contract of P208,840,892.77***

During CY 2021, the City Government of Panabo received fund transfers from the Department of Budget and Management to fund several projects under LSGF-SBDP of the National Task Force to End Local Communist Armed Conflict (NTF-ELCAC)

totalling P400,000,000.00. The funds were intended for the implementation of 42 infrastructure projects in 20 selected Barangays of Panabo City. As of December 31, 2023, all of the 42 infrastructure projects have been completed.

However, the completion of these infrastructure projects has been delayed based from its original target completion date. As such, an audit observation has been issued during the audit of CY 2022 for the matter. The management explained that all extended time were covered by suspension and extension orders. We have examined the orders of 14 completed projects with the details presented in the following table (see *Annex R* for details).

| | **Project Name and Location** | **Contractor** | **Contract Cost** | **Original TCD** | **Revised TCD** | **Approved Extended Days** | **Suspension/ Extension Orders** |
|---|---|---|---|---|---|---|---|
| 1 | Upgrading of Local Access Road at Brgy. Buenavista | R. Fabale Construction Corporation | P9,994,179.08 | 1/21/2023 | 3/17/2023 | 55 | Two (2) Extension Orders |
| 2 | Improvement/Rehabilitation of Water System at Brgy. Mabunao | R. Fabale Construction Corporation | 19,997,250.64 | 2/1/2023 | 4/2/2023 | 60 | One (1) Extension Order |
| 3 | Improvement/Expansion of Water System at Brgy. Consolacion | Ecomixed Construction and Development Corporation | 5,996,030.15 | 3/14/2023 | 4/6/2023 | 23 | One (1) Extension Order |
| 4 | Improvement of Water System from Level II to Level III at Brgy. New Malitbog | Rosbill Construction and Supply | 14,996,838.50 | 3/4/2023 | 3/31/2023 | 27 | One (1) Extension Order |
| 5 | Upgrading of Local Access Road Purok 5 at Brgy. Katualan | A.B Aponesto Construction Parts and Supply, Inc. | 14,940,268.36 | 6/3/2022 | 8/29/2022 | 87 | Four (4) Extension Orders |
| 6 | Improvement/Expansion of Water System at Brgy. Tagpore | Joan Construction | 17,996,660.89 | 1/27/2023 | 3/28/2023 | 60 | One (1) Extension Order |
| 7 | Rehabilitation/Upgrading Level III Water System Including Drilling of Potable Water Source at Brgy. Malativas | Joan Construction | 14,996,861.36 | 1/27/2023 | 6/6/2023 | 130 | One (1) Extension Order and One (1) Suspension Order |
| 8 | 2021-11-419 Upgrading of Local Access Road at Brgy. Tibungol | Nen Builders & Development Services | 13,989,999.59 | 9/20/2022 | 1/1/2023 | 103 | Two (2) Extension Order and One (1) |

| | Project Name and Location | Contractor | Contract Cost | Original TCD | Revised TCD | Approved Extended Days | Suspension/ Extension Orders |
|---|---|---|---|---|---|---|---|
| | | Corporation | | | | | Suspension Order |
| 9 | Upgrading of Local Access Road in Sitio Tagactac, San Nicolas to Mabunao (Concreting of Roads) at Brgy. San Nicolas | Newcon Builders Construction & Supply, Inc. | 14,989,782.08 | 12/11/2022 | 2/24/2023 | 75 | Two (2) Extension Orders |
| 10 | Upgrading of Local Access Road at Brgy. Sta. Cruz | R. Fabale Construction Corporation | 14,996,653.94 | 1/11/2023 | 3/7/2023 | 55 | One (1) Extension Order |
| 11 | Upgrading of Local Access Road from Purok Batong to Kalabasa at Brgy. Nanyo | Flobar Construction | 14,989,544.13 | 7/5/2022 | 9/3/2022 | 60 | Two (2) Extension Orders |
| 12 | Upgrading of Local Access Road at Brgy. Consolacion | ATR Construction | 13,990,760.05 | 5/6/2022 | 3/16/2023 | 314 | Four (4) Extension Order and One (1) Suspension Order |
| 13 | Upgrading of Local Access Road at Brgy. Cacao | Marcus Construction | 16,986,368.19 | 9/11/2022 | 3/17/2023 | 187 | Three (3) Extension Order and One (1) Variation Order |
| 14 | Upgrading of Local Access Road at Brgy. Kiotoy | Ab. Aponesto Construction Parts And Supply, Inc. | 19,979,695.81 | 3/5/2023 | 5/30/2023 | 86 | Two (2) Extension Orders |
| | | | **P208,840,892.77** | | | | |

As shown in the above table, the total extended time granted to each project ranges from to 23 to 314 calendar days while the number of extension orders granted ranges from 1 to 4. There were also instances where time durations were extended due to the issuance of suspension and variation orders. Based on the examination of the supporting documents, the following special circumstances were cited by the contractor for requesting time suspension and extension:

1. Unfavourable/unworkable weather conditions
2. Unavailability of the project site
3. Land acquisition concerns on the project site
4. Issues in the access of the project site which is located inside TADECO

5. Issues on Road Right-of-Way (ROW)
6. Access Bridge was damaged and impassable due to phenomenal heavy rainfall

Our examination revealed the following deficiencies noted in the documents supporting the approval of time extensions and its effects and implications:

| Noted Deficiencies | Effects and Implications |
|---|---|
| 1. Proof of receipt by the City Government, or any of its representative, were not found in the Notification Letter/Request for Extension by the Contractor. | Verification whether or not the notification was done before the expiration of the contract and within thirty (30) calendar days after the start of the additional work or of the special circumstance has arisen cannot be made. |
| 2. The Notification Letter/Request for Extension did not specify which activities in the POW were affected by the occurrence of the cited special circumstances. | Verification that the amount of additional work requested or the occurrence of the special circumstance merits the extension of the contract cannot be made. |
| 3. The Revised PERT-CPM Network was not attached to the Notification Letter/Request for Extension. | |
| 4. Cited special circumstances needing certifications of the occurrence from authorities were at times not attached as supporting documents. | |

On the other hand, four (4) infrastructure projects were completed beyond the revised target completion date after considering the approved extension time as follows (see *Annex S* for details):

| Project Name and Location | Contractor | Original Project Duration | Actual Project Duration | Days Extended | Extension Orders (EO) | Days with Approved Extension | For Liquidated Damages |
|---|---|---|---|---|---|---|---|
| 1. Improvement/ Rehabilitation of Water System at Brgy. Mabunao | R. Fabale Construction Corporation | 120 | 208 | 88 | EO No. 1 | 60 | 28 |
| 2. Upgrading of Local Access Road Purok 5 at Brgy. Katualan | A.B Aponesto Construction Parts and Supply, Inc. | 120 | 296 | 176 | EO No. 1<br>EO No. 2<br>EO No. 3<br>EO No. 4<br>Total | 23<br>9<br>20<br>35<br>87 | 89 |
| 3. Upgrading of Local Access Road in Sitio Tagactac, San Nicolas to Mabunao (Concreting of Roads) at Brgy. San Nicolas | Newcon Builders Construction & Supply, Inc. | 90 | 325 | 235 | EO No. 1<br>EO No. 2<br>Total | 48<br>27<br>75 | 160 |

| Project Name and Location | Contractor | Original Project Duration | Actual Project Duration | Days Extended | Extension Orders (EO) | Days with Approved Extension | For Liquidated Damages |
|---|---|---|---|---|---|---|---|
| 4. Upgrading of Local Access Road at Brgy. Sta. Cruz | R. Fabale Construction Corporation | 100 | 168 | 68 | EO No. 1 | 55 | 13 |

We have examined the disbursements made and found that liquidated damages were not charged against the account of the contractor upon payment. This oversight is contrary to Item 8.1 of Annex "E" of the 2016 Revised IRR of RA 9184 which provides:

> Where the contractor refuses or fails to satisfactorily complete the work within the specified contract time, plus any time extension duly granted and is hereby in default under the contract, the contractor shall pay the procuring entity for liquidated damages, and not by way of penalty, an amount, as provided in the conditions of contract, equal to at least one tenth (1/10) of one (1) percent of the cost of the unperformed portion of the works for every day of delay.

***C. Locally Funded Projects - Construction of Panabo Market Complex (Phase 2) at Brgy. New Pandan, Panabo City with contract P447,243,876.18***

In CY2021, the City Government programmed the Construction of Panabo Market Complex under Supplemental Budget No. 1 for the said year. The projects will be funded through a loan contract with the Land Bank of the Philippines. The relevant details of the project are as follows:

| | |
|---|---|
| Project Name: | Construction of Panabo Market Complex (Phase 2) |
| Location: | Brgy. New Pandan, Panabo City |
| Contractor: | St. Timothy Construction Corporation/ Amethyst Horizon Builders and General Contractor and Development Corporation (Joint Venture) |
| Contract Cost: | P447,243,876.18 |
| Project Date Started: | November 25, 2021 |
| Original Target Completion Date: | November 25, 2022 |
| Revised Target Completion Date: | December 20, 2023 |
| Original Project Duration: | 365 Calendar Days |
| Revised Project Duration: | 755 Calendar Days |
| Total Days Extended: | 390 Calendar Days |
| Status as of December 31, 2023: | On-going |

As shown in the information above, from the original project duration of 365 calendar days it has been revised to 755 calendar days with time extension of 390 calendar days. This total extended time is an accumulation of One (1) Suspension Order and Four (4) Extension Orders as presented in the following table:

| Issuances | Date Issued | Special Circumstance Cited | No. of Days | Revised Target Date of Completion |
|---|---|---|---|---|
| Suspension Order No. 1 | 1/5/2022 | Re-establishment/Re-determination of the specific location of the building | 60 | |
| Resume Order No. 1 | 3/10/2022 | | | 1/27/ 2023 |
| Extension Order No. 1 | 7/18/2022 | • Re-design and re-analysis of the structural engineer due to failure in meeting the ultimate bearing capacity as initially stated in the original structural analysis<br>• Verification and approval of the revised structural plan and analysis<br>• Unfavourable weather conditions | 60 | 3/28/ 2023 |
| Extension Order No. 2 | 12/27/ 2022 | Unfavourable weather conditions | 60 | 5/27/ 2023 |
| Extension Order no. 3 | 5/19/2023 | Unfavourable weather conditions | 120 | 9/24/ 2023 |
| Extension Order No. 4 | 9/19/2023 | Unfavourable weather conditions | 90 | 12/20/ 2023 |

Our examination revealed the following deficiencies noted in the documents supporting the approval of time suspension/extension and its effects:

| Order Reference | Deficiencies Noted and its Effects |
|---|---|
| Suspension Order No. 1 | No documentary evidence to show that notification to Procuring Entity was done within thirty (30) calendar days after the start of the additional work or of the special circumstance cited.<br><br>No documentary evidence to support that the amount of additional work requested or the occurrence of the special circumstance merits the extension of the contract, such as:<br>• Report on the causes for the need for Re-establishment/Re-determination of the specific location of the building<br>• Revised PERT/CPM Network showing that the affected activities fall within the critical path |

| Order Reference | Deficiencies Noted and its Effects |
|---|---|
| Extension Order No. 1 | The notice from the contractor has no proof of receipt by the CEO; hence, it is not sufficient to determine whether or not notification to Procuring Entity was done within thirty (30) calendar days after the start of the additional work or of the special circumstance cited.<br><br>No documentary evidence to support that the amount of additional work requested or the occurrence of the special circumstance merits the extension of the contract, such as:<br>• Revised PERT/CPM Network showing that the affected activities fall within the critical path<br>• PAG-ASA Weather forecast |
| Extension Order No. 2 | No documentary evidence to support that the amount of additional work requested or the occurrence of the special circumstance merits the extension of the contract, such as:<br>• Revised PERT/CPM Network showing that the affected activities fall within the critical path<br>• PAG-ASA Weather forecast<br><br>The absence of weather forecast report prevented the determination on whether or not notification to Procuring Entity was done within thirty (30) calendar days after the start of the additional work or of the special circumstance cited. |
| Extension Order no. 3 | The attached Revised PERT/CPM Network showing that the affected activities fall within the critical path has very small font size making it unreadable. |
| Extension Order No. 4 | Notification from Contractor was received by PE on December 11, 2023 which is beyond the Revised Target Completed Date granted under Extension Order No. 3 which is on September 24, 2023.<br><br>Further, the weather forecast pertains to results from April 16 to August 23, 2023, therefore, the notification was received by the CEO beyond thirty (30) calendar days after the start of the special circumstance cited. |

On the other hand, further examination of the transactions showed that payments were still made to the contractor despite incurrence of negative slippage exceeding 15% as shown in the table below.

| Progress Billings Paid | Date of Statement | Days Elapsed | % Elapsed | % of Work Accomplished | Slippage |
|---|---|---|---|---|---|
| First Progress Billing | 7/22/2022 | 176 | 19.85% | 20.17% | 0.32% |
| Second Progress billing | 8/22/2022 | 207 | 36.40% | 36.48% | 0.08% |

| Progress Billings Paid | Date of Statement | Days Elapsed | % Elapsed | % of Work Accomplished | Slippage |
|---|---|---|---|---|---|
| Third Progress billing | 12/27/2022 | 334 | 68.80% | 49.895% | -18.905% |
| Fourth Progress billing | 5/31/2023 | 489 | 80.83% | 58.585% | -22.241% |
| Fifth Progress billing | 7/31/2023 | 550 | 90.90% | 67.082% | -23.817% |
| Sixth Progress billing | 10/31/2023 | 642 | 93.72% | 82.98% | -10.74% |

**Above data are based from the Statement of Time Elapsed and Percentage of Completion prepared by the CEO*

Based on the ocular inspection conducted on March 1, 2024, construction of the project is still on-going with reported work accomplishment of 97.00%. The latest approved Revised Target Completion Date (TDC) was on December 20, 2023 and 73 calendars have lapse the project is still not completed (*see images below and in the next page*). According to the City Engineering Office, another Extension Order has been issued revising the TDC on March 31, 2024. However, copy of the said order has not yet been furnished to the Audit Team. The continued delayed completion of the project also deprived the intended recipients of the benefits that could have been derived therefrom.

The following Notices were issued by the CEO to inform the Contractor of its incurrence of the Negative Slippage:

- First Notice of Slippage dated October 24, 2022 by CEO after incurrence of negative slippage of 10% which received (undated) by a representative of the contractor (printed name was unreadable).



- Second Notice of Slippage dated February 9, 2023 by CEO after incurrence of negative slippage of 13% which received (02/10/2023) by a representative of the contractor, Mr. Isagani Contiveros.





However, payments were still made to the Contractor for the third, fourth and fifth progress billing despite incurrence of negative slippage of 18.905%, 22.241%, and 23.817%, respectively. The City Government should have also considered the termination of the contract due to the continued incurrence of negative slippage exceeding 15% from December 27, 2022 to July 31, 2023. Item IV(A)(2)(a) of Annex "I" of the Revised IRR of 2016 of RA 9184 provides that the HoPE may terminate a contract for default when any of the following conditions attend its implementation:

1. Due to the contractor's fault and while the project is on-going, it has incurred negative slippage of fifteen percent (15%) or more in accordance with P.D. 1870;
2. Due to the contractor's fault and after the contract time has expired, it has incurred a negative slippage of ten percent (10%) or more in the completion of the work; or
3. The contractor:
    a. Abandons the contract works, refuses or fails to comply with a valid instruction of the Procuring Entity or fails to proceed expeditiously and without delay despite a written notice by the Procuring Entity;
    b. Does not actually have on the project site the minimum essential equipment listed on the bid necessary to prosecute the works in accordance with the approved work plan and equipment deployment schedule as required for the project;
    c. Does not execute the works in accordance with the contract or persistently or flagrantly neglects to carry out its obligations under the contract;
    d. Neglects or refuses to remove materials or to perform a new work that has been rejected as defective or unsuitable; or
    e. Sub-lets any part of the contract works without approval by the Procuring Entity. The rescission of the contract shall be accompanied by the forfeiture by the Procuring Entity of the contractor's performance security. The contractor will also be recommended for blacklisting.

According to the implementation section of the City Engineering Office, it is inevitable that extension be granted to Contractors since majority of the original duration in the POW has failed to considered unworkable working conditions in the project site (i.e. high tides in the Mangrove Area affecting the workable condition, accessibility of roads, land ownership issues, right of way issues, etc.). Further, actual date of implementation is not fixed due to unforeseen delays during the procurement process, thus, when projects are started during wet seasons, extension due to heavy rainfall are expected.

In connection thereto, a similar observation on the non-preparation of PERT/CPM analysis as an attachment to the Program of Work (POW) has been observed in CY 2022. This deficiency is not in accordance with the relevant provisions under Annex "A" of the 2016 Revised IRR of RA 9184 prescribing the guidelines on Detailed Engineering for the Procurement of Infrastructure Projects, to wit:

Program of Work – …xxx…No program of work for any project shall be approved without detailed engineering.

**The program of work shall include**, among other things, estimates of work, items, quantities and costs and **a PERT/CPM network of the project activities**. The program of work shall cover at least a usable portion of the project and no construction shall be started for portions of the project that are less than usable, except projects requiring stage construction, in which case continuity of construction up to the completion of a usable portion must be assured.

Contract Time of Duration – In the preparation of the Bidding Documents, the agency shall make an estimate of the actual number of working days required to complete the project through PERT/CPM analysis of the project activities and corrected for holidays and weekends. Likewise, **the agency shall make an estimate of the number of rainy/unworkable days considered unfavourable for the prosecution of the works at the site**, based on the records of the Philippine Atmospheric, Geophysical and Astronomical Services Administration (PAGASA), and incorporate the same in the corrected actual number of working days determined above, which shall be made the basis of the total contract time. The estimated number of rainy/unworkable days considered unfavourable for the prosecution of the works at the site shall be made known before the date of bidding through the Instructions to Bidders for the purpose of guiding the contractor in preparing his bid and as reference to both the GOP and winning contractors taking action on the requests for time extensions…xxx…(Emphasis ours)

Finally, since the commonly cited special circumstances by the contractors is the unfavourable weather condition, the management is reminded of the following provisions under Item 10 of Annex "E" of the 2016 Revised IRR of RA 9184, to wit:

**No extension of contract time shall be granted the contractor due to (a) ordinary unfavourable weather conditions** and (b) inexcusable failure or negligence of contractor to provide the required equipment, supplies or materials."

"**Extension of contract time shall be granted** for rainy/unworkable days considered unfavourable for the prosecution of the works at the site, based on the actual conditions obtained at the site, **in excess of the number of**

**rainy/unworkable days pre-determined by the government in relation to the original contract time during the conduct of detailed engineering**…xxx…(Emphasis ours)

**Recommendations:**

We restated our prior years' recommendations to the City Mayor that:

a. The City Engineering Office submit the necessary documents to support the validity and reasonableness of the approval of time suspensions and extensions, such as but not limited to:
   - Documentary evidence of the existence of special circumstances to be considered for contract time suspensions and extensions under Item 9 and Item 10 of Annex "D" of Revised IRR of 2016 of RA No. 9184
   - Proof of notification by the contractor to the Procuring Entity that:
     - the occurrence of the special circumstances merits the extension of its contract by citing the affected activities in the POW, and,
     - it had done so before the expiration of the contract and within thirty (30) calendar days after the start of the special circumstance has arisen
   - Revised PERT-CPM Network showing that affected activities fall within the critical path;

b. The City Engineering Office prepare the required PERT/CPM network of the project activities as an attachment to the POW and include an estimate on the /unworkable days to arrive at a realistic basis of the total contract time of the project and avoid incurrence of unnecessary delays.

We further recommended that:

a. The City Engineering Office and City Accounting Office submit a written justification on failure to impose liquidated damages to contractors whose projects were completed beyond the contract duration;

b. The City Legal Office submit grounds for the non-termination of the contract despite that the negative slippage for the on-going Construction of Panabo Market Complex (Phase 2) have exceeded the 15% mark contrary to Item IV(A)(2)(a) of Annex "I" of the Revised IRR of 2016 of RA 9184; and,

c. The City Engineering Office and City Accounting Office submit a written justification for the payment of the third, fourth, and fifth progress billing thereof despite that the negative slippage have exceeded the 15% mark contrary to Item IV(A)(2)(a) of Annex "I" of the Revised IRR of 2016 of RA 9184.

**Management's Comments:**

According to the City Engineering Office, they are on the process of preparing and tracing all the necessary documents that will support the validity and reasonableness of the approval of the time suspensions and extensions of the noted infrastructures projects. They also requested for an extension for the submission of the same until April 2024.

On the other hand, as of date of this report, other concerned city offices have not yet submitted to the Audit Team their written reply and justifications for the noted deficiencies. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

**Auditor's Rejoinder:**

The Audit Team will be expecting to receive the required documents as well as the comments and justifications on the noted deficiencies from concerned offices until April 2024; otherwise, the Audit Team makes a decision based on the available documents submitted. As such, notice of Suspension or Disallowance may be issued as deemed appropriate.

***Non-establishment of standards and procedures in the preparation of the Approved Budget Cost***

**14. The City Government does not have its own established standards and procedures in the preparation of the Approved Budget Cost that adheres with the provisions in Annex "A" – Detailed Engineering for the Procurement of Infrastructure Projects of the 2016 Revised Implementing Rules and Regulations of RA No. 9184.**

Section 17.6 of the 2016 Revised Implementing Rules and Regulations of RA No. 9184 prescribed the requirement for a Detailed Engineering for the Procurement of Infrastructure Projects, to wit:

> No bidding and award of contract for Infrastructure Projects shall be made unless the detailed engineering investigations, surveys and designs, for the project have been sufficiently carried out and duly approved in accordance with the standards and specifications prescribed by the HoPE concerned or his duly authorized representative, pursuant to the recommendation of the end-user or implementing unit and in accordance with the provisions of Annex "A" of this IRR. (Underscoring supplied)

Based on the results of the technical inspection conducted for various infrastructure projects implemented by the City Government, there were five (5) projects wherein the Approved Budget Cost (ABC) and Contract Cost were found to be higher than the COA Evaluated Cost. The details are presented in the following tables.

| Project Name and Location | Fund Source | COA Evaluated Cost | ABC | Contract Cost |
|---|---|---|---|---|
| 1. Upgrading of Local Access Road – Jct. National Highway (Hilaiza's) going to Purok 3 (Bandolon), Brgy. Salvacion | 20% DF CY2023 | P8,539,060.47 | P8,799,961.82 | P8,798,529.48 |
| 2. Re-blocking of Road, City Wide, Panabo City | 20% DF CY2020 | 9,781,696.39 | 9,992,871.43 | 9,990,811.72 |
| 3. Concreting of Road from Tagpore to Buenavista, Brgy. Tagpore | LGSF-SBDP (NTF-ELCAC) CY2021 | 22,884,627.94 | 23,600,000.00 | 23,598,032.07 |
| 4. Upgrading of Local Access Road at Brgy. Sta. Cruz, Panabo City | LGSF-SBDP (NTF-ELCAC) CY2021 | 14,989,332.60 | 15,000,000.00 | 14,996,653.94 |
| 5. Upgrading of Local Access Road at Brgy. Buenavista, Panabo City | LGSF-SBDP (NTF-ELCAC) CY2021 | 9,530,342.98 | 10,000,000.00 | 9,994,179.08 |

| Project Name and Location | ABC is higher by | | Contract Cost is higher by | |
|---|---|---|---|---|
| | Amount | % | Amount | % |
| 1. Upgrading of Local Access Road – Jct. National Highway (Hilaiza's) going to Purok 3 (Bandolon), Brgy. Salvacion | P260,901.35 | 3.06 | P259,469.01 | 3.04 |
| 2. Re-blocking of Road, City Wide, Panabo City | 211,175.04 | 2.16 | 209,115.33 | 2.14 |
| 3. Concreting of Road from Tagpore to | 715,372.06 | 3.13 | 713,404.13 | 3.12 |

| Project Name and Location | ABC is higher by | | Contract Cost is higher by | |
|---|---|---|---|---|
| | Amount | % | Amount | % |
| Buenavista, Brgy. Tagpore | | | | |
| 4. Upgrading of Local Access Road at Brgy. Sta. Cruz, Panabo City | 10,667.40 | 0.07 | 7,321.34 | 0.05 |
| 5. Upgrading of Local Access Road at Brgy. Buenavista, Panabo City | 469,657.02 | 4.93 | 463,836.10 | 4.87 |

As shown in the table above, ABC and Contract Cost of the five (5) infrastructure projects is higher than the COA Evaluated Cost by 0.05% to 4.93% with an equivalent amount of P7,321.34 to P715,372.06. Moreover, it has been observed that the City Government does have its own established standards and procedures in the preparation of the Approved Budget Cost that adheres with the provisions in Annex "A" – Detailed Engineering for the Procurement of Infrastructure Projects of the 2016 Revised Implementing Rules and Regulations of RA No. 9184. As such, the COA Technical Group used the used DPWH Department Order No. 197 dated October 7, 2016 in the computation of the COA Evaluated Cost.

The City Engineering stated that they have adopted the DPWH guidelines in the preparation of programs and design of its infrastructure projects as well as the cost estimates. Admittedly, the adoption has yet to be passed through a Sangguniang Panlungsod Ordinance. It is the management's prerogative and discretion to adapt the national guidelines on the matter. However, the local prevailing market prices and local business practices, customs, and demographics, as well as, local laws, rules and regulations should also be considered in the setting up of the standards and procedures of the City Government, since, national settings in which the national guidelines have been based may not be applicable in the local setting of Panabo City.

The above noted deficiencies cast doubts on the reasonableness of the ABC and Contract Cost of the five (5) infrastructure projects and whether it has been prepared in accordance with existing laws and guidelines.

**Recommendations:**

We recommended to the City Mayor for:

a. The City Engineering Office to explain and justify the valid administrative, empirical and rational basis for the Approved Budget Cost of the five (5) identified infrastructure projects; and,

b. The establishment of the City Government's owned standards and procedures in the preparation of the Approved Budget Cost in accordance with the provisions in Annex "A" – Detailed Engineering for the Procurement of Infrastructure Projects of the 2016 Revised Implementing Rules and Regulations of RA No. 9184

**Management's Comments:**

The City Engineering Office has explained although a little bit higher than COA Evaluated Cost the computation of the Approved Budget Cost is in adherence to DPWH Department Order No. 197. They have submitted calculations to support their claim.

They further added the CEO is currently using the DPWH Department Order No. 197 for its computation of the Approved Budget Cost for infrastructure project and said guidelines is compliant with the provisions in Annex "A" – Detailed Engineering for the Procurement of Infrastructure Projects of the 2016 Revised Implementing Rules and Regulations of RA No. 9184. They committed to endorse the adoption thereof as the City's standards and procedures in the preparation of the Approved Budget Cost to the Sangguniang Panlungsod.

**Auditor's Rejoinder:**

The Audit Team shall review and verify the submitted basis for the Approved Budget Cost. Furthermore, it is necessary that the adoption of DPWH Department Order No. 197 be made through SP Ordinance for it to stand as legal basis for the computation of the Approved Budget Cost for infrastructure projects of the City Government.

***Deficiencies in the internal control on the fuel consumption and use of motor vehicles***

**15. Deficiencies in the internal control on processing and reporting of fuel grant, consumption and utilization as well as in the preparation and approval of trip tickets renders the reasonableness of fuel consumption amounting to P50,575,841.96 and the use government vehicles doubtful and uncertain.**

Sections 123 and 124 of Presidential Decree No. 1445 known as Government Auditing Code of the Philippines provides that:

> **Section 123. Definition of internal control.** Internal control is the plan of organization and all the coordinate methods and measures adopted within

an organization or agency to safeguard its assets, check the accuracy and reliability of its accounting data, and encourage adherence to prescribed managerial policies.

**Section 124. Installation.** It shall be the direct responsibility of the agency head to install, implement, and monitor a sound system of internal control.

Moreover, COA Circular No. 77-61 dated September 26, 1977 prescribes the use of the "Manual of Audit for Fuel Consumption of Government Motor Vehicles", which includes the forms, records, and reports required to support the fuel consumption of government vehicles. The Manual provides the following specific rules and regulations:

Item 2 - Use of government vehicles shall be properly controlled and regulated.

- The use of government motor vehicles should be controlled through properly accomplished and duly approved Driver's Trip Tickets which should be serially numbered, a summary of which shall be made at the end of the month in a Monthly Report of Official Travels (Appendix F), for audit purposes…xxx…

Item 4 - Monthly Report of Fuel Consumption of government motor transportation (Appendix G) shall be submitted to the Auditor for verification purposes to determine the reasonableness of fuel consumed during the period.

- In the determination of the quantity of gasoline required for each motor vehicle for each trip, all personnel concerned shall be guided by the average minimum and maximum gasoline and oil consumption of the different types of motor vehicles. An allowance of 10% may be tolerated.

The fuel, oil and lubricants expenses account of the City Government of Panabo showed a balance of P50,575,841.96 as at December 31, 2023. Verification on the process and reporting of fuel grant, consumption and utilization as well as the preparation and approval of trip tickets showed the following lapses/deficiencies:

***A. Wanting of a written policy providing for the guidelines in the process and reporting of fuel allocation, grant, withdrawal and consumption***

The City Government has yet to submit the written policy or internal rules and regulations detailing the process of fuel allocation, grant, withdrawal and consumption. The Audit Team has issued Audit Query Memorandum (AQM) No. 24-04 and 24-05 dated January 17, 2024 to both legislative and executive departments, respectively. However, only the Legislative Department has issued a reply on the aforementioned AQM and confirmed that their department has no written policy on fuel grant, withdrawal and consumption. On the other hand, the Executive Department failed to submit a reply on the issued AQM and furnish the Audit Team a copy of any written policy or internal rules and regulations detailing the process from fuel allocation to consumption, evidencing its existence.

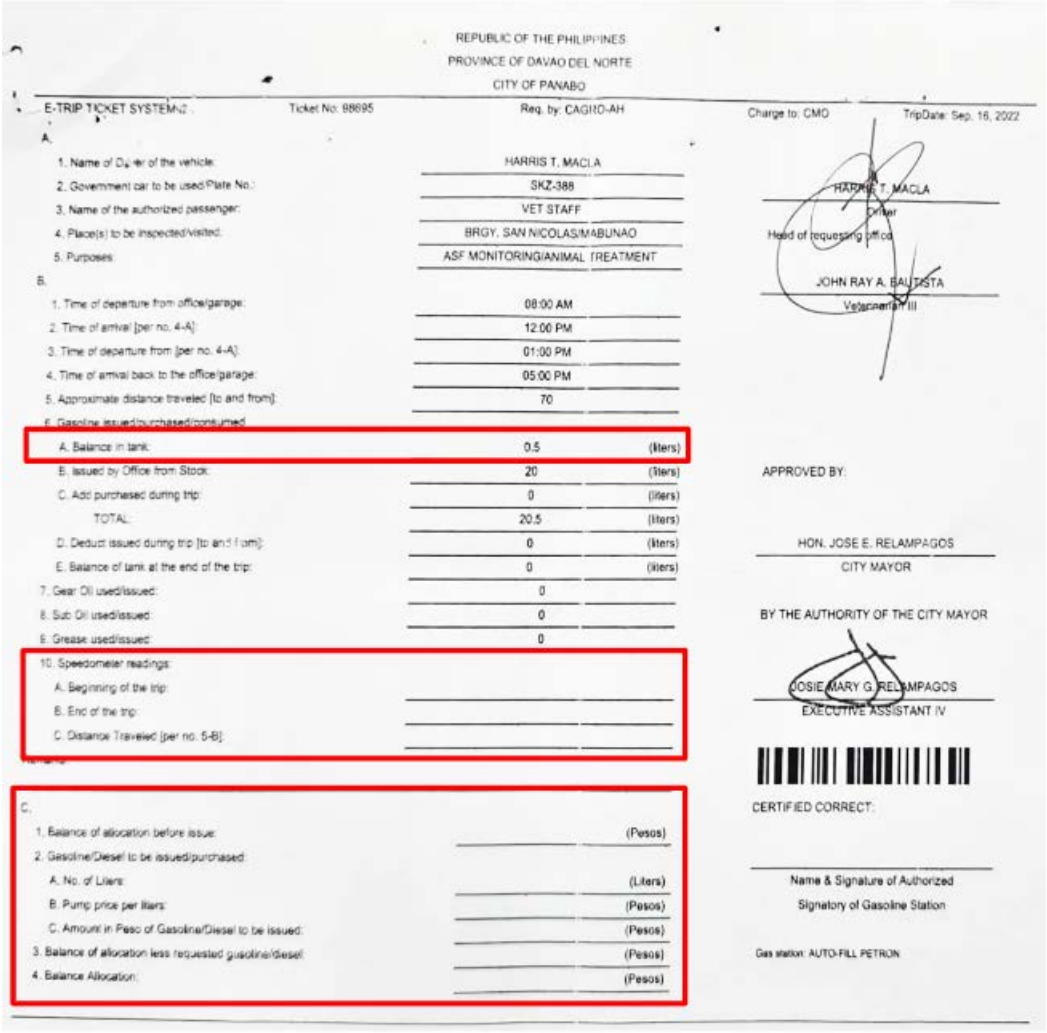
The presence of a written policy from fuel allocation to consumption could have helped the City Government ensure transparency and uniformity as well as guarantee that the protocols and procedures detailed in the policy is strictly followed by all the concerned departments/offices which could eventually lead to efficient and effective use of fuel by the City Government.

***B. Lapses noted in the preparation and approval of trip tickets***

The City Government have established an e-Trip Ticket System which is a web-based information system used for the recording of fuel requests and issuance and approval of trip tickets by department/office. The said system was intended to improve and systematically managed the City's fuel consumption. However, there are some noted lapses which must be addressed in the system in order to efficiently manage its fuel consumption:

- The beginning balance of fuel in tank is fixed at 0.5 liter in the trip ticket which may not be the actual representation of the actual beginning balance of fuel left in the vehicle tank (*see image below*).

- The odometer readings in the beginning and end of the trip as well as the distance travelled were not indicated in the approved trip tickets (*see image below*). These pose a risk of fuel exploitation since the actual kilometers travelled could not be computed, hence, any driver could request for excessive fuel.



REPUBLIC OF THE PHILIPPINES
PROVINCE OF DAVAO DEL NORTE
CITY OF PANABO

E-TRIP TICKET SYSTEM v2 | Ticket No: 88695 | Req. by: CAGIRO-AH | Charge to: CMO | TripDate: Sep. 16, 2022

A.

| | |
|---|---|
| 1. Name of Driver of the vehicle: | HARRIS T. MACLA |
| 2. Government car to be used/Plate No.: | SKZ-388 |
| 3. Name of the authorized passenger: | VET STAFF |
| 4. Place(s) to be inspected/visited: | BRGY. SAN NICOLAS/MABUNAO |
| 5. Purposes: | ASF MONITORING/ANIMAL TREATMENT |

B.

| | | |
|---|---|---|
| 1. Time of departure from office/garage: | 08:00 AM | |
| 2. Time of arrival [per no. 4-A]: | 12:00 PM | |
| 3. Time of departure from [per no. 4-A]: | 01:00 PM | |
| 4. Time of arrival back to the office/garage: | 05:00 PM | |
| 5. Approximate distance traveled [to and from]: | 70 | |
| 6. Gasoline issued/purchased/consumed: | | |
| A. Balance in tank: | 0.5 | (liters) |
| B. Issued by Office from Stock: | 20 | (liters) |
| C. Add purchased during trip: | 0 | (liters) |
| TOTAL: | 20.5 | (liters) |
| D. Deduct issued during trip [to and from]: | 0 | (liters) |
| E. Balance of tank at the end of the trip: | 0 | (liters) |
| 7. Gear Oil used/issued: | 0 | |
| 8. Sub Oil used/issued: | 0 | |
| 9. Grease used/issued: | 0 | |
| 10. Speedometer readings: | | |
| A. Beginning of the trip: | | |
| B. End of the trip: | | |
| C. Distance Traveled [per no. 5-B]: | | |

C.

| | | |
|---|---|---|
| 1. Balance of allocation before issue: | | (Pesos) |
| 2. Gasoline/Diesel to be issued/purchased: | | |
| A. No. of Liters: | | (Liters) |
| B. Pump price per liters: | | (Pesos) |
| C. Amount in Peso of Gasoline/Diesel to be issued: | | (Pesos) |
| 3. Balance of allocation less requested gasoline/diesel: | | (Pesos) |
| 4. Balance Allocation: | | (Pesos) |

HARRIS T. MACLA
Driver
Head of requesting office
JOHN RAY A. BAUTISTA
Veterinarian III

APPROVED BY:

HON. JOSE E. RELAMPAGOS
CITY MAYOR

BY THE AUTHORITY OF THE CITY MAYOR

JOSIE MARY G. RELAMPAGOS
EXECUTIVE ASSISTANT IV

CERTIFIED CORRECT:

Name & Signature of Authorized Signatory of Gasoline Station

Gas station: AUTO-FILL PETRON

According to the Information Technology (IT) Section, such portions of the trip tickets are to be manually encoded by the drivers. This is done manually since odometers readings at the end of the trip are to be determined after the completion of the trip, therefore the data is not yet available upon filling out the trip ticket. The program also does not allow editing after the trip ticket has been approved. However, based on our observation, the drivers have failed to manually fill out the said portions.

To correct this omission, the odometer readings at the beginning of the trip should be a required field for the preparation of the trip ticket, since the data is already available, before it is submitted for approval. Further, after the completion of the travel, the drivers should be required to fill-out the odometer readings at the end of the trip before they could request for another trip ticket. It could also be programmed that the odometer readings at the end of the trip from earlier completed travel be automatically reflected as odometer readings at the beginning

of the trip. Also, the distance travelled should be automatically generated by the system based in odometer readings encoded. These control measure will help to avoid human error or manipulation of data.

- The system limits to one approved trip ticket per day only. In actual operation, there are instances wherein two or more trips are needed in a day and each trip requires one trip ticket since the place to be visited and purpose of the travel are different per trip. This limitation resulted to an incorrect practice, wherein drivers only prepare trip ticket after all official trips for the day are completed to ensure that all trips for the day are included in one approved trip ticket. This is in contravention to the existing rules and regulations that trip tickets should be prepared and approved prior to the use of the government vehicle.

- The characters allowed in the fields for "Places to be visited" and 'Purposes" are also limited causing incomplete data and inconsistencies with the data presented in the monthly reports. It also cast doubts in the accuracy of the distance travelled since some of the places visited were omitted.

- Balance of fuel allocation before and after issuance is not also filled out (*see portion C of the Trip Ticket in the image above*) which is a valuable control measure to ensure that a vehicle or the department/office will not exceed its fuel allocation. This function should be programmed to automatically compute and control fuel consumption based on the approved trip tickets with fuel withdrawal. The system should also include a control wherein if the amount requested for fuel withdrawal has already exceeded the fuel allocation for the specific vehicle or department/office the same should not be able to submit the trip ticket with request for fuel withdrawal for approval and will inform the user that it has exceeded its fuel allocation.

- There are several approved trip tickets which have no signature of the drivers.
- The submitted Monthly Reports of Official Travels (MROT) were manually prepared despite of the fact that the e-Trip Ticket System could have generate the said report. This was due to the following errors in the MROT generated by the system:
    - ⇨ some approved trip tickets are not reflected in the printed MROT
    - ⇨ contains incomplete data (i.e. lacks odometer readings, distance travelled, etc.)
    - ⇨ the CGSO does not accept the system-generated report because it is not the same with their required template for MROT.

Further, the official travels reported in the MROT are only those with request for fuel withdrawal. All approved official travels should be reported in the MROT.

Although the e-Trip Ticket System has fast tract the processing of the trip tickets due to automation in the preparation and approval, however, it failed to ensure control and regulation in the use of government vehicle and fuel consumption based on the above noted deficiencies. It has merely become an encoding tool when the intended design of the system as an internal control for fuel consumption was supposedly promising. Thus, the system needs a major upgrading and there is a need to determine the practicality and the cost-efficiency in its continued use.

***C. Vehicles which are not owned by the City Government were given fuel allocation***

Comparison of the list of vehicles owned by the City Government as submitted by the City General Services Office (CGSO) and trip tickets generated from e-Trip Ticket System, Report of Fuel Consumption and trip tickets attached to disbursement vouchers revealed that there are a total of 259 motor vehicles and heavy equipment which are not owned by the City Government but are still given fuel allocation (details shown in *Annex T*).

The Audit Team has already issued Audit Query Memorandum (AQM) No. 24-05 dated January 17, 2024 to the CGSO inquiring on the existing policy allowing non-City-owned vehicles and heavy equipment to be given fuel allocation but the concerned Office has not submitted their reply as date of this AOM.

***D. Vehicles with expired Land Transportation Office (LTO) registration were still given fuel allocation and are still continuously in use***

A total of 41 vehicles which have expired LTO registration based on the report submitted by the CGSO were still given fuel allocation and are still used continuously, to wit:

| No. | Plate Number/ MV File | Dept. Issuing Fuel | Type of Vehicle | Last date of fuel issuance |
|---|---|---|---|---|
| 1 | 1101-275928 | CADO/CMO | Tata Multicab | 04/03/2023 |
| 2 | SF 2706 | CAGRO | Motorcycle | 12/18/2023 |
| 3 | SKB 210 | CAGRO | Canter | 12/22/2023 |
| 4 | SL 8591 | CAGRO | Motorcycle | 12/07/2023 |
| 5 | 1101-903305 | CAGRO | Motorcycle | 12/22/2023 |
| 6 | 1101-903310 | CAGRO | Motorcycle | 12/22/2023 |
| 7 | SA 11872 | CAGRO | *Not indicated in the trip ticket* | 01/31/2023 |
| 8 | SGL 385 | CASSO | Ford Ranger | 12/27/2023 |
| 9 | SL 8590 | CBO | *Not indicated in the trip ticket* | 11/08/2023 |
| 10 | 1101-347874 | CEEMDO | Motorcycle | 12/26/2023 |
| 11 | 1101-930192 | CEO | Motorcycle | 10/13/2023 |

| No. | Plate Number/ MV File | Dept. Issuing Fuel | Type of Vehicle | Last date of fuel issuance |
|---|---|---|---|---|
| 12 | 1101-931313 | CEO | Motorcycle | 10/13/2023 |
| 13 | 1101-1098943 | CEO | Motorcycle | 10/13/2023 |
| 14 | RJL 228 | CEO | Boom Truck | 10/13/2023 |
| 15 | 131210 | CEO | *Not indicated in the trip ticket* | 10/13/2023 |
| 16 | SGL 328 | CEO | Isuzu Crosswind | 07/27/2023 |
| 17 | 1101-420244 | CEO | Motorcycle | 10/13/2023 |
| 18 | SF 1774 | CEO | Motorcycle | 10/13/2023 |
| 19 | SJW 989 | CEO/CGSO | *Not indicated in the trip ticket* | 11/24/2023 |
| 20 | SGL 988 | CEO | Nissan Dump Truck | 09/25/2023 |
| 21 | SJX 200 | CEO/CMO/CGSO | Isuzu Dump Truck | 12/29/2023 |
| 22 | SAA 1991 | CMO/CGSO | Daewoo Dump Truck | 12/27/2023 |
| 23 | SJK 623 | CGSO | Fuso Self-Loading | 11/30/2023 |
| 24 | 0301-658312 | CMO/CGSO | Fuso Self-Loading | 11/30/2023 |
| 25 | 1101-677477 | CMO | Motorcycle | 12/29/2023 |
| 26 | SHE 714 | CMO/CGSO | Mitsubishi L300 Van | 12/20/2023 |
| 27 | 1101-954621 | CMO | Motorcycle | 12/28/2023 |
| 28 | 1101-963431 | CMO | Motorcycle | 12/28/2023 |
| 29 | 1101-963413 | CMO | *Not indicated in the trip ticket* | 12/27/2023 |
| 30 | 1101-306849 | CMO | *Not indicated in the trip ticket* | 12/20/2023 |
| 31 | 1101-922564 | CMO | Motorcycle | 12/29/2023 |
| 32 | 1101-677486 | CMO | Motorcycle | 12/27/2023 |
| 33 | SE 2019 | CMO | Motorcycle | 12/05/2023 |
| 34 | 1101-555889 | CMO | Motorcycle | 12/19/2023 |
| 35 | SGL 907 | CGSO | Isuzu Crosswind | 12/19/2023 |
| 36 | 1101-872337 | CTO | Motorcycle | 12/27/2023 |
| 37 | 1101-153223 | CTO | Motorcycle | 12/27/2023 |
| 38 | SE 2460 | CGSO | *Not indicated in the trip ticket* | 12/19/2023 |
| 39 | 1501-085738 | CENRO | *Not indicated in the trip ticket* | 12/21/2023 |
| 40 | 1101-384705 | CEEMDO | Motorcycle | Sept. 2023 |
| 41 | SH 9361 | CGSO | Motorcycle | Sept. 2023 |

The continuous use of vehicles with expired LTO registrations poses a great risk on the City Government in case of accidents and exposes the government of unnecessary fines and penalties which could have been avoided had the renewal of registration for these vehicles been made. It also questions the propriety of the approval of the trip rickets as well as the grant of fuel for the said vehicles.

***E. Vehicles which have been classified as unserviceable/for disposal were granted fuel and issued approved trip tickets***

There are eight (8) vehicles which have been classified as unserviceable and/or for disposal but still given fuel allocation and issued with approve trip tickets for CY 2023, to wit:

| No. | Plate Number/ MV File | Type of Vehicle | Dept. Issuing Fuel | Last date of fuel issuance | Remarks |
|---|---|---|---|---|---|
| 1 | GOF 710 | Suzuki Multicab | CMO | 06/26/2023 | Unserviceable per e-Trip Ticket System |
| 2 | SKV 753 | Kia | CMO | 04/11/2023 | Unserviceable per e-Trip Ticket System |
| 3 | SAA-8990 | Ford Everest | CMO | 09/03/2023 | Unserviceable per e-Trip Ticket System |
| 4 | SGL 320 | Ford Ranger Pick-up | CGSO | 07/24/2023 | For disposal per CGSO |
| 5 | 1312-415785 | Dental Bus | CHO | 12/23/2023 | Unserviceable per CGSO |
| 6 | SE 2019 | Honda Motorcycle | CMO | 12/05/2023 | Unserviceable per CGSO |
| 7 | SA 11874 | Motorcycle | CEEMDO | 09/25/2023 | For disposal per CGSO |
| 8 | SGL 320 | Ford Ranger Pick-up | CMO | 06/28/2023 | For disposal per CGSO |

The issuance of approved trip tickets to vehicles identified as unserviceable and/or for disposal by the CGSO and in the e-Trip Ticket System raises doubts on the authenticity of the official travel/trip. Likewise, the fuel consumptions based on these approved trip tickets are also questionable.

### *F. Unrealistic distance travelled as indicated in the Monthly Report of Official Travels (MROT) based on the places visited*

Verification of the submitted MROT showed that some official trips showed unrealistic distance travelled (in kilometers) within a day considering that the destinations indicated is within Panabo City only or nearby cities/municipalities. These vehicles are also being given fuel on a daily basis. Sample of the travels are illustrated below, with detailed information shown in *Annex U*:

| Distance Travelled (in kms.) | Place of Travel |
|---|---|
| 690 | Davao City, Tagum City and Panabo City (Canvass Materials and Staff Servicing) |
| 806 | Various brgys in Panabo City, Davao City, Tagum City (Vice Versa) |
| 781 | Various brgys in Panabo City, Davao City, Tagum City (Vice Versa) |
| 442 | Davao City, Tagum City and Panabo City (Canvass Materials) |
| 807 | Poblacion Panabo, Various Brgys of Panabo City (Inspection of Electric Posts) |
| 100 | Poblacion, Panabo City - Operation Dakop |
| 572 | Pob. Panabo, Various Brgys of Panabo City (Inspection of Electric Posts) |

| Distance Travelled (in kms.) | Place of Travel |
|---|---|
| 180 | Diff. brgys of Panabo City (Poblacion Area) |
| 1,000 | Deliver tent to Brgy Salvacion and Quezon/GSIS Tagum |
| 275 | Different brgys in Panabo City, install and re-install tents |
| 801 | Brgys Cacao, Kauswagan, Dalisay, etc. |
| 801 | Mabini, Davao de Oro |

The distance travelled as demonstrated above appears to be unrealistic since it indicates that it has only been done within a day considering that additional fuel has been issued the following day for another travel. This condition also raises doubt on the truthfulness of the distance travelled especially that the actual odometer reading before and after the travel were not indicated in several approved trip tickets. Further, the requested fuel withdrawals maybe excessive given that the actual distance travelled could be lesser than the one stipulated in the report based on the places travelled.

These abnormal data may be attributed to human error however it should have been detected during the approval and review of the reports.

***G. Delayed and incomplete submission by departments/offices of Monthly Report of Official Travels (MROT) to the CGSO***

Verification of the submitted Monthly Report of Fuel Consumption (MRFC) by the CGSO showed that departments/offices have incompletely submitted and/or have been delayed in the submission of MROT, to wit:

| MRFC Submitted | Attached MROT |
|---|---|
| January 2023 | June 2022 to January 2023 |
| February 2023 | October 2022 to February 2023 |
| March 2023 | December 2022 to March 2023 |
| April 2023 | February to March 2023 |
| May 2023 | April to May 2023 |
| June 2023 | January to June 2023 |
| July 2023 | February to July 2023 |
| August 2023 | January to December 2022; April to July 2023 |
| September 2023 | August to September 2023 |
| October 2023 | June to September 2023 |
| November 2023 | July to November 2023 |

**The GSO has not yet submitted the MRFC for December 2023*

The deficiency subsequently affects the timely preparation and submission of the MRFC. It also resulted to non-updated data being reported therein. As shown in the table above, MRFC for the month of January 2023 includes MROT from June 2022 to January 2023

while MRFC for the months of June and August 2023 also includes MROT for January 2023, rendering the MRFC for the month of January 2023 unreliable and incomplete. The following months also have the same observed deficiencies.

Further examination of the submitted MROT showed that the official travels reported are only those trips with fuel withdrawal and does include all official travels with approve trip tickets rendering the report incomplete. The MROT should have been prepared by the driver concerned summarizing in chronological order ALL their trips for the month. These omissions were caused by the manual preparation of the MROT. This could have been avoided if the generation of MROT by the e-Trip Ticket System has been corrected and used.

The timely and complete submission of the required Monthly Reports serves as control procedures and to ensure regulations in fuel consumption.

The above deficiencies shows weakness of sound internal control and impedes the verification and evaluation on the reasonableness of the fuel allocation, withdrawals and consumption of the City Government as well as the use of government motor vehicles thereby rendering the reasonableness of fuel grant and consumption doubtful. It is also imperative that the City Government be able to establish and maintain an effective internal control system to promote proper transparency and accountability.

**Recommendations:**

We recommended the City Mayor the following courses of action:

a. City General Services Office (CGSO) establish a uniform written policy, in accordance with applicable laws, rules and regulations, for all the departments/offices of the City Government that provides guidelines for:
    - fuel allocation, grant, withdrawal and consumption
    - the use of government vehicles
    - the deadlines of the submission of the required Monthly Reports including sanctions for non-compliance thereof

b. Information Technology Section under the City Administrator's Office (CAdO), in coordination with CGSO, assess the e-Trip Ticket System to address the several deficiencies noted in this audit observation and determine whether or not the upgrading and continued use of the e-system is still practical and cost-efficient.

c. All concerned Departments and Offices ensure that trip tickets, prior to its approval, should contain complete data and information and are signed by the drivers;

d. All concerned Departments and Offices in the preparation and approval of MROT, ensure that the distance travelled should reasonably agrees with places visited to avoid inconsistencies in the data and information in the reports;

e. All concerned Departments and Offices submit to the Office of the Audit Team a written justification and the basis for, otherwise, a Notice of Suspension/Disallowance shall be issued if warranted:
   - granting fuel to motor vehicles and heavy equipment that are not owned by the City Government
   - approving trips tickets and granting fuel to vehicles classified as unserviceable and for disposal, as well as those with expired LTO registrations;

f. CGSO, in coordination with the City Human Resource and Management Office (CHRMO), conduct a re-orientation to drivers and other concerned personnel on the laws, rules and regulations in the use of government vehicles and fuel consumption.

**Management's Comments:**

The Management partly agrees with the noted observations and submitted their comments and explanations as follows:

On the lack of written policies, they stated that they have only found one (1) written policy which is the implementation of the E-trip ticket system. They added that the latest issuances by the Office of the City Mayor will somehow improve the process. The Office of the Sangguniang Panlungsod, on the other hand, have issued Memorandum Order Nos. 16 and 17, s. 2024 amending the guidelines on the approval of Trip Tickets for Fuel Expenses and Withdrawal Slips while Memorandum Order No. 18, s. 2024 was issued to set internal policies on the Decentralization of Fuel Withdrawals and Trip Tickets.

As to the lapses noted in the preparation and approval of trip tickets, the management agrees that the current E-trip ticket system needs to be updated to address the noted observations. However, they maintained that alternative controls were in placed to

address the noted deficiencies, particularly, allowing manual entries in the trip tickets and thorough review prior its approval. The MROT format generated by the E-trip Ticket System was not used due to the revision thereof by the Commission on Audit, thus, the CGSO have ordered the use of the latest mandated format. They also stated that they would maintain the use of the E-trip ticket system since it is still cost efficient. They added that the Information Technology Section under the CAdO, in coordination with other concerned city departments, is in the process of reviewing the system and updates shall be effected as deemed proper.

On the other hand, the Office of the Sangguniang Panlungsod has opted to shift into full manual preparation and approval of trip tickets for fuel expenses and withdrawal slips due to the deficiencies noted in the E-trip Ticket System.

As to the vehicles not owned by the City Government which were given fuel allocation, the management assured that all motor vehicles listed under *Annex T* are actually owned by the City Government or other government agencies and local government units. They submitted schedules to provide more information and attached some documents to show proof of ownership by the government (only for some listed vehicles in Annex T).

As to the use of motor vehicles with expired LTO registration, various offices commented that they have requested the CGSO for its renewal prior to the expiration. However, despite continued follow-ups with the officer-in-charge, registrations of the motor vehicles were still not renewed. Due to the exigency of services, they used the motor vehicles despite expired registration. Nonetheless, they stated that in the ensuing year, they would ensure that LTO registrations are valid and renewed prior to the use of motor vehicles.

The CGSO stated that out of the 41 vehicles with expired LTO registration noted in the observation, 16 of which have already been renewed while others are either awaiting for the processing of insurance which is a pre-requisite for registration or submitted to the LTO or awaiting for its release. Nevertheless, they maintained that the City has a policy of “No Registration, No Fuel/Travel Policy”. They added that noted cases were only isolated and were allowed during emergency cases.

As to the vehicles which have been classified as unserviceable/ for disposal still used and given fuel allocation, the management explained that vehicles classified as “unserviceable” were actually still operational during the time it was used and granted fuel. On the other hand, vehicles subjected for disposal are also operational. It was only subjected for disposal since the repairs and maintenance of said vehicles is no longer

economical. They added that these vehicles are only used when serviceable vehicles cannot accommodate and meet requests for public service.

As to the unrealistic distance travelled reported in the MROT, the management explained that this were only clerical errors during the manual entry of data and information in report. They stated that review will be strengthened to ensure that said error will be corrected prior to its approval. Likewise, the delay and incomplete submission of the said report shall be addressed accordingly.

They added that an orientation to all appointed and designated drivers and administrative staff on the proper use and process of the e-Trip Ticket System has been conducted in CY2023. Nonetheless, a re-orientation on the laws and regulations in the use of vehicles and fuel consumption shall be held by the CGSO and CHRMO.

Overall, the management is agreeable with the audit recommendations. As such, they have formulated actions to be taken for its implementation and to address the noted deficiencies. In particular, they will establish a uniform written policy in accordance with applicable laws, rules and regulations for the following:

- Fuel allocation, grant, withdrawal and consumption and enhancement of the e-trip ticket system
- The use of government vehicle
- The deadlines of the submission of the required Monthly Reports including sanctions for non-compliance thereof

**Auditor's rejoinder:**

The Audit Team maintains its stand that the City Government particularly the Executive and Legislative Departments should maintain a uniform internal policy in the preparation of trip tickets, fuel grant and consumption, and the use of government vehicle for efficiency. The maintenance of an automated system of the Executive Department and the shift to manual system by the Legislative Department will result to inefficiency due to non-uniformity of forms, reports and applications.

Furthermore, it should be noted that the Schedule of vehicles not owned by the City Government which fuel were granted was derived by comparing the List of Motor Vehicles owned by the City Government submitted by the CGSO with the approved Trip Tickets with fuel granted. Taking into account the comments of various offices indicates that the list submitted by the CGSO to the Audit Team were incomplete, thus, the need for an update.

The Audit Team will also further verify the information and documents submitted as it has been noted that some motor vehicles were already returned to CGSO for being unserviceable in CY2022 and prior years but still received fuel allocation in CY2023. Further, a number of the vehicles were found in records of the concerned offices and the CGSO and yet trip tickets were approved and fuels were granted.

The instances where 41 vehicles with expired LTO registration were still used cannot be considered an isolated case. As per management, only 16 or 39% has been renewed as of the first quarter of CY2024. Thus, the Audit Team maintains its recommendation to strictly impose the City's policy on "No Registration, No Fuel/Travel Policy". The expiration date of the LTO registration is clearly stated and determinable ahead of time; thus, the delayed processing of the renewal and its requirement is not justifiable. Further, this process is done annually and a repetitive process.

Also, there is a need to establish clear and strict policy on when motors vehicles classified as "unserviceable" by the CGSO and those approved for disposal can be used for official purpose. Further, a certified list of motor vehicles declared as unserviceable and for disposal but still operational should be issued by the CGSO to prevent the risk of using its plate number for fuel allocation.

Finally, the audit team has not yet received copies of the latest issuances by the Office of the City Mayor pertaining the subject matter at hand. As such, we request that the Audit Team be furnished with the said latest issuances as well as future issuances for our references and monitoring of the implementation of audit recommendations.

***Deficiencies in the grant of financial assistance to individuals***

**16. Deficiencies in the internal control and unclear policy/ guidelines for the grant of financial assistance to individuals resulted in unreliable validation of beneficiaries, varying amount of cash assistance granted operational inefficiencies and difficulty in monitoring and evaluation of accountability, thus, exposes government funds to possible misuse.**

Section 123 of Presidential Decree (PD) 1445 dated June 11, 1978, as amended, defines internal control as *the plan of organization and all the coordinate methods and measures adopted within an organization or agency to safeguard its assets, check the accuracy and reliability of its accounting data, and encourage adherence to prescribed managerial policies.*

Section 124 of P.D. 1445 further states that, *"it shall be the direct responsibility of the agency head to install, implement, and monitor a sound system of internal control."*

Section 2 of RA No. 11032, also known as the Ease of Doing Business, has declared as the policy of the State *"to promote integrity, accountability, proper management of public affairs and public property as well as to establish effective practices, aimed at efficient turnaround of the delivery of government services...xxx."*

It likewise provides that *"the State…xxx…shall take appropriate measure to promote transparency in each agency with regard to the manner of transacting with the public, which shall encompass a program for the adoption of simplified requirements and procedures that will reduce red tape and expedite business and non-business related transaction in the government."*

The City Government of Panabo, in the pursuit of its vision, mission and goals, aims the provision of streamlined, expedited, and prompt social services to Panaboans especially to those who are in dire need of financial assistance. As such, for CY 2023, the City continued the implementation of its social welfare services programs as authorized in its current year Annual Budget and Annual Investment Program, to wit:

| **AIP** | | **Annual Budget** | | |
|---|---|---|---|---|
| **PPA Description** | **Office** | **Major Final Output** | **Type of Financial Assistance** | **Appropriation** |
| Social Welfare and Development Program | CSWDO | Pauper's Burial | 1. Pauper's Burial Assistance | P900,000.00 |
| | | Senior Citizen and PWD Assistance/ Services | 2. Senior Citizen Burial Assistance | 7,700,000.00 |
| | | | 3. Veterans Burial Assistance | 20,000.00 |
| | | | 4. Centenarian Benefits | 30,000.00 |
| | | | 5. Limited Financial Assistance for PWD's Medical Expenses | 500,000.00 |
| | | | 6. Bedridden PWD Financial Assistance | 500,000.00 |
| Social Protection Program | CSWDO | Limited Financial Assistance | 7. Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances | 3,600,000.00 |
| | | | 8. Limited Financial/Cash Assistance for Individuals (Hospital Bills) | 8,000,000.00 |
| | | | 9. Limited Financial/Cash Assistance for Individuals (Pharmacy Bills) | 1,400,000.00 |
| | | | 10. Limited Financial Assistance for Exiting 4Ps | 150,000.00 |
| | | Social Protection Program | 11. Donation-Regional Rehabilitation Center for Youth and Bahay Pag-Asa | 70,000.00 |
| | | | 12. City Counterpart to Institution (Carmen District Hospital) | 600,000.00 |
| | | | 13. City Counterpart to Southern Philippines Medical Center | 197,500.00 |
| | | | 14. City Counterpart to Luntiang Paraiso | 250,000.00 |

| AIP | | Annual Budget | | |
|---|---|---|---|---|
| **PPA Description** | **Office** | **Major Final Output** | **Type of Financial Assistance** | **Appropriation** |
| | | | 15. City Counterpart to Home for the Aged | 50,000.00 |
| | | | 16. Emergency Shelter Assistance | 200,000.00 |
| | | | 17. Sulong Dunong Program for Youth | 900,000.00 |
| Gender and Development Program | CMO-GAD | Not specified | 18. Limited Financial Assistance | 90,000.00 |
| **TOTAL** | | | | **P25,157,500.00** |

As shown above, a total of 18 types of financial assistance with a total appropriation of P25,157,500.00 for CY2023 are being provided by the City Government of which 17 are under the City Social Welfare and Development Office (CSWDO) and one (1) is under the Gender and Development Section of City Mayor's Office (CMO-GAD). However, review of the existing internal control, guidelines and procedures showed various lapses in the grant of the above-mentioned financial assistance as follows:

### *A. Internal policy/guidelines for seven (7) types of financial assistance has not been clearly established*

As presented in the following table, out of the 18 types of financial assistance, four (4) were authorized by SP Ordinances, two (2) were covered by an Executive Order, five (5) were under a Memorandum of Agreement with other government agencies and seven (7) have no clear established internal policy/ guidelines. Moreover, out of the 18 only five (5) were included in the City Government's Citizen's Charter 2nd edition (2021) published in its official website. Section 6 of RA No. 11032 provides that the details of requirements, procedures, responsible person, amount of fees and processing time for each type of government services offered by the government be included in its Citizen's Charter.

| Office | Type of Financial Assistance | Authorization/ Guidelines | Citizen Charter |
|---|---|---|---|
| CSWDO | 1. Pauper's Burial Assistance | City Ordinance No. 02-13, Art. 44 | ✓ |
| CSWDO | 2. Senior Citizen Burial Assistance | City Ordinance No. 02-13, Art. 46 | ✓ |
| | 3. Veterans Burial Assistance | City Ordinance No. 02-13, Art. 41 | |
| | 4. Centenarian Benefits | Not submitted | |
| | 5. Limited Financial Assistance for PWD's Medical Expenses | Senior Citizen & PWD Welfare Program Design CY 2023 | |
| | 6. Bedridden PWD Financial Assistance | Senior Citizen & PWD Welfare Program Design CY 2023 | |
| | 7. Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances | Executive Order No. 58, series of 2021 | ✓ |
| | 8. Limited Financial/Cash Assistance for Individuals (Hospital Bills) | Executive Order No. 58, series of 2021 | |
| | 9. Limited Financial/Cash Assistance for Individuals (Pharmacy Bills) | Social Protection Program Design CY 2023 | |
| | 10. Limited Financial Assistance for Exiting 4Ps | Social Protection Program Design CY 2023 | |
| | 11. Donation-Regional Rehabilitation Center for | MOA signed 10/07/2021 | |

| Office | Type of Financial Assistance | Authorization/ Guidelines | Citizen Charter |
|---|---|---|---|
| | Youth and Bahay Pag-Asa | | |
| | 12. City Counterpart to Institution (Carmen District Hospital) | MOA signed CY 2021 | |
| | 13. City Counterpart to Southern Philippines Medical Center | MOA signed 06/19/2020 | |
| | 14. City Counterpart to Luntiang Paraiso | MOA signed 10/13/2021 | |
| | 15. City Counterpart to Home for the Aged | MOA signed 11/04/2020 | |
| | 16. Emergency Shelter Assistance | Social Protection Program Design CY 2023 | ✓ |
| | 17. Sulong Dunong Program for Youth | City Ordinance No. 37-2020 | ✓ |
| CMO-GAD | 18. Limited Financial Assistance | No established internal policy | |

Specifically, the seven (7) types of financial assistance without clearly established internal policy/ guidelines are as follows:

1. Limited Financial Assistance for PWD's Medical Expenses
2. Bedridden PWD Financial Assistance
3. Limited Financial/Cash Assistance for Individuals (Pharmacy Bills)
4. Limited Financial Assistance for Exiting 4Ps
5. Emergency Shelter Assistance
6. Centenarian Benefits
7. Limited Financial Assistance (CMO-GAD)

The authorization for the implementation of Items 1-5 is based from the CSWDO's Program Design for CY 2023 only. Although, it specify for the maximum amount to be granted per beneficiary, it did not specify the requirements and criteria for the qualification of the financial assistance. It also did not state if existing establish guidelines for these types of financial assistance applies.

On the other hand, no written internal policy/ guidelines were submitted for Items 6 and 7. Further, the Limited Financial Assistance under the CMO-GAD was also not specified in the Annual Budget, Annual Investment Plan or in the GAD Plan and Budget for CY 2023. The GAD Focal Person explained that the implementation was anchored on the existing Gender and Development Code of the City as per City Ordinance No. 05, series of 2012.

The establishment of clear internal policy/ guidelines is mandated under Section 2 of RA No. 11032 while regular updating thereof is embodied under Section 5 of the same law, to wit:

> Reengineering of Systems and Procedures – All offices and agencies which provide government services are hereby mandated to regularly…xxx…, undergo evaluation and improvement of their transaction systems and procedures and reengineering the same if deemed necessary to reduce bureaucratic red tape and processing time.

Ambiguity in the policy/ guidelines for the grant of financial assistance and non-inclusion of transaction system and procedures of several types thereof in the Citizen's Charter are not in compliance with Sections 2, 5 and 6 of RA No. 11032. It may lead to several challenges and potential issues such as uncertain criteria for eligibility, inequity, and operational inefficiencies in the grant of financial assistance thereby undermining integrity, accountability, and proper management of public affairs and government funds.

***B. Lapses in the implementation of the procedures indicated in the City's Citizen's Charter for the availment of Financial and Medical Assistance***

We have conducted a walkthrough on the procedures for the Availment (*Cash*) Financial and Medical Assistance of provided in the City's CY 2021 Citizen Charter (2nd Edition). The results are as follows:

| **Procedures** | **Office** | |
|---|---|---|
| | **Citizen Charter** | **Actual Practice** |
| 1. Receipt and review of documentary requirements | CSWDO | CSWDO |
| 2. Conduct of interview and assessment of client | CSWDO | CSWDO |
| **Endorsement and determination of amount to be granted** | **Not included** | **CMO** |
| 3. Inform client of amount to be granted based on the assessment and preparation an acknowledgement receipt | CSWDO | CSWDO |
| 4. Approval of CSWDO department head | CSWDO | CSWDO |
| 5. Release of cash assistance and signing the Acknowledgement Receipt by client | CSWDO | CSWDO |

As shown above, there were only five procedures as per Citizen's Charter and all of which shall be done in the CSWDO. However, during the walkthrough, it has been observed that another procedure which is the "*Endorsement and determination of amount to be granted*" and performed by the City Mayor's Office has been added. Specifically, after the assessment (Step 2), the case will be referred to the City Mayor's Office for the determination of the amount to be granted. After which, a referral slip signed by the CMO personnel is submitted to CSWDO as pre-requisite to its final approval and release of cash assistance.

The Citizen's Charter communicates information on the services provided by the concerned government agency to the public. It describes the step-by-step procedure for availing a particular service, and the guaranteed performance level that they may expect for that service. Nonconformity from the procedures outlined in the Citizen's Charter can have various implications in the agency's commitment in providing transparent, accountable and efficient public service and depicts ineffective internal control mechanisms in ensuring that transactions are conducted in accordance with the established procedures.

***C. The check for the payment of financial assistance for hospital fees is issued in the name of the client/beneficiary instead of the hospital posing high risk in the non-payment thereof***

Executive Order (EO) No. 58 series of 2021 was issued to amend the guidelines on the provision of assistance to individuals in crisis situation through the CSWDO. Section 2.2.5 of the said EO states that, *"The City of Panabo through the CSWDO shall process the Assistance to Individuals in Crisis Situation attaching all necessary requirements each individual beneficiary depending on the assessment of the social worker with a maximum amount of Ten Thousand Pesos (P10,000.00) to clients seeking medical assistance through* ***issuance of a Guarantee Letter to hospitals.****"*

DSWD Memorandum Circular No. 15, Series of 2022 which provides the Updated Guidelines for the Implementation of the Assistance to Individuals in Crisis Situation Program defined "Guaranty Letter" as a document issued by the government agency in favor of the beneficiary addressed to service providers, such as hospitals, to guarantee the payment of the service on behalf of the beneficiary. Therefore, the issuance of the guarantee letters subjects the City Government to an incurrence of a liability.

As practice by the City, the payment of financial assistance for hospital fees is issued in the name of the client/beneficiary instead of the name of the hospital institution. According to the Management, this procedure has been adopted to accommodate client/beneficiary that were admitted in private hospitals since there is no Memorandum of Agreement between these private institution and the City Government allowing the direct payment of the hospital bills.

Since the payee is the client/beneficiary and not the hospital institution itself, there is a higher risk of non-payment defeating the objective of program which is to provide financial assistance in the payment of hospital fees. Further, non-payment thereof subjects the City Government to incurrence of a liability.

According to the CSWDO, alternative precautionary measures are being implemented to ensure payment to hospitals, such as, 1) accompanying the beneficiary by CSWDO personnel during the encashment and subsequent payment thereof and 2) delivering the checks directly to the hospital and therein the client will endorse the checks to the hospital. These alternative controls are not cost effective and undermine the efficiency in the delivery of the services. It is also likely to promote collusion between the parties involved to misuse the funds.

### *D. Grant of financial assistance for hospital fees in the form of reimbursement to the client/beneficiary*

Further review and examination of the disbursement vouchers also disclosed that beneficiaries were granted financial assistance for hospital fees in the form of reimbursement. This means that even if the client/ beneficiary have already made full payment of the hospital bills, they were still granted with the financial assistance. Details of these grants are shown in the following table:

| Reference | Payee | Amount | Hospital | Date of Confinement | Patient | Remarks |
|---|---|---|---|---|---|---|
| Ck#1624574 03/07/2023 | Vregon Apolo G. Amandog | P10,000.00 | Rivera Medical Center | Feb. 4-9, 2023 | Saturnina G. Amandog (Mother) | As per case summary, the family pawned their land to pay the hospital bill. Payee is asking financial assistance to partially pay the pawned land |
| Ck#1624577 03/07/2023 | Ariel C. Barbante | 10,000.00 | Rivera Medical Center | Feb. 3-10, 2023 | Geminiano M. Barbante (Father) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money and the patient's maintenance medicines |
| Ck#1625251 04/03/2023 | Arlene G. Alunan | 10,000.00 | Rivera Medical Center | Feb. 9-17, 2023 | Samuel O. Gamutan, Sr. (Father) | As per case summary, the hospital bill is charged to the patient's company (TADECO) and will be deducted to his retirement fee |
| Ck#1625766 04/25/2023 | Ma. Carlota J. Rendaje | 10,000.00 | Rivera Medical Center | Mar. 30-Apr. 2, 2023 | Ma. Carlota J. Rendaje | As per case summary, the hospital bill is charged to her husband's company and will be deducted to his salary |
| Ck#1625767 04/25/2023 | Tyrone Klyr Q. Castillo | 10,000.00 | Rivera Medical Center | Apr. 1-5, 2023 | Klye O. Castillo (Son) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |

| Reference | Payee | Amount | Hospital | Date of Confinement | Patient | Remarks |
|---|---|---|---|---|---|---|
| Ck#1625769 04/25/2023 | Marjorie T. Manuel | 9,427.35 | Rivera Medical Center | Mar. 28-31, 2023 | Celestine Manuel (Daughter) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |
| Ck#1625774 04/25/2023 | Danny E. Pagal, Jr. | 8,842.00 | Rivera Medical Center | Mar. 25-31, 2023 | Libna Pagal (Mother) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |
| Ck#1626569 05/25/2023 | Janie E. Digal | 7,000.00 | Rivera Medical Center | May 2-5, 2023 | Mierra D. Aballe (Daughter) | As per case summary, the family borrowed money to pay the hospital bill |
| Ck#1626573 05/25/2023 | Dennis P. Ruado | 10,000.00 | Rivera Medical Center | May 4-7, 2023 | Dennis P. Ruado | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |
| Ck#1626575 05/25/2023 | Melanie M. Nicanor | 10,000.00 | Rivera Medical Center | Apr. 26-30, 2023 | Teresita M. Nicanor (Mother) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |
| Ck#1650546 06/01/2023 | Charlie P. Castro | 10,000.00 | Rivera Medical Center | Apr. 15-28, 2023 | Nelisa M. Castro (Wife) | As per case summary, the family pawned their tricycle to pay the hospital bill. Payee is asking financial assistance for the patient's maintenance medicines and for them to get back the pawned tricycle |
| Ck#1650689 06/07/2023 | Agustina C. Mantilla | 9,965.86 | Rivera Medical Center | May 19-25, 2023 | Crisanto V. Montilla (Husband) | As per case summary, the bill was already paid by the children of the patient |
| Ck#1651109 06/22/2023 | Rhea Mae T. Moya | 8,709.80 | Rivera Medical Center | May 16-23, 2023 | Owzul M. Moya (Husband) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |
| Ck#1651510 07/11/2023 | Yroll Gabriel P. Daño | 10,000.00 | Rivera Medical Center | June 17-19, 2023 | Jill C. Daño (Wife) | As per case summary, the bill was charged to hospital employee |
| Ck#1651525 07/11/2023 | Jane Lee P. Decrepito | 6,221.27 | Rivera Medical Center | June 9-13, 2023 | Khushi Decrepito (Daughter) | As per case summary, the family borrowed money to pay the hospital bill. Payee is asking financial assistance to pay the borrowed money |
| **TOTAL** | | **P140,166.28** | | | | |

According to the CSWDO, generally, the target beneficiary for grant of financial assistance for hospital fees are those patients who are still due for discharge and which

the hospital bill is not yet paid. They added that this was only allowed to applicants whose processing of the financial assistance had been delayed. However, the existing guideline explicitly provides that the "*Beneficiary must be admitted in Panabo City hospitals in available rooms*" (Section 2.2.1 Executive Order No. 58, series of 2021). Although the assessment for the qualification of the beneficiaries is within the jurisdiction of the CSWDO, it should be in line with the existing guidelines.

***E. Non-attachment of a General Intake Sheet and/or Case Summary of patient-beneficiary for the payment of the City Counterpart to Carmen District Hospital***

In CY 2021, a Memorandum of Agreement (MOA) was entered into by the City Government of Panabo and Carmen District Hospital in line with the CSWDO Assistance Program-Aid for Individuals in Crisis Situation (AICS) to render support for the indigent patients of the City who are confined in the said hospital.

As provided in the MOA, the City, thru the CSWDO, shall identify and recommend through a letter signed by it to the Office of the City Mayor, the indigent patients who may avail of the benefits of the Program as well as the extent of assistance that shall be provided to them by the hospital. In turn, the Carmen District Hospital, through its Accounting Office, shall furnish the City, on a quarterly basis or upon request by the City, with a list of patients who have availed of the program including the amount of assistance extended for monitoring and recording purposes of the City.

Review of the disbursement voucher for the payment of the City Counterpart to Carmen District Hospital via Check No. 1653739 dated October 13, 2023 amounting to P199,962.39 showed that neither a General Intake Sheet nor a Case Summary per patient was attached as a documentary requirement for the release of the check payment. Only the Summary List of Patients, and individual Guarantee/Referral Letters, Certificates of Indigency, Laboratory Request Forms and Hospital Bills were included as supporting documents.

As defined in DSWD Memorandum Circular No. 15, series of 2022, **General Intake Sheet** *is the form used by Social Workers to record the basic information of the beneficiary and the authorized representative, the problem presented, and intake the assessment as well as the recommendation of assistance to the beneficiaries.* Furthermore, **Case Summary** *refers to a document prepared by the local social welfare and development office or the social service office of the hospital. It is an overview of the socio-economic situation of the client or beneficiary as well as the brief assessment and recommendation of the Social Worker for that particular client or beneficiary.*

As emphasized in the said DSWD Memorandum Circular, the General Intake Sheet and Case Summary are basic documentary requirements for all crisis intervention programs. In the absence of both documents, there is a presumption that proper case assessment and evaluation was not conducted, thus raising issues on the qualification of the beneficiaries.

***F. Grant of financial assistance varies in amount***

Based on the reference gathered, ranges of the amount granted to the 18 types of financial assistance are as follows:

| Office | Type of Financial Assistance | Authorization/ Guidelines | Amount |
|---|---|---|---|
| CSWDO | 1. Pauper's Burial Assistance | City Ordinance No. 02-13, Art. 44 | P1,500 |
| | 2. Senior Citizen Burial Assistance | City Ordinance No. 02-13, Art. 46 | P10,000 |
| | 3. Veterans Burial Assistance | City Ordinance No. 02-13, Art. 41 | P12,000 |
| | 4. Centenarian Benefits | Not submitted | |
| | 5. Limited Financial Assistance for PWD's Medical Expenses | Senior Citizen & PWD Welfare Program Design CY 2023 | Max. of P3,000 |
| | 6. Bedridden PWD Financial Assistance | Senior Citizen & PWD Welfare Program Design CY 2023 | Max of P1,200 |
| CSWDO | 7. Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances | Executive Order No. 58, series of 2021 | Max of P1,200 |
| | 8. Limited Financial/Cash Assistance for Individuals (Hospital Bills) | Executive Order No. 58, series of 2021 | Max of P10,000 |
| | 9. Limited Financial/Cash Assistance for Individuals (Pharmacy Bills) | Social Protection Program Design CY 2023 | P1,200-P3,000 |
| | 10. Limited Financial Assistance for Exiting 4Ps | Social Protection Program Design CY 2023 | P5,000 |
| | 11. Donation-Regional Rehabilitation Center for Youth and Bahay Pag-Asa | MOA signed 10/07/2021 | Not specified |
| | 12. City Counterpart to Institution (Carmen District Hospital) | MOA signed CY 2021 | Not specified |
| | 13. City Counterpart to Southern Philippines Medical Center | MOA signed 06/19/2020 | P3,000/ P5,000 |
| | 14. City Counterpart to Luntiang Paraiso | MOA signed 10/13/2021 | Not specified |
| | 15. City Counterpart to Home for the Aged | MOA signed 11/04/2020 | P50,000 |
| | 16. Emergency Shelter Assistance | Social Protection Program Design CY 2023 | P5,000 |
| | 17. Sulong Dunong Program for Youth | City Ordinance No. 37-2020 | P1,500/ P1,000 |
| CMO-GAD | 18. Limited Financial Assistance | No established internal policy | Not specified |

However, examination of the transactions showed that the amount granted for one type of financial assistance varies per beneficiary, viz:

| Type of Financial Assistance | Amount Authorized | Reference | Amount Granted per beneficiary | No. of Beneficiary | Total |
|---|---|---|---|---|---|
| Limited Financial Assistance for | Maximum of P3,000.00 | Ck#1652488 08/17/2023 | P700.00 | 1 | P700.00 |
| | | | 1,000.00 | 7 | 7,000.00 |

| Type of Financial Assistance | Amount Authorized | Reference | Amount Granted per beneficiary | No. of Beneficiary | Total |
|---|---|---|---|---|---|
| PWDs Medical Expenses | | | 1,200.00 | 1 | 1,200.00 |
| | | | 1,300.00 | 1 | 1,300.00 |
| | | | 1,500.00 | 21 | 31,500.00 |
| | | | 1,800.00 | 1 | 1,800.00 |
| | | | 2,000.00 | 22 | 44,000.00 |
| | | | 2,200.00 | 1 | 2,200.00 |
| | | | 2,500.00 | 2 | 5,000.00 |
| | | | 2,800.00 | 1 | 2,800.00 |
| | | | 3,000.00 | 34 | 102,000.00 |
| | | | **Sub-total** | **92** | **P199,500.00** |
| Limited Financial/ Cash Assistance for Individuals in Difficult Circumstances | Maximum of P1,200.00 | Ck#s 1624502, 1625268, 1626029, 1626509, 1651227, 1651688, 1652158, 1652749, 1652869, 1663338 | 300.00 | 12 | P3,600.00 |
| | | | 400.00 | 2 | 800.00 |
| | | | 500.00 | 2247 | 1,123,500.00 |
| | | | 600.00 | 7 | 4,200.00 |
| | | | 700.00 | 143 | 100,100.00 |
| | | | 800.00 | 5 | 4,000.00 |
| | | | 1,000.00 | 277 | 277,000.00 |
| | | | 1,200.00 | 864 | 1,036,800.00 |
| | | | **Sub-total** | **3557** | **P2,550,000.00** |
| Limited Financial/ Assistance for Individuals (Pharmacy Bills) | P1,200.00-P3,000.00 | Ck#1626201 05/11/2023 | P1,200.00-P2,000.00 | 106 | P197,412.11 |
| | | | P2,001.00-P3,000.00 | 23 | 52,581.64 |
| | | | **Sub-total** | **129** | **P249,993.75** |
| Emergency Shelter Assistance | P5,000.00 per family | Summary of Obligations | 3,000.00 | 30 | P110,000.00 |
| | | | 5,000.00 | 22 | 90,000.00 |
| | | | **Sub-total** | **52** | **P200,000.00** |
| Limited Financial Assistance (CMO-GAD) | Not specified | Summary of Obligations | 2,500.00 | 8 | P20,000.00 |
| | | | 3,000.00 | 1 | 3,000.00 |
| | | | 5,000.00 | 7 | 35,000.00 |
| | | | 6,000.00 | 1 | 6,000.00 |
| | | | 10,000.00 | 1 | 10,000.00 |
| | | | **Sub-total** | **18** | **P74,000.00** |
| City Counterpart to Institution (Carmen District Hospital) | Not specified | Ck#1653739 10/13/2023 | P500.00-P5,000.00 | 13 | P43,711.25 |
| | | | P5,001-P10,000.00 | 16 | 119,145.82 |
| | | | P10,001-P13,000.00 | 3 | 37,105.32 |
| | | | **Sub-total** | **32** | **P199,962.39** |
| | | | **TOTAL** | **3880** | **P3,473,456.14** |

As shown in the above table, the following conditions are noted:

- For the Limited Financial Assistance for PWDs Medical Expenses, Individuals in Difficult Circumstances and Pharmacy Bills, the maximum

amount of financial assistance to be granted is set at P3,000.00. However, the amount received by each beneficiary varies from P700.00 to P3,000.00.

- For the Emergency Shelter Assistance, the authorized amount for the said grant is P5,000.00 per family as indicated in the Program Design. However, as observed in the Summary of Obligations, 30 families received P3,000.00 only while 22 families were able to receive P5,000.00.
- For the Limited Financial Assistance under the CMO-GAD, management was not able to present an internal policy or guideline of which the amount to be granted is based. The amount received by each beneficiary varies from P2,500.00 to P10,000.00.
- For the City Counterpart to Carmen District Hospital, the MOA does not also indicate the parameters for the amount of hospitalization assistance to be granted to each beneficiary. The amount received by each beneficiary varies from P500.00 to P13,000.00.

Absence of quantifiable parameters in determining the amount of financial assistance to be granted per beneficiary undermines the fairness and transparency in the implementation of the said programs specially that the determination of the amount granted is left to the discretion of the assigned personnel (in City Mayor's Office). There is also a high risk that inequity in the granting of the amount due to political affiliation, familiarity with the assigned personnel, and other biased factors may occur.

Internal control and internal policies are critical components of an organization's governance structure in ensuring that operations are conducted efficiently, financial reporting is accurate and compliance with laws and regulations is maintained. As an integral part of the operations, it is essential that internal controls are embedded into the key processes of the City Government. Particularly, formulation of specific policies and guidelines on the grant of financial assistance should be in placed to ensure consistency and uniformity in implementation of the program to deter possible bias and to promote impartiality, accountability, and transparency in the provision of government services.

**Recommendations:**

We recommended to the City Mayor the following course of actions:

a. City Social Welfare and Development Office (CSWDO) and City Mayor's Office (CMO) to conduct re-assessment of the existing guidelines and procedures on the grant of 18 types of financial assistance to individuals, to have it authorized through an SP Ordinance, and provide specific criteria (for each type) on the following:

- Qualified beneficiaries
- Documentary Requirements
- Conditions to qualify for financial assistance
- Parameters to quantify the amount to be granted
- Expected processing time
- Office and the position of personnel responsible for each procedures

b. CSWDO and Gender and Development Office to ensure that the details of requirements, procedures, responsible person, amount of fees and processing time for each type of financial assistance offered by the city government be included in its Citizen's Charter;

c. CSWDO and CMO to suspend the additional procedure (not included in the Citizen's Charter) of "Endorsement and determination of amount to be granted by the CMO" until the said procedure be included in the approved guidelines and in the Citizen's Charter;

d. CMO to suspend the issuance of guarantee letters to private hospital until a Memorandum of Agreement between the City Government and the private hospitals has been entered into and stop the issuance of checks in the name of the beneficiary in the granting of financial assistance for hospital fees;

e. CSWDO to refrain from allowing reimbursements of hospital fees as financial assistance by ensuring applications are processed within the expected processing time or until the revision of the existing guidelines allowing reimbursements has been approved; and,

f. CSWDO to ensure that the grant of financial assistance charged under the City Counterpart to Carmen District Hospital is supported with complete documentation and has undergone a thorough case assessment as evidenced by a properly accomplished General Intake Sheet and/or Case Summary.

**Management's Comments:**

The management was amenable to the audit observations and recommendations. They stated that prior to the receipt of the Audit Observation Memorandum, the proposed ordinance institutionalizing the Implementation of Medical Assistance to Individuals in Crisis Situation (AICS) in Panabo City, its Policies, Guidelines and Funds are already in second reading in the Sangguniang Panlungsod (SP) and the passing of the said ordinance will address some of the audit recommendations.

The CSWDO assured that the City has been strictly following the processes and procedures stated in the City's Citizen Charter. They further explained that the referral from the Office of the City Mayor is simply forwarding the cases of individuals seeking assistance who directly went to the Office of the Mayor instead of the CSWDO. They maintained that it is the CSWDO who assesses the qualification and the amount granted as financial assistance to individuals.

On the other hand, according to the CSWDO, the City has already halted the issuance of guarantee letters to private hospital, the issuance of checks in the name of the beneficiary in the granting of financial assistance for hospital fees, and the allowance of reimbursements of hospital fees as financial assistance.

As to the Limited Financial Assistance under the GAD Office, the CSWDO have informed the GAD to temporarily pause the issuance of referral for financial assistance until proper procedures and guidelines for the said program have been established. In order not to deprive GAD clients seeking for financial assistance, they shall be referred to CSWDO for the availment of other existing financial assistance programs of the City.

The CSWDO also stated that they will submit request to the SP's Committee on Social Services for the establishment, through an ordinance, of a sustainable guidelines for all types of assistance offered by the City Government. For the time being, prior to the realization of this effort, they have ensured that the maximum amount to be granted and requirements and criteria for qualification has been properly specified in the Program Design in CY2024 for the grant of various financial assistance with noted deficiencies.

**Auditor's rejoinder:**

The Audit Team maintains that processes and procedures in the granting of financial assistance should strictly follow those approved and published in the City's Citizen Charter. The management should ensure that any additional and/or revision in the processes and procedures should be included, approved and published first in the City's Citizen Charter before its actual implementation.

***Unliquidated Cash Advance and Fund Transfers to NGOs/POs and other LGUs***

**17. Cash advances for Official Travels and fund transfers to NGOs/POs and other LGUs amounting to P5,019,210.24 remained unliquidated as of December 31, 2023 due to non-adherence to the rules and regulations for the liquidation, while liquidations for Cash Advances for Operating Expenses amounting to**

**P2,119,833.73 were not verified due to non-submission thereof within the period prescribed casting doubts on the propriety of its disbursements.**

Section 89 of Presidential Decree (PD) No. 1445 provides the limitations on cash advances, to wit:

> No cash advance shall be given unless for a legally authorized specific purpose. A cash advance shall be reported on and liquidated as soon as the purpose for which it was given has been served. No additional cash advance shall be allowed to any official or employee unless the previous cash advance given to him is first settled or a proper accounting thereof is made.

The review made on the accounts of the City Government of Panabo pertaining to unliquidated cash advances and fund transfers disclosed a total balance of P5,019,210.24 as at December 31, 2023 as summarized in the following table (see *Annex V* for details).

| Account | Unliquidated Amount as of 12/31/23 |
|---|---|
| Advances to Officers and Employees | P437,659.00 |
| Other Receivables | 1,065,273.98 |
| Due from NGOs/POs | 1,528,023.75 |
| Due from LGUs | 1,988,253.51 |
| **Total** | **P5,019,210.24** |

These accounts were granted for official travels, as well as fund transfers to various NGOs/POs and other LGUs. Aging of the aforementioned unliquidated balances are shown below:

| Age | Amount (in Peso) | Percentage (%) from Total |
|---|---|---|
| More than 10 years | P2,372,211.48 | 47.26% |
| 5 to 10 years | 1,874,745.95 | 37.35% |
| Less than 5 years | 772,252.81 | 15.39% |
| **Total** | **P5,019,210.24** | **100.00%** |

While liquidation reports and its supporting documents for Cash Advances granted for operating expenses amounting to P2,119,833.73 has not been submitted within the prescribed period.

### *A. Unliquidated Cash Advances for Official Travel*

Item No. 4.1.3 of Commission on Audit (COA) Circular No. 97-002 dated February 10, 1997 (Re: Restatement with amendments of the rules and regulations on the granting, utilization and liquidation of cash advances provided for under COA Circular No. 90-331 dated May 3, 1990) provides:

> 4.1.3 A cash advance shall be reported on as soon as the purpose for which it was given has been served.

Also stated under the same Circular are the following periods to be observed in the liquidation of cash advances for Official Travel:

- *Official Travel* – within sixty (60) days after return to the Philippines in the case of foreign travel or **within thirty (30) days after return to his permanent official station in the case of local travel**.

The above condition indicates lapses in the observance of the rules and regulations in the enforcement to settle and liquidate the cash advances of the officials/employees particularly those granted for official travels which resulted to an outstanding balance of P1,502,932.98 as at December 31, 2023. Further details of which are shown in the following table.

| Age | As at December 31, 2023 | | | |
|---|---|---|---|---|
| | **Advances to Officers and Employees** | **Other Receivables** | **Total (in Peso)** | **Percentage (%) from Total** |
| More than 10 years | | P 849,455.73 | **P849,455.73** | 56.52% |
| 5 to 10 years | | 190,818.25 | **190,818.25** | 12.70% |
| Less than 5 years | P437,659.00 | 25,000 | **462,659.00** | 30.78% |
| **Total** | **P437,659.00** | **P1,065,273.98** | **P1,502,932.98** | **100.00%** |

Detailed review of the two accounts showed that out of the P437,659.00 balance of Advances to Officers and Employees, P297,173.00 were already due and demandable as at December 31, 2023 while P140,486.00 thereof are due in January 2024. The delays incurred in the liquidations ranges from 4 to 551 days, to wit:

| Date Granted | Check No. | Name of Accountable Officer | Date of Travel | Outstanding Balance | Due date for Liquidation | No. of Days delayed |
|---|---|---|---|---|---|---|
| ***Due and demandable as at December 31, 2023*** | | | | | | |
| 5/19/2022 | 1563173 | Capuyan, Jo-Anne R. | May 25- 27, 2022 | P43,980.00 | 06/28/2022 | 551 |

| Date Granted | Check No. | Name of Accountable Officer | Date of Travel | Outstanding Balance | Due date for Liquidation | No. of Days delayed |
|---|---|---|---|---|---|---|
| 2/9/2023 | 1623882 | Matutino, Conrad Theodore A. | March 8-12, 2023 | 32,480.00 | 04/12/2023 | 263 |
| 3/2/2023 | 1624457 | Ambasan, Rodrigo | March 8-12, 2023 | 30,280.00 | 04/12/2023 | 263 |
| 4/28/2023 | 1625880 | Langamon, Jhoanna Rose J. | May 2-5, 2023 | 10,020.00 | 06/05/2023 | 209 |
| 5/31/2023 | 1650527 | Pangilinan, Eranie L. | June 1-2, 2023 | 2,700.00 | 07/03/2023 | 181 |
| 8/10/2023 | 1652284 | Bautista, Rajed M. | August 13-19, 2023 | 30,395.00 | 09/19/2023 | 103 |
| 8/17/2023 | 1652475 | Bautista, Zsarylle O. | August 17-18, 2023 | 3,560.00 | 09/18/2023 | 104 |
| 8/17/2023 | 1652476 | Garcia, Pia C. | August 17-18, 2023 | 3,560.00 | 09/18/2023 | 104 |
| 9/15/2023 | 1653221 | Gencianos, Allan Roy H. | October 3-7, 2023 | 30,810.00 | 11/07/2023 | 54 |
| 10/11/2023 | 1653820 | Donalvo, Ben Jay O. | October 10-17, 2023 | 9,990.00 | 11/17/2023 | 44 |
| 11/6/2023 | 1654113 | Almanzor, Marife B. | November 6-25, 2023 | 49,699.00 | 12/27/2023 | 4 |
| 11/6/2023 | 1654112 | Gelig, Ella Kim S. | November 6-25, 2023 | 49,699.00 | 12/27/2023 | 4 |
| | | | ***Sub-Total*** | ***P297,173.00*** | | |
| ***Not Yet Due And Demandable As At December 31, 2023*** | | | | | | |
| 9/14/2023 | 1653134 | Persigas, Yza Vera P. | November 29-December 3, 2023 | P22,600.00 | 01/03/2024 | -3 |
| 9/14/2023 | 1653133 | Echavia, Rosalio M. | November 29-December 3, 2023 | 22,600.00 | 01/03/2024 | -3 |
| 9/14/2023 | 1653132 | Martin, Ereneo P. | November 29-December 3, 2023 | 22,600.00 | 01/03/2024 | -3 |
| 11/22/2023 | 1663469 | Perez, Jerlie S. | December 1-3, 2023 | 20,366.00 | 01/03/2024 | -3 |
| 12/6/2023 | 1663735 | Enad, Wendel M. | December 4-8, 2023 | 38,880.00 | 01/08/2024 | -8 |
| 12/12/2023 | 1663888 | Bangoy, Sherlou F. | December 13-15, 2023 | 13,440.00 | 01/15/2024 | -15 |
| | | | ***Sub-total*** | ***P140,486.00*** | | |
| | | | **TOTAL** | **P437,659.00** | | |

On the other hand, the P1,065,273.98 (*Annex V*) balance of Other Receivables pertains to Unliquidated Cash Advances for Official Travels that were reclassified because the accountable officers were no longer connected with the City Government.

Item No. 8 of the COA Circular No. 90-331 provides that *"It shall be the responsibility of the Head of the Agency to ensure the proper granting, utilization and liquidation of all*

*cash advances in accordance with these rules and regulations."* The existence of long outstanding cash advances indicates the City Government's leniency in the enforcement of the rules and regulations in the granting and liquidation of cash advances.

***B. Unliquidated Fund Transfers to NGOs/POs and Other LGUs***

Item 5.4 of COA Circular 2007-001 dated October 25, 2007 which prescribes the revised guidelines in the granting, utilization, accounting and auditing of the funds released to Non-Governmental Organizations/People's Organizations (NGOs/POs) state that:

> 5.4 Within sixty (60) days after the completion of the project, the NGO/PO shall submit the final Fund Utilization Report certified by its Accountant and approved by its President/Chairman to the GO, together with the inspection report and certificate of project completion rendered/issued by the GO authorized representative, list of beneficiaries with their acceptance/acknowledgement of the project/funds/goods/services received. The validity of these documents shall be verified by the internal auditor or equivalent official of the GO and shall be the basis of the GO in recording the fund utilization in its books of accounts. These documents shall support the liquidation of funds granted to the NGO/PO.

While Item 4.6 of COA Circular No. 94-013 dated December 13, 1994 on Rules and Regulations in the Grant, Utilization and Liquidation of Funds Transferred to Implementing Agencies provides that:

> Within ten (10) days after the end of each month/end of the agreed period for the Project, the IA shall submit the Report of Checks Issued (RCI) and the Report of Disbursement (RD) to report the utilization of the funds. Only actual project expenses shall be reported. The reports shall be approved by the Head of the IA.

As at December 31, 2023, the outstanding balance of Due from NGOs/POs amounted to P1,528,023.75 which is composed of the following:

<u>With age 5 to 10 years</u>

- Fund Transfer to Hito-Tilapia Growers Multi-purpose Cooperative in 2014 as City's Counterpart for MRDP CFAD Hog Production, P5,268.00

With more than 10 years

- Fund transfers to several NGOs/POs in 2012 to 2013 as City's counterpart for various MRDP CFAD projects, P1,522,755.75

While Due from Other LGUs amounted to P1,988,253.51 which composed of the following:

With age at less than five years

- Fund transfer to various Barangays of Panabo City as Support to BADAC Anti-Illegal Drug Activities in CY2021 and CY2023, P300,010.00; and,
- Fund transfer to Province of Davao del Norte – Regional Rehabilitation Center for Youth and Bahay Pag-asa, P9,583.81.

With age 5 to 10 years

- Fund Transfer to Provincial Government of Davao del Norte in 2017 for city's counterpart in the Rehabilitation of Brgy. Little Panay-Katipunan-Kasilak Farm-to-Market Road under the PRDP Project, P378,659.70
- Fund Transfer to Davao del Norte Hospital – Carmen Zone in 2017 as City's counterpart for intended indigent clients, P200,000.00
- Fund Transfers to Brgys. Manay, J.P. Laurel, and San Pedro in 2016 and 2017 for City's counterpart for the purchase of one (1) unit dump truck for each barangay at P300,000.00, P300,000.00 and P500,000.00, respectively, P1,200,000.00

The City Accountant have sent letters to the concerned LGUs and NGOs demanding the immediately liquidations of the above balances. However, no liquidations have yet been made.

The Management has also requested for a write-off on some of the dormant accounts enumerated above but was returned by the Audit Team without prejudice of re-filing due to lacking documentary requirements. However, as at year-end, the request for writing-off has not yet been re-filed.

The presence of long-outstanding and dormant fund transfers to NGOs/POs as well as other LGUs may create doubt as to whether the funds were properly used by the recipient NGOs/POs and LGUs, and whether the intended projects/activities related to the funds received were indeed implemented/completed.

***C. Non-submission of the liquidation reports for Cash advances for Operating Expenses within the prescribed period***

COA Circular No. 97-002 provides the following period to be observed in the liquidation of cash advances for operating expenses:

- *Petty Operating Expenses and Field Operating Expenses* - within 20 days after the end of the year; subject to replenishment during the year.

In addition, Item 5.3 thereof provides the period in which liquidation reports and its supporting documents should be submitted to the Auditor, viz:

> 5.3 Within ten (10) days after receipt of the report and supporting documents from the AO, the Accountant shall verify the report, record it in the books and submit the same with all the vouchers/payrolls and supporting documents to the Auditor. The cash advance shall be considered liquidated upon the recording thereof by the Accountant in the books of accounts although not yet audited by the COA auditor.

As at December 31, 2024, the Advances for Operating Expenses have an outstanding balance of P2,119,833.73 which composed of the following:

| Accountable Officer | Purpose of Cash Advance | Date Granted | Check No. | Amount |
|---|---|---|---|---|
| Jose E. Relampagos | Cash advances for confidential fund for the 4th quarter of CY 2023 | 11-Dec-23 | 1663829 | P344,833.73 |
| Bernadas, Maritess C. | Cash advances for limited financial assistance | 04-Sep-23 | 1652869 | 250,000.00 |
| Malakingbato, Karen A. | Cash advances for individual | 20-Nov-23 | 1663338 | 250,000.00 |
| Bautista, Nasuha T. | Cash advances for Bedridden PWD | 10-Nov-23 | 1654249 | 250,000.00 |
| Lacuin, Chareina Joy G. | Cash advances for limited financial assistance | 14-Sep-23 | 1653191 | 500,000.00 |
| Domingo, Melvina A. | Cash advances for pauper burial, sulong-dulong & sulong-children | 10-Nov-23 | 1654248 | 525,000.00 |
| **TOTAL** | | | | **P2,119,833.73** |

By application the rules and regulations, liquidations reports and its supporting documents of cash advances for operating expenses granted in CY2023 should be submitted to the Auditor on January 30, 2024. However, the reports and documents were

not submitted within the prescribed thereby precluding the Audit Team to verify propriety the use of the cash advances. As of date of AOM, reports and documents for November and December 2023 transactions were not yet submitted to the Office of the Audit Team.

In this light, due to the failure to strictly comply with the established guidelines on the liquidation of cash advances and fund transfers, the agency undermines critical control procedures in safeguarding government funds and thereby exposes it to the risk of possible loss and misuse. It is therefore important to emphasize the responsibility of the City Government to ensure that these unliquidated accounts should not be left dormant. Regular monitoring and evaluation of ongoing projects, coupled with the constant demand for a full liquidation of cash advances granted and transferred funds should be made.

This observation has been included in the Annual Audit Report of CY 2019 and the recommendations remained not implemented as of December 31, 2023, thus, this restatement.

Finally, we bring the Management's attention to COA Circular No. 2023-008 dated August 17, 2023 which prescribes the Guidelines on the Proper Disposition of Dormant Accounts of National Government Agencies (NGAs) and Instrumentalities, Local Government Units (LGUs) and Government Corporations (GCs), amending COA Circular No. 2016-005 dated December 19, 2016 re: Guidelines and procedures on the write-off of dormant receivable accounts, unliquidated cash advances and fund transfers of National Government Agencies (NGAs).

The Management may refer to the above-stated COA Circular in the re-filing of their Request for Write-off of the Dormant Accounts. This Circular has revised the procedures to fast track the cleansing of dormant accounts of government agencies for the fair presentation of accounts in the financial statements. <u>This remedy can only be availed in one-time-basis, thus the City Accountant should ensure that all dormant accounts are included when the City Government request for its write-off.</u>

**Recommendations:**

We recommended the City Mayor the following courses of action:

a. To immediately require the officers and employees with cash advances for official travel that are already due and the City Accounting Office to submit

report of the status thereof to the Audit Team on or before April 1, 2024, otherwise, demand letters will be issued to the accountable officers;

b. For unliquidated fund transfers to the Barangays of Panabo City, the City Accounting Office to review the books of the Barangays if disbursements have been made for the purpose of the fund transfer and use the documents thereof as support to the recording of the liquidation of the fund transfer;

c. For unliquidated fund transfers to Provincial Government of Davao del Norte, the City Accounting Office to coordinate with Provincial Accounting Office for the immediate liquidation thereof;

d. For accounts that passed the criteria of dormancy, submit request for its writing-off in the books of the City Government in accordance with COA Circular No. 2023-008 dated August 17, 2023;

e. The City Accounting Office submit immediately to the Audit Team the liquidation reports including the supporting documents for all Cash Advances granted for Operating Expense in CY2023 on or before April 1, 2024, otherwise, demand letters will be issued; and,

f. The City Legal Office to impose legal remedies in cases of non-liquidation by the accountable officers with outstanding cash advances despite receipt of demand letter.

**Management's Comments:**

The management was amenable to the audit observations and recommendations. The City Accounting Office, however, maintained that it is the standard operating procedure of their office to send notice to accountable officers who failed to liquidate cash advances beyond the prescribed period. It was noted that some accountable officers still failed to liquidate. Final notices have already been issued to them and failure to comply thereof will result in the referral of the case to proper offices for the imposition of proper sanctions.

Although beyond the prescribed period, the liquidations for all Cash Advances granted for Operating Expense in CY2023 have already been submitted to the Office of the Audit Team on March 12, 2024. The CAO explained that the delay was inevitable due to the voluminous documents to be verified. Nonetheless, they will continue to strive to submit the liquidations within the prescribed periods.

On the other hand, demand letters were also issued to Barangays for the liquidations of fund transfers; however, no liquidations were made. As such, they agreed to check disbursements made by the Barangay in their books in connection to the fund transfer and coordinate with them for the preparation of the liquidation report. For other fund transfers to LGUs, it has been discovered that some which are transfers without conditions, thus, it shall adjusted as donations. On the other hand, the fund transfer to the Provincial Government of Davao del Norte is active.

Finally, they committed to facilitate the request for write-off of the dormant accounts in accordance with latest COA issuance within the year.

**Auditor's rejoinder:**

The CAO is requested to furnish the Audit Team of the copy of subsequent notices sent to accountable officers who failed to liquidate their cash advance within the prescribed period to enforce the proper actions as prescribed by the applicable laws, rules and regulations. The CAO is also enjoined to determine whether or not the purpose of the fund transfer to the Provincial Government of Davao del Norte has been completed. If so, the return of the balance should be demanded.

***Various deficiencies in the internal control of collections and deposits***

**18. Various deficiencies in the internal control for the collections and deposits of collectors and in the handling of cash tickets were observed exposing cash and accountable forms to risk of loss and misuse.**

Section 103 (f) of RA 7160, also known as "The Local Government Code" provides:

> Every officer of the local government unit whose duties permit or require the possession or custody of local funds shall be properly bonded, and such officer shall be accountable and responsible for said funds and for the safekeeping thereof in conformity with the provisions of law.

***A. Non-remittance of collections to the Liquidating Officer at the close of the business day and unsatisfactory safekeeping measure of the place where the funds are kept***

Section 69(1) of P.D. 1445 directs the remittance or deposit of collection in the full amount as follows:

> Public officers authorized to receive and collect moneys arising from taxes, revenues, or receipts of any kind shall remit or deposit intact the full amounts so received and collected by them to the treasury of the agency concerned and credited to the particular accounts to which the said moneys belong…xxx…

Pursuant to the above provision, Section 90 of the Local Treasury Operations Manual Edition II provided rules on reporting the collections and deposits as follows:

> A. …xxx…At the close of each business day, these collectors/tellers shall accomplish the Report of Collections and Deposits (RCDs) in four copies. The original and two copies, together with the duplicates of the Official Receipts issued, shall be submitted to the Local Treasurer/Cashier to whom the cash collected shall be turned over. The fourth copy of the RCD shall be retained by the collector/teller concerned…xxx…" (Underscoring supplied)

An exception of the daily turn-over of cash collected was provided under the same section, to wit:

> B. In case of collectors assigned to the field, where travel time from their places of assignment to the Local Treasurer's Office is more than one day, turn-over of collection shall be made at least once a week or as soon as the collections reach Php5,000.00…xxx…

Our review of the collection processes and procedures being implemented in the LGU disclosed that the collections made by the collectors were not remitted to the Liquidating Officer at the close of the business day; instead collections made within the day were consistently remitted on the next working day. Furthermore, there were cases that collections made on Fridays were not remitted until the following Monday, which exposes the collected funds to a potential misuse during weekends, when the money remains in the possession of the collectors. Presented below are the sample collections made on Fridays, to wit:

| Name of Collector | Collections | | | Date of Remittance | Reference |
|---|---|---|---|---|---|
| | Date of Collection | Amount | | | |
| | | Cash | Check | | |
| Janeth P. Loquillano | 20-Oct-2023 | P963,908.13 | P631,191.34 | 23-Oct-2023 | REM-JPL00367 |
| Liezel P. Buenaobra | 13-Oct-2023 | 232,635.35 | 1,142,662.73 | 16-Oct-2023 | REM-LPB00320 |
| Lucia D. Torrejano | 27-Oct-2023 | 224,073.87 | 185,550.61 | 31-Oct-2023 | REM-LDT01657 |
| Henry C. Payot | 20-Oct-2023 | 166,171.42 | 0.00 | 23-Oct-2023 | REM- |

| Name of Collector | Collections | | | Date of Remittance | Reference |
|---|---|---|---|---|---|
| | Date of Collection | Amount | | | |
| | | Cash | Check | | |
| | | | | | HCP01543 |
| Ninfa M. Pausal | 27-Oct-2023 | 141,569.91 | 0.00 | 31-Oct-2023 | REM-NMP00997 |
| Dennis M. Olpindo | 13-Oct-2023 | 74,371.76 | 0.00 | 16-Oct-2023 | REM-DMO01102 |
| Harvey E. Alcomendras | 13-Oct-2023 | 71,337.48 | 600.00 | 16-Oct-2023 | REM-HEA00640 |
| Marcelo Jr. A. Jaso | 13-Oct-2023 | 67,138.78 | 0.00 | 16-Oct-2023 | REM-MAJ01525 |
| Jennibeth D. Legitimas | 13-Oct-2023 | 12,647.00 | 0.00 | 16-Oct-2023 | REM-JDL01033 |

Although the collectors were stationed at the City Treasurer's Office (CTO) and at offices which can be travelled within less than a day, collections were not remitted at the close of business day to the Liquidating Officer. According to the CTO, a 3pm cut-off of all collections within the day has been implemented thru a memorandum issued on the 4th quarter of 2023 in anticipation of the renewal of business permits and the payment of real property taxes for CY2024. Thus, collections after cut-off are remitted on the next working day.

However, the rationale for the cut-off is unclear since all collections for the day are deposited by the CTO on next banking day. Further, the Liquidating Officer is still in the office until the closing of the business day. Consequently, this practice poses possible risks in the safekeeping of government funds as follows
:

1. The unremitted collection after cut-off may be used to cover cash shortages due to loss or misuse
2. The collections are exposed to possible personal application of fund, theft, or robbery while at the custody of the collectors due to lapses in the safekeeping thereof

Unfortunately, on February 8, 2024, we received information from the CTO pertaining an incident involving the loss of cash collections amounting to P172,429.77 due to possible robbery. They assured that collections after cut-off are usually placed in a secured vault within the CTO and it was only this incident that the collector has unintentionally left the collection in the chair of the cubicle. Although, the investigation by the management is still on-going, we observed lapses in the safekeeping measures for the government funds that require immediate action. In particular, the windows and doors of the CTO were also not reinforced with metal railings and deadlocks (*see image in the next page*). According to the CTO, the suspected person who has taken the funds used the window to enter and

exit the office. Thus, the incident could have been prevented if railings and locks were installed in the windows of the CTO.




This unfortunate event underscores the critical importance of adherence to established protocols outlined in earlier cited laws, rules and regulations. Had these procedures and protocols been followed diligently, the occurrence of such loss could have been avoided. We invite the management attention to Sections 104 and 105 of P.D. 1445 providing the liabilities of accountable officers for failure to safeguard governments funds entrusted to them, to wit:

> Section 104. Records and reports required by primarily responsible officers. The head of any agency or instrumentality of the national government or any government-owned or controlled corporation and any other self-governing board or commission of the government shall exercise the diligence of a good father of a family in supervising accountable officers under his control to prevent the incurrence of loss of government funds or property, otherwise he shall be jointly and solidarily liable with the person primarily accountable therefor. The treasurer of the local government unit shall likewise exercise the same degree of supervision over accountable officers under his supervision, otherwise he shall be jointly and solidarily liable with them for the loss of government funds or property under their control.

Section 105 - Measure of liability of accountable officers.

(a) Every officer accountable for government property shall be liable for its money value in case of improper or unauthorized use or misapplication thereof, by himself or any person for whose acts he may be responsible. He shall likewise be liable for all losses, damages, or deterioration occasioned by negligence in the keeping or use of the property, whether or not it be at the time in his actual custody.
(b) Every officer accountable for government funds shall be liable for all losses resulting from the unlawful deposit, use, or application thereof and for all losses attributable to negligence in the keeping of the funds.

***B. No documents were submitted to show designation of sub-collectors (assigned in CEEMDO) by the City Mayor***

During the assessment of the City Government's internal control measures on the collections and remittances by the collector for cash tickets, it has been observed that the designated regular collector in the City Economic Enterprise Management and Development Office (CEEMDO) is employing several sub-collectors.

For CY2023, the CEEMDO has a total of 57 collectors/sub-collectors composed of 15 permanent, 4 casual, and 38 job order personnel. Based on the information gathered, the sub-collectors were assigned by the CEEMDO (not by the CTO) and are under the direct supervision of the said office. According to the CTO, the records of their official designation as sub-collectors were kept at their office. We issued an Audit Query Memorandum to request from the CEEMDO for the copies of the designation as sub-collectors by the City Mayor, however, as of date of this AOM, the Audit Team have not receive it.

Although Section 65, Chapter 3, Volume I, GAAM allows collectors/tellers to be designated to assist the local treasurer, Section 64 of PD 1445 prescribes that designation of collecting officers for government agencies should be made by the City Mayor as the head of the agency, to wit:

The head of an agency may designate such number of collecting officers or agents as may be deemed necessary. They shall render reports of their collections, under the regulations of the Commission, to be submitted promptly to the auditor concerned who shall conduct the necessary examination and audit within thirty days from receipt thereof.

Absence of the designation by the City Mayor as sub-collectors, they should not be authorized to collect government funds.

Further, Section 470 (d)(2) of RA 7160 provides that "The (local) treasurer shall take custody of and **exercise proper management of the funds** of the local government unit concerned. Thus, direct supervision over these sub-collectors shall also be under the direct supervision of the local treasurer.

***C. Sub-collectors does not prepare and submit Report of Collections and Deposit***

Cash collections for cash tickets are made by the sub-collectors and remitted to the regular collector when all of the cash tickets were consumed. The designated collector, on the other hand, remits daily to the CTO the collections received from the sub-collectors.

During examination of cash accounts, it has been observed that sub-collectors were not required to prepare and submit RCDs. The requirement under Section 90 of the LTOM Edition II is also required for sub-collectors since they are in custody of government funds. As such, at the close of each business day, they should be required to accomplish the RCD in four copies and submit the original and two copies to the regular collector whom the cash collected shall be turned over. The fourth copy of the RCD shall be retained by the sub-collector.

The RCD prepared by the sub-collector should be attached to the RCD prepared and submitted by the regular collector to the Liquidating Officer upon the daily turn-over of collections for cash tickets. This deficiency devoid the liquidating officer to verify that all remittances made by the sub-collector for the day were all turned-over by the regular collector.

***D. Record of the receipt, issue and transfer of the cash tickets from the regular collector to the sub-collectors were not maintained***

It has been observed that cash tickets issued to the regular collector are further issued to sub-collectors. Further, these sub-collectors are distributed into three (3) shifts in day and each shift is composed of eight (8) hours. Based on the verbal interview, since, the regular collector only reports during the day, the cash tickets are left in the office and during the night and early morning shifts, sub-collector may get cash tickets from the office even without the presence of the regular collector.

Section 86 (D) (1) of LTOM Edition II which requires a permanent record book for accountable forms, to wit:

Treasurers/collecting officers accountable for receipts/stamps and other accountable form in their possession or in the hands of deputies and other employees entrusted therewith, shall keep adequate permanent record books which should show, among other things, the whereabouts of the accountable forms with which they are charged, the name and title of then officer or employee to whom such forms have given, and the evidence of the receipt and subsequent sale and issuance of the same. The record books shall contain the following column headings:

a. Booklet number/Quantity (in case of official receipt without money value)
b. Serial Number/Total value (in case of official receipt with money value)
c. Name (in print) of Accountable Officers to whom issued
d. Signature of accountable officer
e. Date received by the accountable officer
f. Date reported totally used, sold, issued

Purportedly, a logbook is provided and left in the office for the sub-collectors to record the cash tickets taken in the absence of the designated collector. However, the said logbook has not been presented to the Audit Team during cash examination.

The above arrangement is not a proper safeguarding of accountable forms thereby exposing it to possible loss and misuse. On other hand, non-maintenance of the record book for cash tickets issued to sub-collectors is a weakness in the City's internal control to ensure accountability.

Cash is the most liquid asset and the most susceptible to loss and misappropriation if not properly controlled. For this reason, laws, rules and regulations on the handling of collections and accountable forms are put in place to serve as an internal control measure to safeguard it from loss either thru fraud or error. Thus, it is incumbent upon the local treasurers as head of the local treasury, as well as upon the local chief executive as head of the LGU, to ensure the observance and implementation of safeguards enshrined in the rules and regulation of cash and accountable forms.

**Recommendations:**

We recommended the City Mayor of the following courses of action:

a. The City Treasurer to ensure that collectors remit collections intact at the close of the business day to the City Treasurer or Liquidating Officer;

b. The City Mayor immediately order the installation of metal railings and deadlocks to the windows and doors of the City Treasurer's Office and reinforce safety and security measures to all collecting offices of the City;

c. The City Legal Office to furnish the Audit Team of the Final Investigation Report and the action taken by the management to prevent the occurrence of the same incident;

d. For internal control purpose, clear guidelines/policy on procedures and recording for collections and deposits including the handling of accountable forms concerning the designation of sub-collectors should be established by the CTO;

e. The City Treasurer, in coordination with the CEEMDO, to submit immediately the copies of the City Mayor's designation of the sub-collectors and directly supervise the collections, deposits and usage of accountable forms of the sub-collectors;

f. The City Treasurer require the sub-collector to prepare Reports of Collections and Deposits (RCDs) in accordance with Section 90 of Local Treasury Operations Manual, Edition II (LTOM) and require the regular collector to attached the same to their RCDs submitted to the Liquidating Officer; and,

g. The City Treasurer require the regular collector to maintain a permanent record book of the receipt, issue and transfer of the cash tickets to sub-collector in accordance to Section 86 (D) (1) of LTOM.

**Management's Comments:**

The City Treasurer explained that upon occurrence of loss of the collection due to alleged robbery that occurred in the Office of the City Treasurer, he immediately issued Memorandum No. 2024-02-0048 dated February 8, 2024 reiterating daily turn-over of collections to the Liquidating Officer and the updated posting in the Cashbooks of the Turned-over Collections as well as its proper handling.

Accordingly, they have already requested the City Engineering Office to assist the CTO in the design and installations of railings at the tellers' windows. For the time being, the office will purchase security devices to secure windows pending the request. This is

addition to the existing CCTV cameras that are operating and continuously recording the office premises for 24 hours and seven (7) days a week.

The CTO and CEEMDO have already conducted a meeting to discuss the noted observations and actions to be taken to implement the audit recommendations. It has been agreed by the two offices that the sub-collectors shall be formally designated by the CTO through the approval of the City Mayor and shall be properly bonded in accordance with the applicable rules and regulations. The sub-collectors shall also be required to use the ETRACS to encode their collections and remittances. Finally, they shall be required to maintain permanent record book for the recording of collections and remittances in compliance with the LTOM.

**Auditor's rejoinder:**

As of date this report, the Audit Team has not yet received written reply from the City Legal Office.

***Non-Remittance of National Meat Inspection Service quarterly share***

**19. The share of National Meat Inspection Service (NMIS) pertaining to veterinary inspection fees amounting to P1,057,937.06 were unremitted and recorded under the Due to NGAs account inconsistent with Section 7(b) of Executive Order No. 137 dated November 28, 1993, thereby depriving the said agency of additional funds to support the implementation of various programs and activities in line with their mandate.**

Section 7(b) of Executive Order No. 137 which provides for the implementing rules and regulations governing the devolution of certain powers and functions of the national meat inspection commission to the local government units, states:

> (b) The twenty five (25) per cent of the veterinary inspection fees (ante and post mortem) collected by the city and municipalities in class "AAA" shall be shared and remitted by the city and municipal treasurer to the NMIC on a quarterly basis but not beyond five (5) days after the end of each quarter. As in the case of class "AA", the same shall accrue to whoever is directly supervising the inspection service as mentioned in Section 3 of this Order.

In addition, the above-stated provision is emphasized in Rule 11.2 Implementing Rules and Regulations (IRR) of RA 9296 known as the Meat Inspection Code of the Philippines, to wit:

> Rule 11.2 Ante and post-mortem inspection fees shall be shared by the national government and LGUs as provided under Executive Order 137.

Review of the subsidiary ledgers under the Due to NGAs account for General Fund showed a total of P1,057,937.06 representing the City's payable to National Meat Inspection Service as its share for veterinary/meat inspection fees (ante and post mortem). A similar observation has been noted in CY 2022 audit and was communicated to the Management through AOM No. 23-013 dated February 3, 2023 which shows that a total of P1,107,161.44 has been unremitted to NMIS. Correspondingly, the Management issued check no. 1534562 dated February 14, 2023 to NMIS for the remittance of the aforesaid amount and recorded in the books through Journal Entry Voucher (JEV) No. 2023-02-001739.

Shown below is the remittance and collection of the City Government of veterinary/meat inspection fees (ante and post mortem) for CY 2023:

| | **Ante Mortem (SL code 20201050-01-001)** | **Post Mortem (SL code 20201050-01-002)** | **Total** |
|---|---|---|---|
| Unremitted balance as of 12/31/22 | **P300,770.10** | **P806,391.34** | **P1,107,161.44** |
| Remittance (ck no. 1534562 dtd 2/14/23) | (1,107,161.44) | 0.00 | (1,107,161.44) |
| 1st Qtr 2023 | 235,353.91 | 302,205.15 | 537,559.06 |
| 2nd Qtr 2023 | 12,191.25 | 51,292.50 | 63,483.75 |
| 3rd Qtr 2023 | 13,158.75 | 55,927.50 | 69,086.25 |
| 4th Qtr 2023 | 170,294.00 | 217,514.00 | 387,808.00 |
| **TOTAL** | **(P375,393.43)** | **P1,433,330.49** | **P1,057,937.06** |

As reflected in the table above, the City Government has only remitted to NMIS its share of CY 2022 veterinary/meat inspection fees and no additional remittance has been made for CY 2023 collections. Furthermore, a negative balance of P375,393.43 can be observed on SL code 20201050-01-001 (ante-mortem) since the City Accounting Office recorded the full CY 2022 remittance only to that sub-account. The recording of remittance should have been recorded on both sub-accounts, ante-mortem and post-mortem, to accurately reflect the balance of each sub-account and avoid the presence of negative balances. Although the negative balance does not affect the total amount of the City's payable to NMIS, this could still affect the fair and accurate presentation of the

specific sub-accounts and may affect Management's ability to render appropriate decisions.

Moreover, based on the submitted Agency Action Plan and Status of Implementation (AAPSI) by the Management to the Audit Team on December 12, 2023, the City Treasurer's Office stated that they have assigned one (1) personnel to take charge of the delivery of checks to comply with the guidelines on the quarterly remittance of share to NMIS. However, it is apparent that the quarterly remittance is not being observed which resulted to the accumulation of a significant unremitted amount as at year-end.

The continued non-remittance by the City is in violation of the aforesaid provisions which requires the City Treasurer to remit the 25% share of NMIS on a quarterly basis. More so, the inability of the City to perform such duty has deprived the NMIS of additional resources to fund its priority programs and projects aligned with its mandate.

**Recommendations:**

We recommended to the City Mayor the following course of actions:

a. The City Treasurer to immediately remit the P1,057,937.06 share of NMIS in the veterinary inspection fees and, thereafter, ensure its quarterly remittance; and,

b. The City Accountant to prepare an adjusting/correcting entry to record the CY 2022 remittance in SL Code 20201050-01-002 (post-mortem) and eventually remove the negative balance in SL Code 20201050-01-001 (ante-mortem) for the fair and accurate presentation of the sub-accounts.

**Management's Comments:**

The management was amenable with the audit observation and audit recommendation. The CTO and CAO have immediately remitted the P1,057,937.06 to NMIS under LBP Check No. 1610444 dated February 23, 2024. While the negative balance of under SL Code 20201050-01-001 (ante-mortem) have adjusted under JEV No. 2024-01-000236.

They explained that the non-remittance was due to miscommunication between the CTO and CAO as to who shall initiate the processing of the remittance. Nonetheless, they committed to ensure timely remittance every quarter thereof in the ensuing years.

***Restatement of Other Unimplemented Prior Years' Audit Recommendations***

**20. Due to NGAs account still contained balances which have been dormant for up to sixteen (16) years amounting to P1,217,601.03, thereby, depriving the donor agencies of additional resources to fund other priority projects.**

This observation has been noted in the CY 2022 audit and AOM No. 23-007 dated January 25, 2023 has been issued to Management. Notably, Management has immediately acted on some of the dormant fund transfers significantly decreasing the said amount from P3,251,430.38 in CY 2022 to P1,217,601.03 in CY 2023, representing a 63% decrease in the dormant balances.

However, it is important to note that the remaining P1,217,601.03 is still a significant amount and the City's continuous retention of these funds deprived the donor agencies of additional funds which could have been used for their other programs and projects. Details of the said funds are shown in the following table.

| Source Agency | Name of Project | Earliest Transaction per Subsidiary Ledger | Total | No. of years dormant |
|---|---|---|---|---|
| DILG | LGSEF-LAA Projects | 11/14/2007 | P24,610.60 | 16 |
| DILG | Aid to Moral Recovery Program* | 01/08/2009 | 30,000.00 | 14 |
| DILG | SDG-FACES Projects* | 11/03/2017 | 16,115.00 | 6 |
| DENR | 50% Mobilization of Seeding Program* | 11/14/2007 | 20,083.34 | 16 |
| DIDP | FMR - Malativas to San Roque* | 12/09/2010 | 31,523.14 | 13 |
| PHIC | PHILHEALTH-BHW-Component Project for Indigent | 11/14/2007 | 250.00 | 16 |
| For Recon | PDAF - Various Projects | 11/14/2007 | 100,000.00 | 16 |
| For Recon | PSF FUND-Construction of School Building | 11/14/2007 | 59,515.65 | 16 |
| For Recon | PHIL.CENTERFORPOLICYSTUDIES-GOFORDEV Fund | 11/14/2007 | 5,600.00 | 16 |
| For Recon | Barangay Kiotoy (BNB) Reimbursement of MS from IPHC to LGU | 10/24/2008 | 7,722.85 | 15 |
| For Recon | DALGU Fund-Department of Agriculture | 11/14/2007 | 78,420.00 | 16 |
| For Recon | From TOURISM PROMOTION PROGRAM CY 2006, for IT Equipment acquisition | 11/14/2007 | 10,617.00 | 16 |
| For Recon | Local Enhancement & Dev't for Health (LEAD) | 11/14/2007 | 106,393.45 | 16 |

| Source Agency | Name of Project | Earliest Transaction per Subsidiary Ledger | Total | No. of years dormant |
|---|---|---|---|---|
| For Recon | Council of Women | 11/14/2007 | 46,591.00 | 16 |
| For Recon | Kilos Asenso Program SARO # ROCS-09-03641 dtd 05-28-09 | 10/30/2009 | 680,159.00 | 14 |
| **TOTAL** | | | **P1,217,601.03** | |

These accounts remained recorded in the Trust Fund books of the City which have been dormant for six (6) years to sixteen (16) years. Therefore, it is safe to assume that the purposes of these funds have already been completed.

COA Circular No. 94-013 issued on December 13, 1994 provides the rules and regulations in the grant, utilization and liquidation of transferred funds. Section 6 of the Circular provides the duties and responsibilities of the implementing agencies. Among others, it states that the implementing agencies should:

> 6.7 return to the SA (source agency) any unused balance and refund of disallowance upon completion of the project

In addition, Executive Order (EO) No. 431 dated May 30, 2005 directed the reversion of all dormant accounts, unnecessary special and trust funds to the general fund and for other purpose. Pursuant to the said EO, Joint Circular No. 4-2012 of the Permanent Committee of the Department of Finance, Department of Budget and Management, and the Commission on Audit defines "unnecessary special and trust fund" as:

> …authorized special and trust funds maintained by government agencies with AGDBs but which are no longer necessary for the attainment of the purposes for which said funds were established i.e. specific projects/programs, the implementation of which have been completed or abandoned.

Thus, in accordance with the above cited rules and regulations, it is proper to return the funds to the source agencies or the Bureau of the Treasury where ever applicable.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor that the City Accounting Office and the City Treasurer's Office return immediately the remaining unused balances

of fund transfers received to its source agencies, and if the source agencies could no longer be identified, the fund should be returned to the Bureau of the Treasury (BTr).

**Management's Comments:**

The management is amenable to the audit observation and recommendations. According to the City Accountant, after thorough reconciliation and verification of the existing records and confirmation with the concerned agencies, they have already identified accounts that will be returned to the source agency and other accounts will be reverted to the General Fund. As such, corresponding entries have already been made in the January and February 2024. Only one account has remained for reconciliation and confirmation with the source agency. Nonetheless, the City Accountant assured that depending on the results thereof, the funds will returned to the source agency or reverted to the General Fund.

**Auditor's rejoinder:**

The journal entries made as well as its supporting documents are subject for review and verification of the Audit Team.

21. **Lot purchased at Barangay Quezon in CY 2015 amounting to 4,722,600.00 intended for the Housing Program for the employees of the City were charged against the 20% Development Fund inconsistent with DBM-DOF-DILG Joint Memorandum Circular No. 1, s.2020, and Administrative Order No. 135, s. 2005, thus hampering the delivery of a just, dynamic and comprehensive housing development for the homeless and under-privileged members of the society.**

As presented in the CY 2021 Annual Audit Report, a parcel of land in Barangay Quezon was purchased by the City in CY 2015 amounting to P4,722,600.00 for its Socialized Housing Program. The funds for the said acquisition were sourced out of the 20% Development Fund as verified from the Statement of Appropriations, Allotments, Obligations and Balances (SAAOB) for CY 2015, with details shown hereunder:

| | |
|---|---|
| **Location** | Barangay Quezon |
| **Area** | 23,613 sq. m. |
| **Date of Payment** | September 11, 2015 |
| **Check No.** | 1142289 |
| **Amount** | P4,722,600.00 |

One hundred nineteen (119) government employees were identified as beneficiaries for the housing program proposed to be located therein. Their status of employment as at December 31, 2021 are shown as follows:

| Status of Employment | No. of Employees |
|---|---|
| Permanent | 81 |
| Coterminous | 6 |
| Casual | 9 |
| Retired/Deceased/Resigned | 23 |
| **Total** | **119** |

An update of the employment status was requested from the City Housing Section. However, as of writing, the requested updated list were not yet submitted to COA Office.

As pointed out in the previously issued Audit Observation Memorandum (AOM No. 2022-17 dated February 22, 2022), the employees of the City Government of Panabo are unqualified beneficiaries for the Socialized Housing Program since: (1) thirty-eight (38) beneficiaries already owned lots as per certification from the City Assessors Office and; (2) the beneficiaries does not fall under the definition of Informal Settlers.

As per management justification, the land was purchased with the intention of utilizing it for the Housing Program of the City for its employees as part of their "Other Benefits" under the Collective Negotiation Agreement (CNA) authorized per SP Resolution No. 761, s.2014 and No. 642, s.2017. A copy of the said resolutions were requested from the City Housing Section, however, the office was not yet able to submit the said documents to COA as of writing.

Based on the above premise, the following deficiencies were further observed:

***A. The fund used to purchase the land located at Barangay Quezon was sourced out of the 20% Development Fund.***

DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020, amending DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, provides for the guidelines on the appropriation and utilization of the 20% of the Annual Internal Revenue Allotment for development projects.

Item 3.0 of the JMC provides the following general guidelines:

> 3.2.1 The 20% DF shall be utilized to finance the **LGUs' priority development projects**, as embodied in their respective duly approved

local development plans, and medium-term and annual investment programs, which should be harmonized with the Regional Development Plan and the Philippine Development Plan.

3.2.2 The development projects that may be included under the 20% DF shall be those that are necessary, appropriate, or incidental to efficient and effective local governance, and those which are **essential to the promotion of the general welfare of the people**.

xxx

3.2.5 The following expenditure items shall not be allowed to be charged against the 20% DF:
3.2.5.1 Personal Services expenditures, such as salaries, wages, overtime pay, and **other personnel benefits**; (Emphasis ours)

The above-mentioned Joint Memorandum Circular explicitly states that 20% DF shall be utilized to finance the LGUs development projects only. Further, it prohibits charging personnel benefits therefrom.

The Housing Project for the employees of the City as part of their Other Benefits funded out of the 20% DF is directly in violation of the above-stated rules and regulation.

***B. The grant of Other Benefits in the form of house and lot in relation to the Collective Negotiation Agreement Incentive contradicts Administrative Order (AO) No. 135, s. 2005 and Department of Budget and Management(DBM) guidelines***

AO No. 135, s. 2005 states that "*the grant of the CNA incentive is in recognition of the efforts of labor and management to achieve all planned targets, programs and services approved in the agency's budget at lesser cost*". Further, Section 4 of the AO provides that "*the CNA Incentive shall be sourced only from the savings generated during the life of the CAN*". Section 5 thereof states that "*the CNA Incentive may be paid every year that savings are generated during the life of the CAN*".

Based on the above-stated provisions, the grant of house and lot for the city employees as part of their Other Benefits under the CNA is not allowed since CNA incentive is a one-time monetary payment only sourced from the available MOOE allotments.

As per inquiry, the housing project is currently put on-hold and were not yet awarded to the identified beneficiaries due to the afore-mentioned issues which remains unresolved.

In view of the foregoing deficiencies, management's justification was not accepted on the grounds that the land in Barangay Quezon was purchased by the City using the 20% Development Fund for its Socialized Housing Program. Thus, the land should be used for the said purpose. Further, the 20% Development Fund cannot be used for payments for other personal benefits of the city employees.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor that the City Housing Section:

a. Discontinue the utilization of the land located at Barangay Quezon funded out of the 20% Development Fund for the Housing Program intended for the employees of the City.

b. Identify qualified beneficiaries belonging to the homeless and underprivileged members of the society for the Socialized Housing Program for the acquired land at Barangay Quezon.

**Management's Comments:**

As of date of this report, the management has not yet submitted their written reply for the Audit Observation Memorandum. However, during the exit conference, the management has stated that they are on the process of reviewing the noted observations and committed to address the same the soonest possible.

**Auditor's rejoinder:**

Similar audit observations have already been noted in the prior audit reports; however, audit recommendations remained not implemented thus this restatement.

**22. Under remittance of withholding taxes and withheld GSIS, PhilHealth and Pag-Ibig contributions possess risk on the disqualification in the availment of the benefits by the City Government personnel affected and subjects the City Government for possible fines and penalties; while lapses in monitoring and maintenance of accounts on withholding taxes resulted to possible over remittance.**

This observation has been included in the Annual Audit Report for CY2018 under Observation No. 23, Part II – Observations and Recommendations thereof. However, as of December 31, 2023, the audit recommendations remained unimplemented thus this restatement.

As of December 31, 2023 the total balances of Due to GSIS, Due to PhilHealth and Due to Pag-Ibig of the City Government of Panabo to P25,863,888.46. This account is composed of the following:

| Account Name | Amount |
|---|---|
| Due to GSIS | P 15,684,059.49 |
| Due to PhilHealth | 7,768,616.96 |
| Due to Pag-Ibig | 2,411,212.01 |
| **TOTAL** | **P 25,863,888.46** |

***A. The withheld GSIS personal share of employees for both regular and casual amounting to P8,532,027.00 were not remitted in full to GSIS.***

Section 6(b) of RA No. 8291 (GSIS Act of 1997) states that:

> Each employer shall remit directly to the GSIS employees' and employers' contributions within the first ten (10) days of the calendar month following the month to which the contributions apply. The remittance by the employer of the contributions to the GSIS shall take priority over and above the payment of any and all obligations, except salaries and wages of its employees.

The details of withheld GSIS contributions and remittances made are shown below:

| **Due to GSIS** | | | | |
|---|---|---|---|---|
| | **General Fund** | **SEF** | **Trust Fund** | **Total** |
| ***Beginning Balance*** | ***P15,105,438.57*** | ***P41,011.49*** | ***P1,982.20*** | ***P15,148,432.26*** |
| Less: Remittances from January 2023 for PY Withholding | (6,341,458.24) | -0.00- | -0.00- | (6,341,458.24) |
| (Over)/Under remittance, prior years | 8,763,980.33 | 41,011.49 | 1,982.20 | 8,806,974.02 |

| Due to GSIS | | | | |
|---|---|---|---|---|
| | **General Fund** | **SEF** | **Trust Fund** | **Total** |
| Add: Total Withholding for CY 2023 | 81,340,891.40 | -0.00- | 1,101.83 | 81,341,993.23 |
| Less: Total Remittance for CY 2023 | (74,461,823.73) | -0.00- | (3,084.03) | (74,464,907.76 ) |
| ***Due to GSIS as of 12/31/2023*** | ***15,643,048.00*** | ***41,011.49*** | ***-0.00-*** | ***15,684,059.49*** |
| Less: Remittance by January, 2024* | (7,152,032.49) | -0.00- | -0.00- | (7,152,032.49) |
| **(Over)Under remittance, CY 2023** | **P8,491,015.51** | **P41,011.49** | **-P0.00-** | **P8,532,027.00** |

**The remittances of January 2024 was based on the Report of Check Released (RCR) submitted by the CTO*

As shown above, the under remittance from prior years amounted to P8,806,974.02. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2022. The total withheld contributions for CY2023 totalled to P81,341,993.23 while the total remittance for the year amounted to P81,616,940.25 (composed P74,464,907.76 and P7,152,032.49 as presented in the table above), thereby, **reducing the under remittance to P8,532,027.00**.

Inquiry with the City Accounting Office (CAO) and City Human Resource Management Office (CHRMO) disclosed that that the unremitted balance was due to differences between employee records of the City Government and GSIS, these mainly happens with casual employees who renew contracts every six months and were automatically inactive in the GSIS system. Also, the yearly salary adjustments make it hard to calculate exact withholding amounts because of the large number of regular and casual employees.

***B. The withheld PhilHealth contributions of Job-Order personnel of the amounting to P5,951,569.97 were not remitted to Philippine Health Insurance Corporation (PHIC).***

Section 11 (b) of RA No. 7875 as amended by RA Nos. 9241 and 10606 "The National Health Insurance Act of 2013" provides that:

> (b) The monthly premium contributions of employed members shall be remitted by the employer on or before the tenth (10th) calendar day of the month following the applicable month for which the payment is due and applicable

The details of withheld PhilHealth contributions and remittances made are shown below:

| Due to PHIC | | | | |
|---|---|---|---|---|
| | **General Fund** | **SEF** | **Trust Fund** | **Total** |
| ***Beginning Balance*** | ***P3,157,901.37*** | ***P8,838.00*** | ***-P0.00-*** | ***P3,166,739.37*** |
| Less: Remittances from January 2023 for PY Withholding | (777,994.72 ) | -0.00- | -0.00- | (777,994.72) |
| (Over)/Under remittance, prior years | 2,379,906.65 | 8,838.00 | -0.00- | 2,388,744.65 |
| Add: Total Withholding for CY 2023 | 14,508,646.46 | -0.00- | 5,200.00 | 14,513,846.46 |
| Less: Total Remittance for CY 2023 | (9,133,974.15) | -0.00- | -0.00- | (9,133,974.15) |
| ***Due to PHIC as of 12/31/2023*** | ***7,754,578.96*** | ***8,838.00*** | ***5,200.00*** | ***7,768,616.96*** |
| Less: Remittance by January, 2024* | (1,817,046.99) | -0.00- | -0.00- | (1,817,046.99) |
| **(Over)Under remittance, CY 2023** | **P5,937,531.97** | **P8,838.00** | **P5,200.00** | **P5,951,569.97** |

**The remittances of January 2024 was based on the Report of Check Released (RCR) and LBP E-Payment screenshot submitted by the CTO*

As shown above, the under remittance from prior years amounted to P2,388,744.65. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2022. The total withheld contributions for CY2023 totalled to P14,513,846.46 while the total remittance for the year amounted to P10,951,021.14 (composed P9,133,974.15 and P1,817,046.99as presented in the table above), thereby, **increasing the under remittance to P5,951,569.97**.

According to CAO, the unremitted PhilHealth contributions pertain to the Job-Order personnel who are employed in the City Government. These outstanding balances have accumulated since July 2022 when the mandatory withholding of their PhilHealth contributions has been enforced by the City. The delay in remittances was due to the awaiting validation of the PhilHealth numbers of the job order personnel. Currently,

approximately 300 out of over 1000 Job-Order employees have been received by the City Government.

***C. The withheld Pag-Ibig contributions of Job-Order personnel amounting to P1,772,627.97 were not remitted to Home Development Mutual Fund (HDMF).***

Item E.4. of Home Development Mutual Fund Circular No. 275 on the Implementing Guidelines on Employer Registration, Contribution, and Remittance under RA 9679 provides:

> Employers shall remit the required monthly employer and employee contributions to the nearest Pag-IBIG branch or its authorized collecting banks, together with the duly accomplished Membership Contribution Remittance Form (MCRF), in accordance with the following remittance schedule:
>
> | **First Letter of employer's name** | **Due date** |
> |---|---|
> | **A to D** | **10th** to the **14th** day of the month following the period covered |
> | **E to L** | **15th** to the **19th** day of the month following the period covered |
> | **M to Q** | **20th** to the **24th** day of the month following the period covered |
> | **R to Z, Numeral** | **25th** to the **end** of the month following the period covered |
>
> Failure or refusal of the employer to pay or to remit the contributions herein prescribed shall not prejudice the right of the covered member to the benefits under the Fund. Such employer shall be charged a penalty equivalent to 1/10 of 1% per day of delay of the amount due starting on the first day immediately following the due date until the date of full settlement.

The details of withheld Pag-Ibig contributions and remittances made are shown below:

| Due to HDMF | | | | |
|---|---|---|---|---|
| | **General Fund** | **SEF** | **Trust Fund** | **Total** |
| ***Beginning Balance*** | ***P1,621,202.72*** | ***P44,361.80*** | ***P9,632.50*** | ***P1,675,197.02*** |
| Less: Remittances from January 2023 for PY Withholding | (250,870.70) | (2,400.00 ) | (9,632.50 ) | (262,903.20 ) |
| (Over)/Under remittance, prior years | 1,370,332.02 | 41,961.80 | - 0.00- | 1,412,293.82 |
| Add: Total Withholding for CY 2023 | 10,642,275.43 | 29,000.00 | 2,600.00 | 10,673,875.43 |
| Less: Total Remittance for CY 2023 | (9,647,957.24) | (25,400.00) | (1,600.00 ) | (9,674,957.24 ) |
| ***Due to HDMF as of 12/31/2023*** | ***2,364,650.21*** | ***45,561.80*** | ***1,000.00*** | ***2,411,212.01*** |
| Less: Remittance by January, 2024* | (638,584.04) | -0.00- | -0.00- | (638,584.04 ) |
| **(Over)Under remittance, CY 2023** | **P1,726,066.17** | **P45,561.80** | **P1,000.00** | **P1,772,627.97** |

**The remittances of January 2024 was based on the Report of Check Released (RCR) and LBP E-Payment screenshot submitted by the CTO*

As shown in the above table, the under remittance from prior years amounted to P1,412,293.82. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2022. The total withheld contributions for CY2023 totalled to P10,673,875.43 while the total remittance for the year amounted to P10,951,021.14 (composed P9,674,957.24 and P638,584.04 as presented in the table above), thereby, **increasing the under remittance to P1,772,627.97**.

The CAO explained that the unremitted Pag-Ibig contributions pertain to the Job-Order personnel who are employed in the City Government. These outstanding balances have accumulated since the implementation of mandatory withholding of their Pag-Ibig contributions commenced on July 2022 by the City Government. They, however, did not provide the reason for its non-remittance.

The non-remittance of GSIS, PhilHealth and Pag-Ibig contributions to concerned institutions could deprive the employees and job-order personnel of the City Government from enjoying/availing benefits from these social services by way of disqualification due to incomplete required contributions and/or inactive status. Although, the management assured that the employees and job-orders can still avail of the social benefits by issuing certificate of contributions from the CAO and CHRMO, it causes so much inconvenience on the part of the employees and job-order personnel. Finally, non-remittance may subject the city from unnecessary fines and penalties due to the non-remittance of the withheld mandatory contributions.

***D. Over remittance of withholding taxes in the General Fund and Special Education Fund amounting to P1,518,579.54 and P126,641.04, respectively, and under remittance thereof in the Trust Fund amounting to P1,104,633.78***

The details of withholding taxes and its remittances made are shown below:

| **Due to BIR** | | | | |
|---|---|---|---|---|
| | **General Fund** | **SEF** | **Trust Fund** | **Total** |
| ***Beginning Balance*** | ***P7,124,962.86*** | ***P345,834.50*** | ***P4,718,910.53*** | ***P12,189,707.89*** |
| Less: Remittances from January 2023 for PY Withholding | (6,680,780.90) | (371,490.37) | (4,209,276.25) | (11,261,547.52) |
| (Over)/Under remittance, prior years | 444,181.96 | (25,655.87) | 509,634.28 | 928,160.37 |
| Add: Total Withholding for CY 2023 | 56,467,932.91 | 2,957,211.41 | 13,979,507.75 | 73,404,652.07 |
| Less: Total Remittance for CY 2023 | (50,581,545.87) | (3,058,196.58) | (13,384,508.25) | (67,024,250.70) |
| ***Due to BIR as of 12/31/2023*** | ***6,330,569.00*** | ***(126,641.04)*** | ***1,104,633.78*** | ***7,308,561.74*** |
| Less: Remittance by January, 2024* | (7,849,148.54) | -0.00- | -0.00- | (7,849,148.54 ) |
| **(Over)Under remittance, CY 2023** | **(P1,518,579.54)** | **(P126,641.04)** | **P1,104,633.78** | **(P540,586.80)** |

**The remittances on January 2024 was based on the submitted copy of remittance thru EFPS by the City Treasurer's Office (CTO)*

As shown above, the under remittance from prior years amounted to P928,160.37. This amount was derived after deducting remittance made in January 2024 for the withheld contributions in CY2022. The total withheld taxes for CY2023 totalled to P73,404,652.07 while the total remittance for the year amounted to P74,873,399.24 (composed P67,024,250.70 and P7,849,148.54 as presented in the table above), thereby, **resulting to an over remittance of P540,586.80**.

The CAO explained that the under remittances in the Trust Fund and over remittance in the SEF is currently being reconciled with the over remittance recorded under the General Fund. This is so since remittances of withholding tax for all funds are charged against the General Fund. Cash equivalent to withheld taxes from SEF and Trust Funds are then transferred to General Fund to defray the disbursements for the remittances. This practice is being done due to the limitation in the Electronic Filing and Payment System (EFPS). However, as of date, the audit team has not been provided with detailed breakdown of the over and under remittance per fund.

The under and over remittances of withholding taxes recorded under the General Fund, Special Education Fund and Trust Fund books indicates lapses in the monitoring and maintenance of the records in the withholding and remittance of taxes. This deficiency not only cast doubts on the accuracy of records but also subjects the City Government to unnecessary/invalid disbursements due to over remittance of withholding taxes.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor that the City Accounting Office and City Human Resource Management Office:

a. Reconcile the gaps between the records of LGU and GSIS to determine the list of regular and casual employees that has no records in their system;

b. Regularly follow-up on the validation of the PhilHealth numbers of the job order personnel; and,

c. Immediately remit in full all outstanding withheld GSIS, PhilHealth and Pag-Ibig contributions of the City's employees and job-order personnel.

We further recommended that the City Accounting Office immediately:

a. Reconcile its record to determine the nature and necessary details of the over and under remittance of withholding taxes per fund; and,

b. After reconciliation, make the necessary adjusting entries to correct the balances of Due to BIR account per fund.

**Management's Comments:**

The management is amenable to the audit observation and recommendations. The City Accountant explained that despite best efforts to reconcile the account balances, there are factors that hinder the timely reconciliation, such as, lack of personnel with accounting expertise to focus on the reconciliation and verification of the unremitted balances of which records were no longer available and were carried over from prior years since 2007. The current accounting personnel are also loaded with high volume of regular accounting transactions and cannot solely focus on the reconciliation.

They added that remittance of GSIS deductions cannot be remitted within the prescribed period due to the following:

- Amount deducted from payroll is below the 90% threshold of the GSIS billed amount
- Payrolls/DVs for salary and wages were received by CAO after the finalization of the remittance list
- Records of newly promoted and hired employees were not yet updated in the GSIS system
- Casual employees are tagged by the GSIS system as inactive after the expiration of the 6 months appointment period and during this period, the system rejects any remittances

Nonetheless, little progress in the reconciliation have been achieved particularly in the remittance of P1,753,890.63 in CY2024 for withheld GSIS deductions in CY2020 and CY2021. Finally, the CAO has also regularly communicated with the CHRMO and send notices to concerned city departments to monitor the unremitted GSIS deductions.

The CHRMO explained that these unremitted amounts were inherited concerns from the previous department head. Nonetheless, thorough audit and reconciliation had already been conducted to update the records of the city personnel in the GSIS system to ensure seamless remittance. Although, reconciliation of the past records is still on-going, stricter internal processes have been imposed to improve the monitoring of GSIS deductions.

On the other hand, to facilitate the remittance of the PhilHealth Contributions of Job Order personnel, CAO has already sent to PHIC in December 2023 the Remittance List of applicable periods and requested for the Statement of Premium Account (SPA). This

document is a prerequisite for the remittance since the actual amount to be paid to PHIC should be based therefrom. The SPA was not received as at the year-end. The CHRMO added that validation of PHIC numbers have been completed except for the newly contracted Job Order personnel.

For the unremitted Pag-Ibig contributions, the CAO have already communicated with the Pag-Ibig Office and they have agreed that CAO will send names of employees with unremitted withheld premiums by batch for the former to determine the outstanding premium and the applicable period of each employee and shall be immediately remitted accordingly after the receipt of the confirmation.

Finally, the City Accountant assured that reconciliation of over remittance of withheld taxes shall be prioritized to determine the cause of the abnormal balance noted.

**25. Non-synchronization of activities listed in the GAD Plan and Budget with the Annual Investment Program prevented the establishment of actual monitoring and evaluation system to assess the efficiency and effectiveness of gender mainstreaming efforts**

This observation has been included in the Annual Audit Report for CY2018 under Observation No. 24, Part II – Observations and Recommendations thereof. However, as of December 31, 2023, the audit recommendations remained unimplemented thus this restatement.

For CY 2023, the City GAD Plan and Budget (GPB) had a total appropriation of ten percent (10%) or P112,127,392.03 of the total budget of P1,111,983,451.00.

Validation on the implementation of GAD programs, projects and activities for CY 2023 showed the following deficiencies:

***A. Non-synchronization of activities listed in the GAD Plan and Budget (GPB) with the CY 2023 Annual Investment Program (AIP)***

Item 4.0 of the PWC-DILG-DBM-NEDA JMC No. 2013-01 provides the Guidelines on the Localization of the Magna Carta of Women. Item 4.1.C.1.3 states that:

> The GAD planning and budgeting process **shall be incorporated in the** Comprehensive Land Use Plan (CLUP), Comprehensive Development Plan (CDP), **Annual Investment Program,** the Executive-Legislative Agenda (ELA), Provincial Development and Physical Framework Plan

(PDPFP) and in sector plans, e.g. disaster risk reduction and management (DRRM) plan…xxx…(Emphasis ours)

In line with the goal of increasing gender-responsiveness of government programs, the LGUs may assess the level of gender-responsiveness of its major programs using the Harmonized Gender and Development (HGDG) tool. Depending on the result on the assessment, the institution may attribute a portion or the entire annual budget in the GPB.

Review of the CY 2023 Annual Investment Program (AIP) and the GPB showed that 15 regular and attributed programs and projects identified in the AIP as gender-responsive amounting to P105,129,000.00 were excluded from the actual GPB listing. Moreover, there are 11 projects totalling P1,231,260.00 included in the GPB that were not identified in the AIP as part of GAD PPAs. The details thereof are shown in the table below.

| **GAD PPAs** | Estimated Cost per AIP / GPB |
|---|---|
| ***GAD PPAs listed in the AIP but not listed in the GPB*** | |
| Community Skills Training Livelihood and Entrepreneurship Program | P3,400,000.00 |
| Jobstart Philippines | 3,030,000.00 |
| Site Development for Resettlement Areas | 4,000,000.00 |
| Construction of Drainage | 50,000,000.00 |
| Barangay Administration Enhancement Program | 1,285,000.00 |
| Special Project Development and Management Program | 800,000.00 |
| Scouting Program | 1,500,000.00 |
| Peacekeeping Mobilization Program | 16,832,000.00 |
| City Anti-Drug Abuse Program | 5,116,000.00 |
| Serbisyong Barangay-Oplan Kalinaw | 7,500,000.00 |
| Moral Recovery Program | 700,000.00 |
| Punerarya para sa Masa | 5,316,000.00 |
| Road Network Development Program | 400,000.00 |
| Drainage Development Program | 250,000.00 |
| Water System Project Development | 5,000,000.00 |
| **Sub-total** | P105,129,000.00 |
| ***GAD PPAs listed in the GPB but not listed in the AIP*** | |
| Kasalan ng Lungsod | P99,680.00 |
| Investment Promotion Program - MSME Development Services (Seminar on Intellectual Property Rights) | 21,000.00 |
| Investment Promotion Program - MSME Development Services (Seminar on Proper Food handling and FDA Registration) | 18,000.00 |

| GAD PPAs | Estimated Cost per AIP / GPB |
|---|---|
| Investment Promotion Program - MSME Development Services (Entrepreneurial Mindsetting and Financial Literacy) | 23,000.00 |
| Investment Promotion Program - MSME Development Services (MSME Serbisyo Caravan: Business and Financing Opportunities for Micro Entrepreneurs) | 34,000.00 |
| Investment Promotion Program - MSME Development Services (MSME Financing Forum) | 24,500.00 |
| Investment Promotion Services (Business Symposium) | 20,000.00 |
| Investment Promotion Services (Investor Education Roadshow) | 20,480.00 |
| Institutional/ Good Governance (Joint City Vice Mayor's Office & SP Legislative Networking/Tracking Program Team Training of Leaders and Trainers) | 260,000.00 |
| Institutional/ Good Governance - Foundational Legislative Team Building Activities on Workplace Stress Management, Moral Recovery Program, and Building an Effective Team | 561,000.00 |
| Good Governance - Gender Sensitivity Training | 149,600.00 |
| **Sub-total** | P1,231,260.00 |
| **TOTAL** | P106,360,260.00 |

As per inquiry with the City GAD Office, during the preparation of the GPB, several offices were not able to submit the list of gender-responsive programs on a timely basis, thus, the non-inclusion in the GPB which were submitted to DILG for review. Moreover, during the finalization and consolidation of the AIP, the GPB was still under review by the DILG. Thus, changes in the GPB thereafter were not incorporated in the AIP. Hence, this resulted to differences and non-synchronization between the two reports.

Accordingly, the Annual Gender and Development Plan were submitted to the Department of Interior and Local Government (DILG) on April 3, 2022 and was thereby endorsed and certified as reviewed on October 5, 2022. On the other hand, the Annual Investment Plan was submitted to the Sangguniang Panlungsod on July 28, 2022 and subsequently approved on September 27, 2022.

We would like to emphasize that the schedule for GPB preparation per JMC provides that the submission of GPB to DILG for review and endorsement should not be later than 31st of March. Therefore, the delay in the preparation and submission of GPB resulted to non-inclusions of GAD programs in AIP. Furthermore, the gender-responsiveness of projects reflected in the AIP as GAD projects is questionable due to its non-inclusion in the GPB. Consequently, the actual evaluation and assessment of the effectiveness and efficiency of the gender mainstreaming efforts and accomplishments were not attained.

***B. Non-implementation and/or partial implementation of programs, projects and activities (PPAs) identified as GAD-related***

Review of the CY 2023 GAD Accomplishment Report showed that 67.69% or P75,903,579.15 out of P112,127,392.03 actual GAD budget was utilized/implemented during the year as shown in the table below:

| Gender Issue and/or GAD Mandate | Actual GAD Budget | Actual Expenditure | Percentage of Utilization |
|---|---|---|---|
| I. Client-Focused | P106,222,039.00 | P70,887,498.39 | *66.74%* |
| II. Organization-Focused | 5,905,353.03 | 5,016,080.76 | *84.94%* |
| III. Attributed PAPs | 0.00 | 0.00 | - |
| **Total** | **P112,127,392.03** | **P75,903,579.15** | ***67.69%*** |

Further examination on the utilization of the GAD budget disclosed that ten (10) PPAs were unimplemented due to non-funding and/or partially implemented as at year-end with details as follows:

| PPAs | GAD Budget | Actual Expenditure | Unutilized Balance | % |
|---|---|---|---|---|
| Social - Infrastructure (Completion of Women Center) | P6,000,000.00 | - | P6,000,000.00 | 100.00% |
| Social - Infrastructure (Construction of Intervention Center for CICL) | 6,000,000.00 | - | 6,000,000.00 | 100.00% |
| Social - Infrastructure (Improvement of Senior Citizen Day Center) | 6,000,000.00 | - | 6,000,000.00 | 100.00% |
| Employees Scholarship Grant Program | 500,000.00 | P150,000.00 | 350,000.00 | 70.00% |
| Tabang Trabaho Para kay Panaboan | 8,154,304.00 | 3,978,192.50 | 4,176,111.50 | 51.21% |
| Oral/Dental Health Program | 720,000.00 | 400,208.00 | 319,792.00 | 44.42% |
| Institutional/Good Governance (Legislative Networking/Tracking Program) - Impormasyon sa Balaudnon | 793,000.00 | 486,300.00 | 306,700.00 | 38.68% |
| Social Protection Program | 17,442,000.00 | 10,724,007.13 | 6,717,992.87 | 38.52% |
| Investment Promotion Program - MSME Development Services (MSME Serbisyo Caravan: Business and Financing Opportunities for Micro Entrepreneurs) | 34,000.00 | 21,220.00 | 12,780.00 | 37.59% |
| Banwag Program | 680,000.00 | 426,446.00 | 253,554.00 | 37.29% |
| **Total** | **P46,323,304.00** | **P16,186,373.63** | **P30,136,930.37** | |

As shown above, three (3) social infrastructure projects were not funded during the year. However, the GAD office have proposed it to be included for the CY 2025 budget. For the remaining seven (7) PPAs, the actual number of participants who availed/participated in the program was lesser than the set target. Additionally, there were savings from the procurement conducted which also contributed to the remaining fund balance.

The non-funding of the PPAs in the GAD Plan and Budget may have affected the attainment of the objectives thereof. The failure to meet the targeted number of participants and stakeholders indicates that the targeted number maybe greater than the actual need; or, the existing PPAs may not directly address the GAD concerns of the targeted participants and stakeholders.

In view of the foregoing, there is a need to review the objectives and the strategies in addressing the recent and immediate GAD concerns of the City Government and to ensure the efficient delivery and implementation of GAD programs, projects and activities.

**Recommendations:**

We restated the prior years' recommendations to the City Mayor that the City GAD office:

a. Synchronize the GAD programs and activities listed in the GPB with the gender mainstreaming strategies in the AIP in order to incorporate GAD mandates and gender issues that the City intends to address, and to maximize the utilization of funds for the benefit of intended beneficiaries; and,

b. Review the objectives and the strategies in addressing the recent and immediate GAD concerns of the City Government and to ensure the efficient delivery and implementation of GAD programs, projects and activities.

**Management's Comments:**

The management is amenable to the audit observation and recommendations. The GAD office stated they conduct an examination on the conditions noted and committed adherence to PWC-DILG-DBM-NEDA JMC No. 2013-01 and ensure that the AIP and GPB are in synchronize by working closely with the City Budget Office, the City Planning and Development Office and other concerned partner agencies.

They added that a capacity-building workshop and consultative meeting shall be conducted to identify the obstacles in the implementation of GAD PPAs.

Unimplemented GAD PPAs shall be prioritized in GPB CY2025. They committed to actively monitor and assess the implementation of GAD PPAs through the conduct of gender audit to comparative data as basis for gender analysis and creation of GAD Monitoring Team.

**26. The real property values are outdated and do not reflect the prevailing market prices due to failure to update and approve the proposed revision of the Schedule of Fair Market Values (SFMV) since the year 2009, resulting in forgone revenues from real property taxes and the negative impact on the equity of tax burden.**

This observation has been included in the Annual Audit Report for CY2015 under Observation No. 4, Part II – Observations and Recommendations thereof. However, as of December 31, 2023, the audit recommendations remained unimplemented thus this restatement.

Section 219, Chapter II of R.A. No. 7160 or the Revised Local Government Code of the 1991 provides:

> The provincial, city or municipal assessor shall undertake a general revision of real property assessments within two (2) years after the effectivity of this Code and three (3) years thereafter.

Until CY2023, the City Assessor's Office (CASSO) has been using its Revised Revenue Code of 2009 as basis in computing the real property taxes. According to the CASSO, a Revised Schedule of Fair Market Value (SFMV) duly certified by the Bureau of Local Government Finance (BLGF) on March 12, 2014 have already been endorsed to the Committee in Ways and Means of the Sangguniang Panlungsod on August 18, 2022. However, as of date, the ordinance to enact the proposed SFMV of 2014 has not yet been passed. The CASSO added that the subject matter has already been subjected for committee hearing by Committee in Ways and Means of the Sangguniang Panlungsod.

However, approval of the proposed SFMV of 2014 in CY2024 would likewise be rendered futile and ineffective. It is no longer reflective of the current, true and fair market values of the real properties for assessment purpose since ten years or a decade has passed from its formulation. Therefore, there is a need to prepare and to enact a Revised SFMV for 2024.

**Recommendation:**

We restated our prior years' audit recommendation to the City Mayor that the City Assessor's Office, in coordination with the City Legal Office, prepare a Revised Schedule of Fair Market Values and facilitate the general revision of property assessment as of CY 2024, and submit the same to the Sangguniang Panlungsod for enactment and approval.

**Management's Comments:**

The City Assessor's Office stated that the Proposed SFMV for 2014 have already been endorsed by the City Mayor to the Sangguniang Panlungsod for its proper action on August 18, 2022. The City Legal Office has also requested an update on the status thereof on November 29, 2023 to which the SP responded that it has already been forwarded to the Committee on Ways and Means, Government Enterprise for further study and inclusion in the Revenue Code.

**Auditor's rejoinder:**

The Audit Team maintains that approval of the proposed SFMV of 2014 in CY2024 would likewise be rendered futile and ineffective. It is no longer reflective of the current, true and fair market values of the real properties for assessment purpose since ten years or a decade has passed from its formulation. Therefore, there is a need to prepare and to enact a Revised SFMV for 2024.

**27. Settlement of delinquent accounts on the sales on lawn lots and family estates in the operation of Cemetery totalling P1,321,293.13 as of December 31, 2017 were not verified due to non-submission of pertinent information and data; likewise, status on the review of Section 7, Article III of City Ordinance No. 13-13, An ordinance Establishing the New Panabo City Public Cemetery and Prescribing Rules, Regulations and Imposing Fees for its Operations thereof was also not submitted thus validation of the implementation of prior years' audit recommendation cannot be effected.**

This observation has been included in the Annual Audit Report for CY2015 under Observation No. 4, Part II – Observations and Recommendations thereof. However, as of December 31, 2023, the audit recommendations remained unimplemented thus this restatement.

The unsettled delinquent accounts on the sales on lawn lots and family estates in the operation of Cemetery totalling P1,321,293.13 as of December 31, 2017. It was recommended that the City Economic Enterprise Management and Development Office (CEEMDO), through the Panabo City Eternal Garden Officer-in-charge and revenue collector, closely monitor the delinquent accounts and exhaust all efforts and legal remedies to collect the same.

On the other, it has been noted in the AAR CY2015 that the imputed interest rate on fees and charges on pre-need plans for both terms – 24 months and 60 months is 11% per annum as provided under Section 7, Article III of City Ordinance No. 13-13, "An ordinance Establishing the New Panabo City Public Cemetery and Prescribing Rules, Regulations and Imposing Fees for its Operations thereof". If the same rate is applied on both terms the resulting rate for 24 month is only 5.5% per annum while for 60 months, it is only 2.2% per annum.

As a result, interest rate for contract on a shorter term is more burdensome than the contract with longer term. This is unfavourable to clients with short term contract since it burdens them more for paying the lots in shorter term while it gives benefits to clients with longer contract terms. This condition is in contravention to the policy on equity. It also discourages the payment of the lots in shorter term thus making it more disadvantageous for the government since the return of the cost takes a longer time. As such, it was recommended that the Management review the provision of Section 7, to ensure that the terms on pre-need plan is accurate, consistent and equitable in the application of the 11% interest rate and recommend to the Local Sanggunian for approval on the proposed amendments thereto.

However, as of date, the Management have not submitted the status of the settlement of the delinquent accounts and the status on the review on the provision of Section 7, Article III of City Ordinance No. 13-13, "An ordinance Establishing the New Panabo City Public Cemetery and Prescribing Rules, Regulations and Imposing Fees for its Operations thereof", despite the audit team's request for an update on the status on the implementation of the prior years' audit recommendation through Audit Query Memorandum No. 23-09 dated August 04, 2023.

**Recommendations:**

We restated our prior years' audit recommendation to the City Mayor that the City Economic Enterprise Management and Development Office (CEEMDO) submit immediately to the Audit team the:

a. Status report of the settlement of delinquent accounts on the sales on lawn lots and family estates in the operation of Cemetery totalling P1,321,293.13 specified in Observation No. 4, Part II – Observations and Recommendations, Annual Audit Report CY2015; and,

b. Status on the review on the provision of Section 7, Article III of City Ordinance No. 13-13, "An ordinance Establishing the New Panabo City Public Cemetery and Prescribing Rules, Regulations and Imposing Fees for its Operations thereof".

**Management's Comments:**

The management is amenable to the audit observation and recommendations. The CEEMDO stated that notices and demand letters were already issued to the owners of the delinquent accounts. However, settlements have not yet been completed in CY2023 despite verbal follow-up to concerned debtors. The CEEMDO committed to issue another demand letters and non-compliance thereof; the matter shall be referred to the City Legal Office for proper legal action.

On the other hand, amendments on the imposition of fees and interest rates under of Section 7, Article III of City Ordinance No. 13-13 have been included in the proposed Market Code of Panabo City which was already submitted to the Sangguniang Panlungsod in CY2023. Accordingly, review on the proposed ordinance is scheduled in April 2024. Finally, the CEEMDO stated they have already ceased the sale of lawn lots/family state on installment basis to remedy the noted deficiency. All sales thereof are done through full payment.

**Auditor's Rejoinder:**

The CEEMDO is requested a detailed list of the outstanding balances of the debtors with delinquent accounts.

## C. OTHERS

### 28. Payments to Jobs Orders (JO), Casuals and Consultants

As of December 31, 2023, the City has 296 casual employees and 992 JO personnel. Four-year trend analysis showed a continuous increase of JO personnel until CY2022,

while the increase in the number of casual employees is only apparent in CY2023. The City does not employ consultants.

| Personnel | 2019 | 2020 | 2021 | 2022 | 2023 |
|---|---|---|---|---|---|
| Casual | 286 | 285 | 285 | 284 | 296 |
| Job Order | 900 | 962 | 1,019 | 1,059 | 992 |

Payment of salaries and wages of casual employees in CY 2021 are paid through Automated Teller's Machine (ATM), while the JO employees are paid through a manual payroll system and ATM startin in CY2023.

Adequate internal controls are in place in as much as the granting and liquidation of cash advances for the payment of salaries for job orders through the disbursing officers under the CTO.

The following table shows the distribution of the said casual and JO employees by office:

| Department | 2023 | | 2022 | |
|---|---|---|---|---|
| | ***Casual*** | ***JO*** | ***Casual*** | ***JO*** |
| City Mayor's Office (CMO) | 90 | 481 | 84 | 516 |
| City Administrator's Office (CADO) | 10 | 16 | 12 | 21 |
| Sangguniang Panlunsod Office (SPO) | 52 | 57 | 56 | 64 |
| City Human Resource Management Office (CHRMO) | 5 | 3 | 5 | 2 |
| City Planning and Development Coordinating Office (CPDCO) | 2 | 12 | 1 | 10 |
| City Civil Registration Office (CCRO) | 8 | 6 | 4 | 5 |
| City General Services Office (CGSO) | 39 | 8 | 37 | 10 |
| City Budget Office (CBO) | 3 | -0- | 3 | 1 |
| City Accounting Office (CAO) | 3 | 6 | 2 | 6 |
| City Treasurer's Office (CTO) | 6 | 15 | 6 | 16 |
| City Assessor's Office (CASSO) | 1 | 6 | 1 | 12 |
| City Legal Office (CLO) | 3 | 13 | 3 | 13 |
| City Health Office (CHO) | 20 | 46 | 19 | 45 |
| City Social Welfare and Development Office (CSWDO) | 8 | 23 | 9 | 26 |
| City Agriculturist's Office (CAGRO) | 9 | 42 | 8 | 44 |
| City Environment and Natural Resources Office (CENRO) | 6 | 97 | 6 | 97 |
| City Engineering Office (CEO) | 9 | 88 | 8 | 96 |
| City Economic Enterprise Management and Development Office (CEEMDO) | 22 | 73 | 20 | 75 |
| **TOTAL** | **296** | **992** | **284** | **1059** |

## 29. Confidental Funds

For CY2023, the total cash granted to the City Mayor for the Confidentials Funds amounted to P6,344,833.73 which were all liquidated as shown in the following table:

| Check No. | Date of Check | Particulars | Amount | Date Liquidated | Amount |
|---|---|---|---|---|---|
| 1652352 | 08/14/23 | 3rd Qrt. 2023 | P3,000,000.00 | 10/04/2023 | P3,000,000.00 |
| 1653561 | 10/05/23 | 4th Qrt. 2023 | 3,000,000.00 | 12/06/2024 | 3,000,000.00 |
| 1663829 | 12/11/23 | 4th Qrt. 2023 | 344,833.73 | 01/23/2024 | 344,833.73 |
| **TOTAL** | | | **P6,344,833.73** | | **P6,344,833.73** |

## 30. Summary of Audit Suspensions, Disallowances and Charges

| NS/ND/NC | Balance as at Dec. 31, 2022 | This Period (Jan. 1 to Dec. 31 2023) | | Balance as at Dec. 31, 2023 |
|---|---|---|---|---|
| | | NS/ ND/ NC | NSSDC | |
| Notice of Suspension | 0.00 | 0.00 | 0.00 | 0.00 |
| Notice of Disallowance | 7,890,218.61 | 0.00 | 129,208.00 | 7,761,010.61 |
| Notice of Charge | 0.00 | 0.00 | 0.00 | 0.00 |
| **Total** | **7,890,218.61** | **0.00** | **129,208.00** | **7,761,010.61** |

During the year, no audit disallowances, suspensions and charges were issued while settlement made amounted to P129,208.00, leaving an unsettled balance of P7,761,010.61 as at December 31, 2023.